



A SYNERGISTIC ALLIANCE

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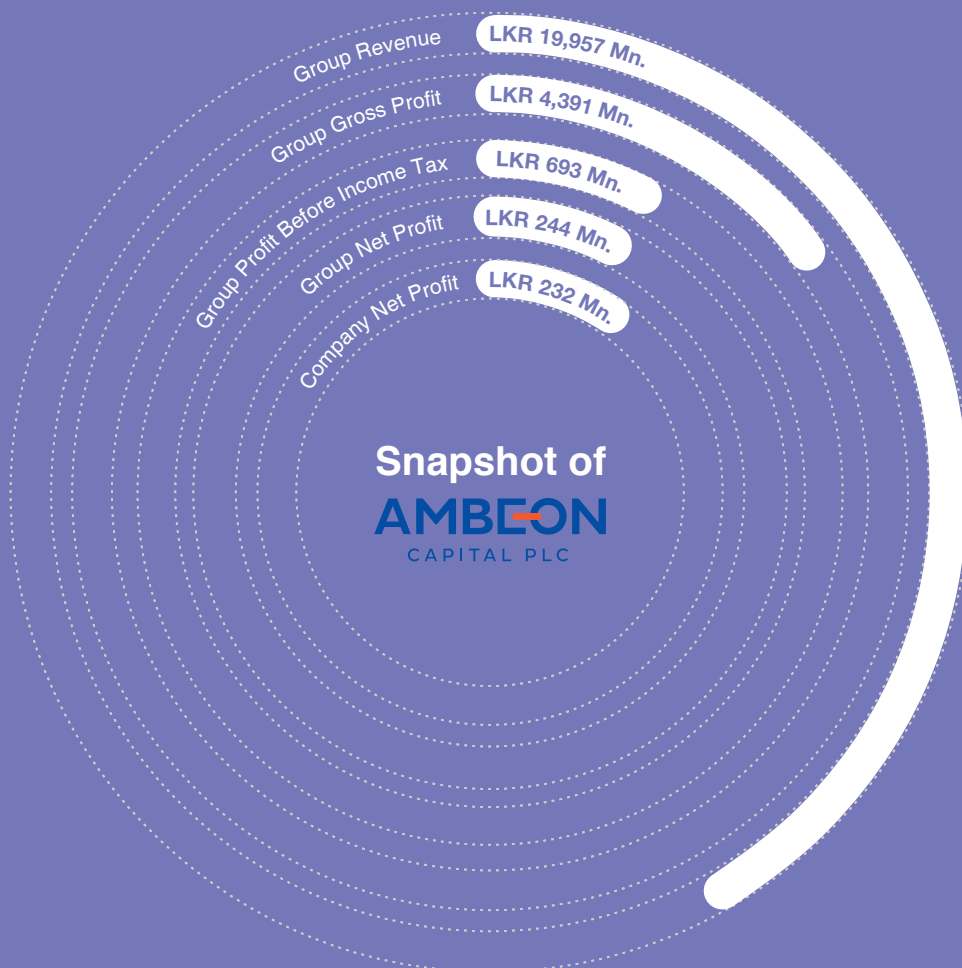
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A SYNERGISTIC ALLIANCE

The strength of Ambeon rests in the synergistic alliance between each subsidiary, which converges distinct strengths in achieving consolidated growth. In a year of expansions, each strategic transformation has elevated our collective focus, whilst our subsidiaries thrive under the group's values and vision for the future.

Focused on creating a sustainable business, we strive to better understand the needs of tomorrow's customers, with further synergies amongst our existing subsidiaries and new opportune ventures. And together, we remain poised for far greater success-mobilising our potentials as an investment powerhouse.



15.29%

ROCE - Group

LKR 1.7 Bn

Increase in total assets
- Group

LKR 256 Mn

Increase in total
equity - Group

93%

Retention rate - Group

1.5 Bn

EBITDA Group

LKR 3.67

Net assets per ordinary
share - Group

About this Report

Ambeon Capital PLC is delighted to present the Annual report for the financial year 2019/2020 providing our stakeholders with a comprehensive picture of the Company and its performance during the period. We have continued our commitment to building efficiencies across the operational value chain of all our businesses, with a special focus on cost and efficiency centered operational restructuring, upholding our best practices and values at all time. With transparency and accountability to our potential investors at the forefront, we strive to develop a sustainable business model creating value for shareholders as well as all other stakeholders.

Reporting Standards & Principles

The financial statements included in this Annual Report have been prepared in accordance with the Sri Lanka Accounting Standards (SLFRSs/LKASs) duly audited by the external auditors of the Group. In addition, all information disclosed in this Annual Report complies with the Companies Act No. 07 of 2007 and the Listing Rules of the Colombo Stock Exchange (CSE). Corporate Governance related disclosures adhere to the Code of Best Practice on Corporate Governance 2017 issued jointly by the Institute of Chartered Accountants of Sri Lanka and the Securities and Exchange Commission of Sri Lanka.

Scope and Boundary

A section is allocated specially to the review of operations of the Company's main subsidiary, Ambeon Holdings PLC (Refer pages 28 to 39) as to provide a comprehensive understanding of the different operational aspects of the Company.

All the information and data presented in this Annual Report is principally connected to business operations from 1st April 2019 to 31st March 2020.

Navigating this Report

- Snapshot of the business. Message by Chairman and Group MD/ CEO.
- Our Story of Transformation and Growth – Synopsis of strategic framework and current positioning.
- Introduction to Strategic Business Units of the Company's main subsidiary - Ambeon Holdings PLC. This section covers a detailed sectoral analysis of performance and way forward.
- Corporate Governance disclosures and a brief overview of Enterprise Risk Management.
- Detailed analysis of our financial results, with audited financial statements prepared in accordance with SLFRSs / LKASs and supplementary information.

Reporting Changes

There have been no reporting changes or re-statement of information pertaining to the financial year 2019/20 included in this Annual Report, apart from those clearly stated in the Financial Statements.

Forward Looking Statements

The Annual Report herein contains forward looking statements and information. However, the operational landscape may require the Company to change its business expectations, outlook, plans and forecasts. Shareholders and other stakeholders are advised to be cautious in placing too much emphasis on such statements, as the reality may materially differ with the projected and anticipated information. The Company does not undertake to publicly update forward looking statements to reflect the changes after the date of this report, except, in compliance with the applicable rules and regulations set by the relevant statutory and regulatory bodies.

Feedback and Queries

We welcome your comments in our journey of continuous improvement. Please contact the undermentioned for any queries on the information provided in this Annual Report or for providing any constructive feedback.

Haritha C. Perera
Chief Financial Officer

Navigating this Report

AMBEON
CAPITAL PLC

Corporate
Strategy

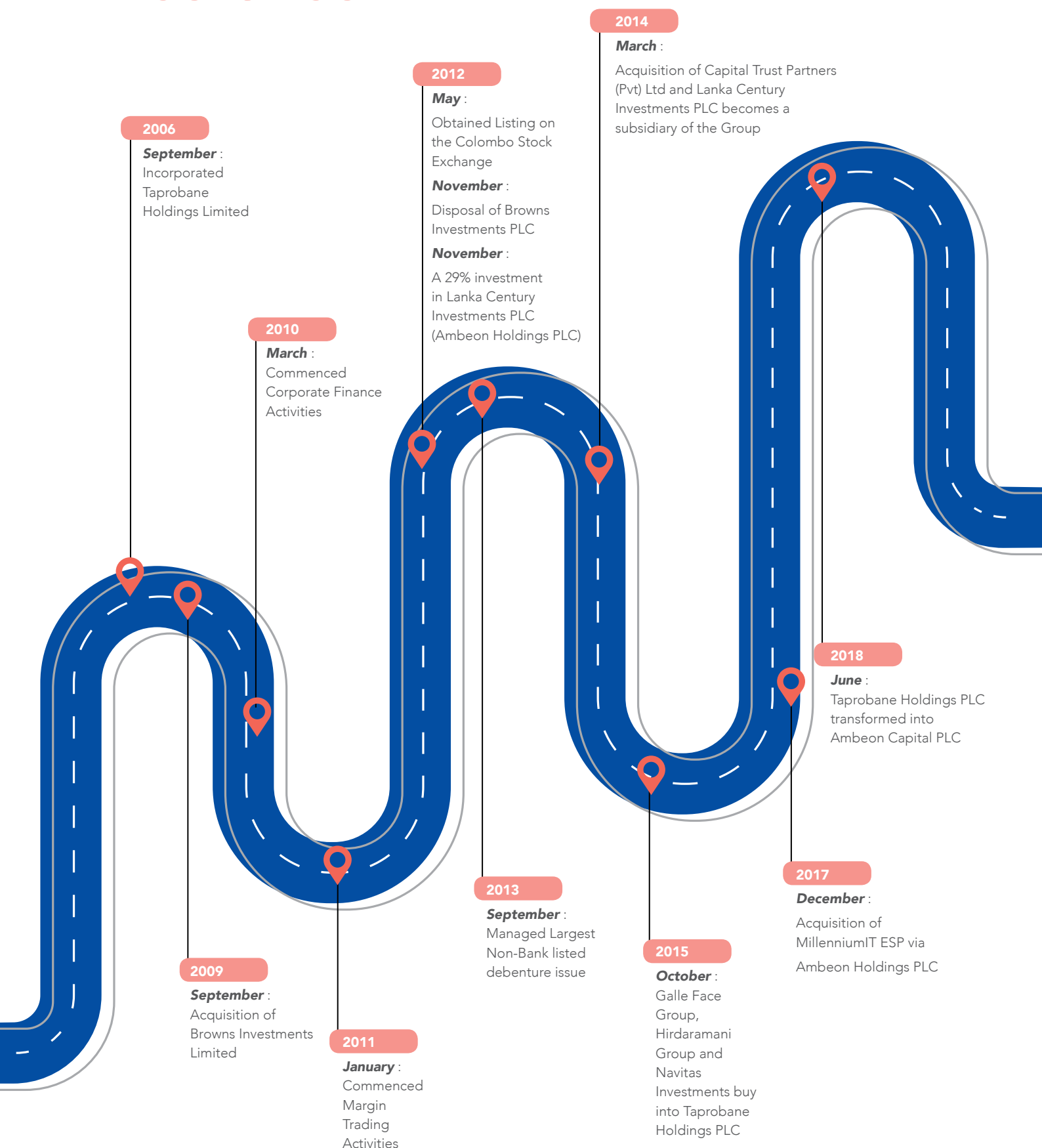
Management

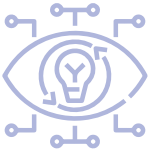
Company
Capacities
and Capabilities

Market
Space and
Placement

Investor
Appetite

Milestones





THE VISION

Re-Engineering Success



THE MISSION

To Take the Leap that
Transforms Latent Opportunities



CORPORATE VALUES

MOVING FIRST

Catalysing opportunities through
readiness

CHANNELING TEAMWORK

Harnessing the collective strength of
our diverse minds

ACTIONING RESULTS

Mind, body and soul, we are
committed to our investments

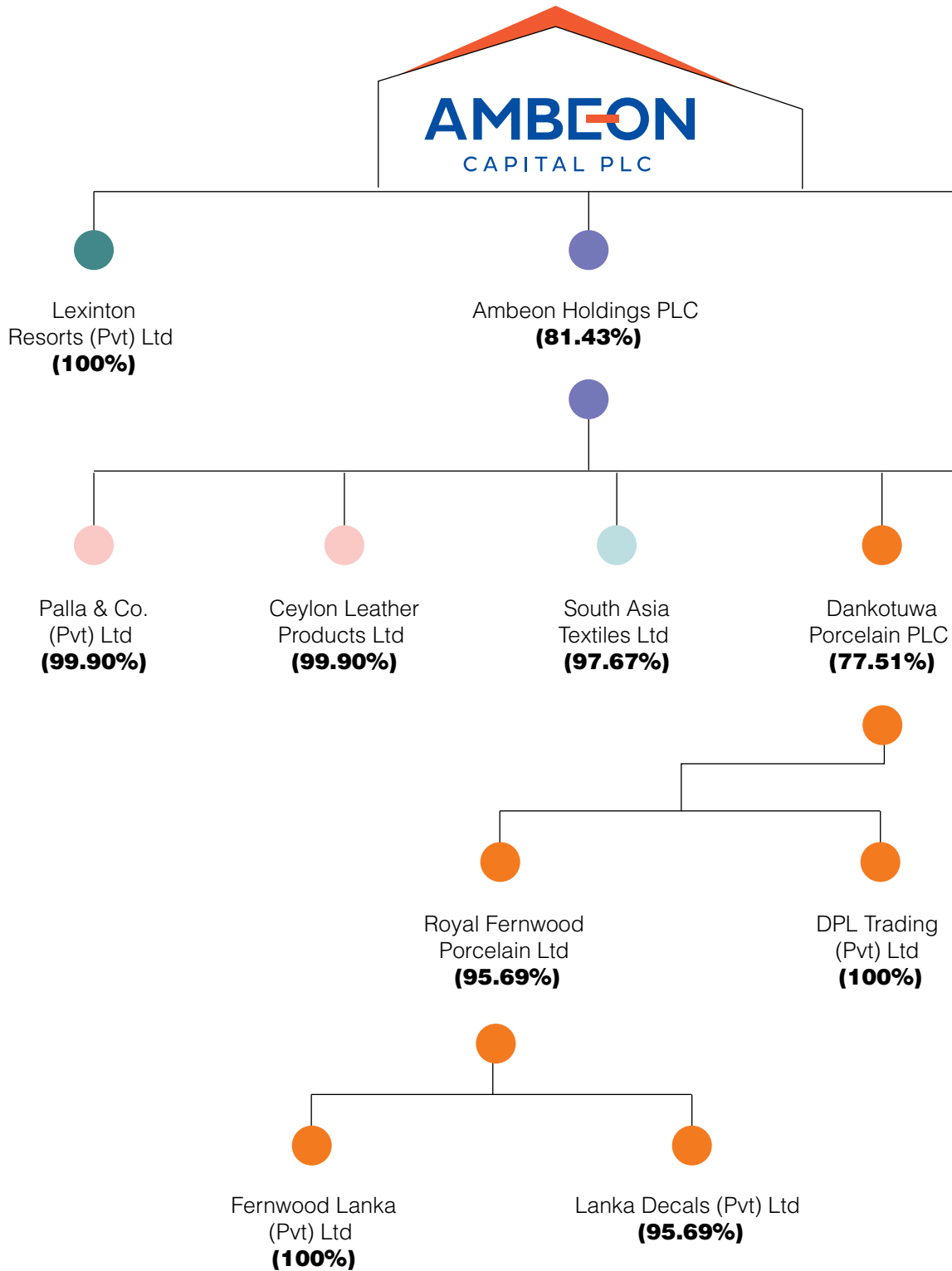
SEEING BEYOND

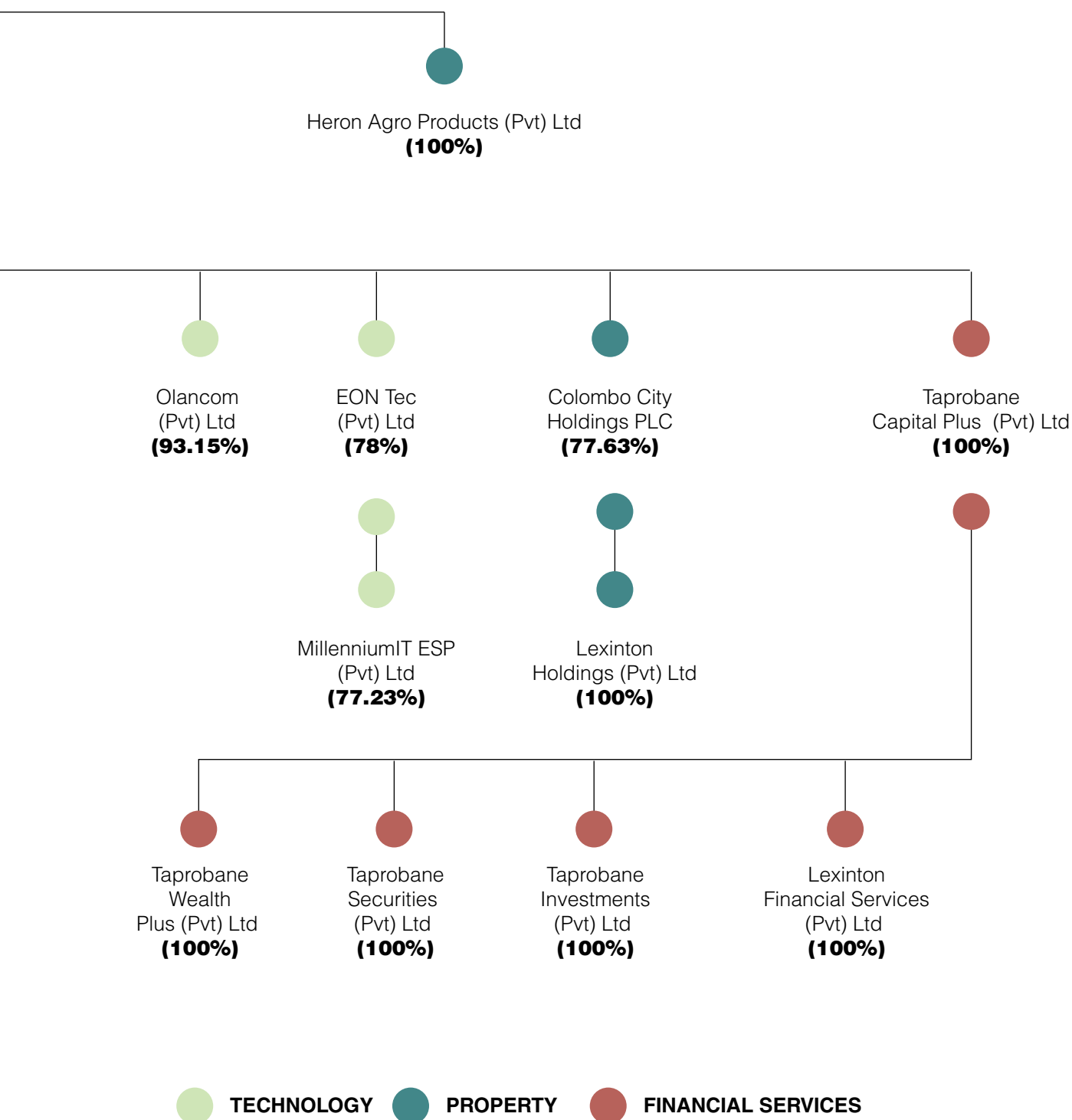
Constantly challenging ourselves to
look beyond

INSPIRING EACH OTHER

Encouraging each other's success

Ambeon Group of Companies



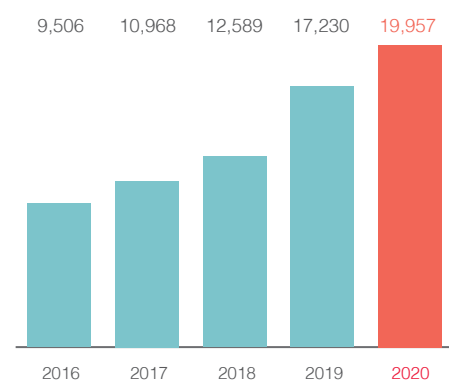


Performance Highlights

Key Ratios - Ratio Analysis	Group		Company	
	2019/20	2018/19	2019/20	2018/19
Balance Sheet - LKR				
Cash	782,950,232	611,908,960	29,277,252	1,212,412
Other Financial Assets	1,998,572,652	1,916,753,871	1,043,426,486	895,197,720
Trade & Other Receivables	6,392,014,130	6,005,043,760	112,539,745	88,663,548
Total current assets	13,314,437,431	12,812,556,266	1,185,243,483	985,073,680
Total long-term assets	11,411,778,743	10,217,822,248	9,226,768,701	8,723,248,382
Total current liabilities	12,866,888,101	12,439,599,442	1,236,490,903	1,321,923,357
Total long-term liabilities	5,002,151,830	3,989,918,736	3,326,304,432	2,769,650,910
Total shareholder's equity	6,857,176,243	6,600,860,336	5,849,216,849	5,616,747,794
Income Statement - LKR				
Revenue	19,957,341,124	17,229,838,325	325,498,392	7,036,462
Gross profit	4,390,777,949	3,986,862,668	325,498,392	7,036,462
EBITDA	1,468,567,982	1,155,010,355	986,286,280	158,073,466
Income before taxes	693,229,058	1,305,996,069	250,000,918	1,936,739,217
Net income	545,563,153	904,466,028	232,469,056	1,935,290,235
Key Ratios				
Return on equity	7.96%	13.70%	4%	34%
Return on assets	2.21%	3.92%	2%	20%
Return on sales	2.73%	5.24%	71%	27,504%
Gross profit margin	22%	23%	100%	100%
Asset turnover ratio	81%	75%	3%	0%
EPS	(0.04)	0.05	0.23	1.93
Leverage and Liquidity Ratios				
Current ratio	1.03	1.03	0.96	0.75
Quick or acid test ratio	0.71	0.69	0.96	0.75
Long-term debt ratio	0.42	0.37	0.36	0.33
Debt to equity ratio	2.60	2.48	0.78	0.72
NAV per share	3.67	3.49	5.83	5.60
Interest coverage ratio	0.62	0.42	0.69	0.20

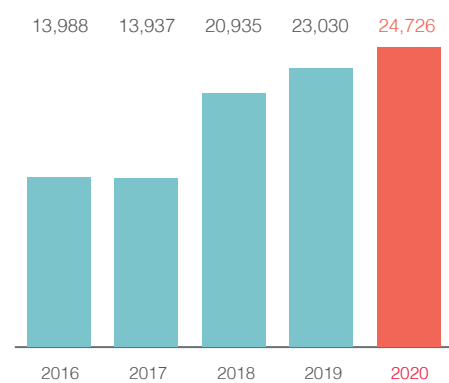
Revenue

Rs. Mn



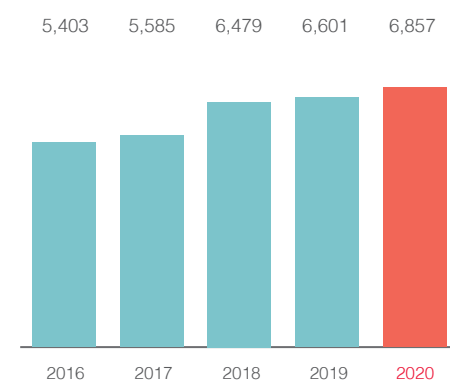
Assets

Rs. Mn



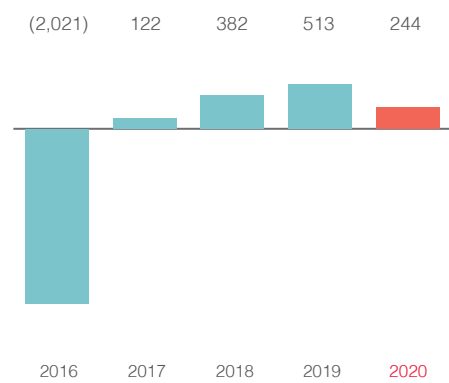
Equity

Rs. Mn



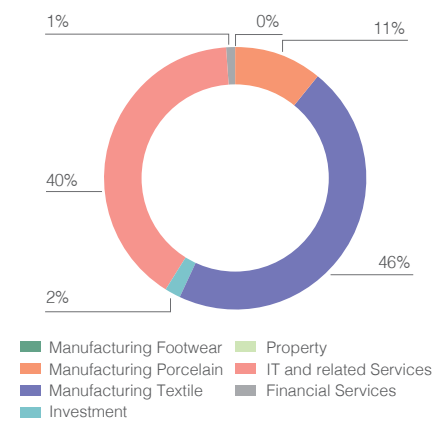
Profit/(Loss) for the year

Rs. Mn



Segmental Revenue

%



Our Economic Impact

Our Investment Case

Founded on our core values of Moving First, Channelling Teamwork, Actioning Results, Seeing beyond and Inspiring Each Other, Ambeon Group forges ahead, seeking new frontiers. As a business committed to customer centricity, we provide our investors and stakeholders with lucrative possibilities generated through a vibrant portfolio of assets. Through improved utilisation of assets and improved performance in all parameters and strategic initiatives, we have transformed Ambeon Capital into a lucrative Holding Company.

The brand 'Ambeon' epitomises a Group which is a future-centric entity, guided by ethical business standards, resilience and result-driven businesses. The positioning enhances the Group's future strategic intent of expanding to new avenues of opportunity by actively seeking geographical expansion.

Some of our key strengths and differentiating factors are as follows

- Blended portfolio of assets
- Experience in manufacturing, technology and financial services
- Well established brands positioned for international expansion
- Global and local distribution channel
- Professional expertise
- Market presence in key growth sectors of the economy

Proven ability to execute and assimilate acquisitions



2,734
**Direct
Employment**

10.3 Bn
**Export
Revenue**



3 Bn
**Market
Capitalisation**



CHAIRMAN'S MESSAGE

Chairman's Message



Sanjeev Gardiner
Chairman

Dear Shareholders,

On behalf of the Board of Directors, it is my privilege to present to you the Annual Report of Ambeon Capital PLC for the financial year ended 31st March 2020. Your Company and its subsidiaries recorded growth throughout the financial year, recording a profit after tax of LKR 244 million supported by our future centric positive change initiatives implemented during the previous financial year. Our extensive restructuring initiatives, including efficiency building measures and market development activities and a collective focus on optimising investments, have enabled us to enhance our shareholders and all other stakeholders' overall wealth and value creation.

Operating Context

The Sri Lankan economy grew at a subdued pace, recording a growth rate of 2.6% during the first half of 2019. Moderate growth of 3.2% was shown in the agriculture, forestry, and fishing activities supported by increased production of oleaginous fruits, rice, and animal product sub-sectors. However, the industrial sector demonstrated a repressed growth registering a growth rate of 2.3% aided by the increase in construction and mining and quarrying activities. Meanwhile, services activities slowed down during the first half of 2019 with a 2.8% growth compared to the 5.1% growth recorded in the previous year's corresponding period.

The Easter Sunday attacks adversely affected tourism, retail, and related services activities, dragging down the overall growth performance of the economy during the 1st quarter and the first half of the year. Following this, the unemployment rate increased to 4.8% in the first half of 2019, compared to 4.5% registered in the same period in 2018.

The end of the financial year (first quarter of 2020) was substantially affected by the prolonged lockdown following the COVID-19 outbreak exacerbating an already challenging macro-economic situation of low growth rates and significant fiscal pressures.

Strategic Orientation

Amidst this challenging business environment, our consistent focus on re-engineering all business sectors of the subsidiary Ambeon Holdings PLC to achieve efficiencies at every level enabled us to usher both operational and financial success, creating enhanced shareholder wealth, in the long term.

The overall value integrations in all sectors through the three-tiered strategic structure from corporate, business to operational have enabled us to build synergies and bring efficiencies while creating a collaborative HR structure for the future. In this process, the Company was persistent in building synergies across the group brands, values, and governance. One of the key results of this effort is the emergence of our technology cluster with a new brand image and overall repositioning while also assimilating the Group's vision and values with the subsidiary brands and values in building cooperation at every level across the Group.

As part of this strategy, the Company continued expanding the ICT sector, given its high contribution to profitability during the financial year accounting for over 40% of the Group's revenue. This sector has also brought in the required risk diversity and stability to Ambeon Holdings, thereby better securing our investments at Ambeon Capital.

COVID-19 Response, Challenges and Opportunities

The COVID-19 pandemic ushered unexpected challenges into the business landscape, on the one hand, confronting the traditional business norms and, on the other hand, testing the resilience and responsiveness at every point across business sectors.

Overall internal customer well-being through group management and the HR department was a critical response area for the Group, enabling employees to be at ease and perform their routine work functions through a robust and well-coordinated work from home model. Consequently, to date, most of our employees attached to the technology cluster work from home and will continue to do so, given its success as an economical work model. This is also clear proof that our response to the challenge was not merely an act for the time being but rather a well-articulated planned approach that would be both sustainable and future-focused.

Group businesses were quick to latch onto opportunities that opened during this period and moved into several new initiatives in products and services such as fabrics for face masks to digital/tele health-related projects in ICT areas and steam inhalers at the porcelain cluster.

Another focus area during the year was the cash flow management and process

improvement to bring about a reduction in costs. Nevertheless, many of our actions went beyond the short-term focus in building a sustainable value chain by streamlining the processes to bring cost optimisation rather than reduction, thus enabling the companies throughout the Group to stay out of any serious cash flow issues, ensuring overall improved balance sheets.

Performance

During the year, revenue growth over the previous year of LKR 318 million and LKR 2.7 billion was achieved at the Company and group level, respectively, despite a challenging year. At the company level, revenue recorded was LKR 325 million, mainly driven by the portfolio gains resulting from the interest rate drops. While at the group level, the growth was driven by the increased contributions from mainly the IT, textiles, investments and financial services, with revenue coming in at LKR 20 billion. Although the two adverse external events and the funding raised for working capital requirements subdued the Group's performance against the plan, the profit recorded during the year is a clear indication of the Group's resilience and the ability to withstand the challenges better. The Company recorded a net profit of LKR 232 million and LKR 244 million at the group level, respectively.

It is noteworthy that as per SLFRS 9, the Group changed its accounting policy from holding investments at cost value to fair value during the financial year to bringing about a better reflection of the investments at any given time. This resulted in a significant increase in investment values; in turn, the Company's net asset value reached LKR 5.84 billion during the year. At the Group level, the balance sheet reflected a growth in total assets stemming from intangible asset increase and fair value gains on properties—the net asset value amounted to LKR 6.9 billion as of year-end, and the total assets stood at LKR 24.7 billion

Corporate Governance

We are committed to upholding high corporate governance standards and business conduct through adherence to industry best practices, government policies, rules, and regulations. In this endeavor, I am well supported by my colleagues on the Board who bring balance and a wealth of experience to the Company. Together, we relentlessly continue to maintain

Chairman's Message

oversight of the Group's strategic, operational, and risk framework.

The governance structures required to comply with are cascaded down to the entire Group through the Main Board and its sub-committees. While the Group has a clearly defined audit, remuneration, related party governance structure, it also has a risk and compliance matrix that is monitored and updated as required on a monthly, quarterly, and annual basis.

A clear division of structure between the executive and the Board is adopted to ensure that the operations and governance are maintained and attended to with a clear focus and well-articulated boundaries. The Group Managing Director as the Executive Head and the Non-Executive Chairman and the Board maintains independence.

Steering Ahead

Despite the uncertainties in the macroeconomic environment, we are optimistic and confident of moving ahead, capitalising on existing opportunities, and executing the sustained initiatives for system integration and resource optimisation in driving business growth across all our core business verticals.

As a group, we have always been open to organic and inorganic growth, remaining receptive to new opportunities. Hence, we have been keen on pursuing technology and related future centric businesses and have been intensely monitoring such opportunities through our technology cluster in domestic and regional markets. Additionally, we also intend to pursue industry 4.0 related expansions and improvements in other sectors.

The cost of conducting business over the past few years has been significantly high. However, in the post-pandemic era with global corrections and local responses, we anticipate the cost of funds and other related expenses to take a downward trend, at least in short to medium term. This, we believe, would provide us with an opportunity to further the existing business efficiencies and expansion.

Appreciations

I extend my sincere gratitude to the shareholders for their unwavering support. I wish to express my appreciation to the Board of Directors for their consistent support, invaluable counsel, and guidance. Desamanya Deva Rodrigo, an Independent non-Executive Director/Chairman of the Audit Committee, has informed the Board that he wishes to step down from the Board at the forthcoming Annual General Meeting after completing nearly five years on the Board. On behalf of the Board, I would like to take this opportunity to extend our appreciation to Mr. Deva Rodrigo for his invaluable counsel and contribution to the Board & the Company and our sincere well wishes for the future.

I take this opportunity to extend my sincere appreciation to the Group management teams and the staff who have welcomed the change and spearheaded the transformation process. I wish to place on record the strong leadership and direction of Group Managing Director/CEO, Mr. Murali Prakash, in leading the Group to greater heights of success. I am also profoundly thankful to our valued customers, business partners, and other stakeholders for their valued patronage and consistent loyalty.

Sgd.

Sanjeev Gardiner

Chairman

Ambeon Capital PLC

02nd October 2020



GMD/CEO'S REVIEW

Group Managing Director/ Chief Executive Officer's Review

Reporting on yet another year of positive and commendable growth, it is my pleasure to present to you the Annual Report for the year ended 31st March 2020. The year's financial outcomes and operational progress was achieved amidst two of the most socially and economically crippling external events, the Easter Sunday bombings and the coronavirus pandemic, which made 2019/20 easily the most challenging and uncertain year, the Company has faced. The same can be said for our main subsidiary and affiliates, as each entity under the Ambeon conglomerate weathered the year's challenges with utmost resilience.

Despite the turnout of events and macro-economic impacts, I am pleased to report that the Group posted revenue of LKR 19.96 billion as against the previous figure of LKR 17.23 billion. This growth came amidst substantial volatilities within the first and last quarters of the financial year, which is seen as a testament of our dynamic capabilities and the confidence our customers has placed on our businesses.

As I stated in last year's report, the company is now fully repositioned and rebranded as an investment holding company with a strong focus on the areas of governance, risk, and compliance, from a broad group-level perspective. During the year, we continued to fortify these areas while building further upon them. Strategically, the Company also strengthened its hold in the capital markets, more specifically in secondary market engagements – which proved to be a prudent decision based on the superior financial returns and stability it has brought to the Company. Furthermore, after the restructuring of the Company, we now stand as an investment management group with a well-defined group corporate strategy that powers business verticals across technology, porcelain, textiles, real estate, and financial services.

Post balance sheet, our primary subsidiary Ambeon Holdings PLC and its affiliate companies have performed well above projections, making commendable levels of profit, even in the face of two taxing events.

All our businesses yielded profitable results, with the second quarter making a positive turnaround as a result of their inherent resilience, years of restructuring that has developed greater business equilibrium and strong responses from employees amidst both the Easter Sunday attacks and the pandemic.

Moreover, from a macro-economic perspective, the year's results have come amidst dampened investor sentiments following the Easter Sunday Attacks, while the rise of the pandemic leads to medium and long-term capital injections being postponed amidst uncertainties. Globally, economies have entered a recession, seen as the worst since the Second World War, over eight decades ago. Domestic and global GDP growth contracted in 2019, which resulted in volatility in the foreign exchange movement. Although there was a visible improvement in the trade balance in 2019, the country still faces a considerable chasm in its trade deficit amidst declined government revenue and rising state expenditure.

Strategic Focus

During the year, the Company's strategic focus took on a three-pronged approach that included strengthening governance, risk and compliance across the Group, strengthening income streams, and consolidating our processes to creating congruence in brand values from a Group perspective.

In the year under review, we continued enhancing our policies while focusing on risk and audit processes across the Group. With our restructuring in the previous year and the continued realignments within 2019/20, it has now paved the way for a more streamlined risk and governance framework with better control mechanisms for the Group and its subsidiaries. The Company now operates along the lines of a clear GRC framework with overall oversight invested in the board of directors and delegated functions handled by board sub-committees. An Enterprise Risk Management solution has been grafted to the risk management mechanism, which takes a central role in monitoring risk parameters categorised as strategic, operational and other. The framework is a well-administered

system held in check by audits and periodic reviews. A key focus is the health and safety parameters, which are dedicatedly carried out across production facilities.

With our income depending on dividends and returns from capital market investments, we continued to develop the latter. Our revenue from capital markets enabled us to withstand the financial losses faced during the lockdown period in March 2020, while managing to make over LKR 200 million in income for the year under review.

Return on investments was improved through greater management of working capital and treasury consolidation. During the year, Group treasury managed to negotiate adopting better rates, resolve borrowing mismatches, and better utilise of foreign exchange earnings.

Furthermore, a consolidated approach was taken towards the congruence of brand identity and values across the Group. Through external consultants, the overall values of the group were synchronised with that of the subsidiary companies to bring a congruent value matrix, which is now embedded to the key performance indicator system, thus, bringing a collaborative group synergy in culture and performance.

Performance Round-Up

The financial results and operational performance for the year are noteworthy as these were realised amidst negative impacts that thwarted the usual pace of progress of all our business affiliates. During the year, our focus remained on ensuring improved shareholder returns by pursuing a healthy P&L and balance sheet while minimising finance costs, ensuring better cost controls, and healthy management of cash flows of our main subsidiary and affiliate businesses.

Group-wide revenue of LKR 19.96 billion was posted, marking a double-digit increase of 15.8% over the 12-month period since 31st March 2019. This is part of a 59% revenue incline within the two years since 2018. It signifies the continued customer confidence we have achieved for each of our business entities, from clients both in domestic and



Murali Prakash

Managing Director / Chief
Executive Officer

Group Managing Director/ Chief Executive Officer's Review

cross-border markets. On a company level, the revenue increase is attributed largely to the increase in returns from capital market ventures.

Consequently, the gross profit of the Group rose by 10.1%, year-on-year, part of a 76% increase witnessed over the past two years. In tandem with the multiplying business activities of the Group, selling distribution and administrative expenditure increased by 33.3% and 26.8%, correspondingly. At the Company level, this was a negligible figure based on the nature of the Company as a holding entity.

The Group posted a net profit of LKR 243.73 million, although there was a decline of 52.5% compared to the previous financial period. The subdued performance, however, was negated by the gains in fair value of land and property. At the Company level, the fair value gains on investments in subsidiaries had also supported the profitability, which stood at LKR 232.47 million for the period under review.

For funding capital market businesses of the Company and as a result of expansion-based costs at a subsidiary level, interest costs of the Group and the Company increased by 20.9% and 19.4%, respectively. At present, the Company's debt position has turned relatively stable at LKR 4.5 billion with adequate earnings being gained from income through capital market investments to appease loan payments.

Furthermore, in providing a true reflection of the Company's investments and the growth of our businesses, the Company ascertained that the investments should be re-valued from the start of the financial year.

Values will be adjusted annually in being transparent and factual to its full extent. As a result, values across three years from 2017/18 were adjusted with the previous year's accounts being restated, as required. Consequently, a policy change was necessitated and carried out with the consultation of independent experts, ensuring adherence to governance and compliance protocols. As a result, the current net asset value of the company stood at LKR 5.85 billion as at the end of 31st March 2020.

New Shifts

With a constant watch on expanding our footprint in the technology industry, the Group, through the intellectual prowess of MillenniumIT ESP, expanded into Security and Network Operations Centre (SOC and NOC) based operations. The newly established command centre is an advanced facility that can undertake security-based requirements. In addition, we continued to invest in Mint HRM, a tech-based CRM and HR start-up project, which commenced under the technological know-how and operational oversight of MillenniumIT ESP.

Building on the momentum of diversifications and vertical expansions, our porcelain cluster continued to contribute to wealth creation through new revenue streams. Although still at their primal stages, these new product developments are expected to be stepping-stones towards entirely new market segments such as kitchenware and an emphasis on permeating the giftware market. Several new product ranges have now emerged as part of these strategic ventures, including terra cotta to ivory coloured porcelain ware, in addition to new innovations such as the porcelain water bottle, coasters, plant holders, and candle holders.

Stepping into the future, the textile cluster is focused on developing efficiency based lean management as the core ideology. Process re-mappings, along with reduced cadre deployment and technology enabled improvements are core focus areas in this journey.

New business developments from our technology cluster continue to expand services, with explorations being made in process automations, which include robotic process automation, artificial intelligence-based solutions, expansion into verticals such as healthcare and public sector-based services.

Furthermore, the Group continues to realign its interests by reducing costs and improving its debt position; as a measure, Ceylon Leather Products distributors was divested during the year in a concerted effort taken to divert investments and focus on other business verticals. This was further validated with return on investments not gaining the desired

traction, given the market size, competitive disadvantages, and cost of operations.

In further developments, values were further aligned amongst business verticals and subsidiaries as MillenniumIT ESP underwent a complete rebranding and repositioning during the year under review. This was also aimed at building a brand identity that is agile and futuristic. As a result, the exercise delivered great value to the Ambeon brand, making it stronger as we journey towards future centric horizons.

Adapting to Change

The Group will continue to innovate based on changing consumer habits while focusing on the combined effects of the global pandemic and demands of a younger demographics - what we identify as 'next normal consumerism'.

We will continue to observe and adapt our responses to changing trends, behaviours and new needs created by increasing per capita income, new technologies and changing lifestyles. As a result, we are now pursuing e-commerce-based prospects for our porcelain cluster while leveraging the benefits of technologies such as 3D printing in reducing cost and enhancing quality.

Post-COVID, there was a considerable need for businesses to be future-proof and agile, with more businesses opting for digitisation and futuristic technologies aimed at remote working processes and related arrangements. We will, therefore, utilise our capabilities in the tech industry through MillenniumIT ESP by bringing future-centric tech-enabled platforms and services.

In addition, our strong research and development capabilities and capacity to innovate will continue to be applied in the manufacturing cluster, enhancing product innovations and diversifying towards tech-enabled products. The Group Innovation Team also plays a pivotal role in bringing together the various international trends and consumer demands to a single platform; thus, it can be explored by the entire conglomerate.

Moreover, health and safety of all employees will continue to be a strong area of focus, given the possibility of a resurgence of the COVID-19 pandemic. Since the onset

of the pandemic in Sri Lanka, the Group has established a clear and holistic set of principles that continue to mandate best safety measures and behavioural conduct.

Poised for the Future

Tethered by a strong Group vision and congruent values, Ambeon Capital PLC will continue to focus on its core business ideology – 'Reengineering Success,' as we continue to explore and acquire the most lucrative business opportunities in future-centric industries. We are also working towards solidifying our positions in our current industry portfolio by enhancing the capacities and capabilities of each business we have invested in. This will be achieved by building on the values of moving first, actioning results, channelling teamwork, seeing beyond and inspiring each other.

A significant focus of the Group is in creating better equilibrium within our portfolio of investments and businesses. We believe that this is a viable way to create sustainable growth and ensure the 'future-proof' nature of the conglomerate. Having a full arsenal of persons with strong industrial backgrounds will continue to benefit us with the right mix of knowledge, technological know-how, advisory services, financial expertise, and production capabilities in creating a formidable position within the business sector. Our focus on financial services and technological acquisitions will remain strongly pursued and built upon, with regional expansions being envisioned within the 2021 calendar year. We are now exploring REITS (real estate investment trusts) and fin-tech based opportunities while also looking into e-commerce-based businesses where we could leverage on digital trade platforms.

With the group's present investments involving a considerable focus on manufacturing, we are exploring improved efficiencies and related investments. In addition, continuous improvement and capacity enhancements is a constantly followed process across all our manufacturing entities, and we have invested considerably in identifying gaps in productivity and in creating leaner, more efficient processes and work procedures.

I must also state that the pandemic has propelled us to model our internal response

under four broad pillars. Our focus in the immediate to medium term will be on ensuring that we adapt swiftly to the changing environments and navigate around negative impacts. Therefore, the first pillar would be Customer focus, as we will move alongside customer needs and behavioural transitions. Secondly, we will focus on Response and Building Credible Action through a well-rounded team, powered by better collaboration and clear communication; thirdly, as tides of growth will continue to break against the harsh realities of changing macro fundamentals, we will focus more on cash and controls by identifying profit erosions and establishing better management of cash flows. As a result, conserving cash is now being integrated into our work culture aimed at turning every rupee towards better results. The fourth pillar is to seek opportunities even amidst the most adverse circumstances, keeping a constant grasp on emerging trends and lucrative opportunities.

We are also focused on reducing our debt position, which remains high from having funded our long-term investments through borrowed capital. A combination of divestments, dividends, better returns from capital market investments and restructuring of the balance sheet will be explored in controlling our liabilities. There is also the expectation of substantial savings amidst declining interest rates post-COVID. We will also seek ways of releasing capital injected into idle assets, thereby further offsetting our debt levels.

Although the cost of doing business remains a challenge, alongside the absence of development-based funding, talent pool availability and productivity, as well as scalability in terms of global competitiveness, we are tackling each area steadily and cautiously. Internal fund generation, better cash management, monetising idle assets, divestiture of less profitable ventures and better negotiation of funding rates ensures the financial health of the Company. More dollar-based earnings are pursued, and with the group's strong capabilities in technology, finance and manufacturing, our possibilities for expansions are boundless.

Furthermore, each affiliate under our main subsidiary continues to shape their talent

pools, identifying multi-skilled individuals while training others to adopt a mindset of critical thinking and productive work ethic. In addition, employees are provided with cross-industry exposure with specialised knowledge and skill enhancement programs.

Moreover, the manufacturing and tech clusters of our main subsidiary are consciously upgrading the products and quality to scale their offering with more value additions, thus, moving from mass-market to more value-based upper-middle segments. Top-end products at the porcelain cluster, AI data-based solutions for the tech sector and higher-end fabrics in the textile sector are all such ventures.

Appreciation

Overcoming the formidable challenges of the past year was no small feat as it was in fact, the outcome of an unflinching mindset to move forward in a pragmatic manner in dealing with extreme circumstances. This thinking was instilled across the Group, as Ambeon set out to remain profitable amidst disrupted operations, restrained revenue streams and profit erosions.

As the investment management group of Ambeon, I am much thankful to Ambeon Holdings PLC and the management for remaining poised and pragmatic, utilising your years of experience and expertise in steering the Company around the hardships while continuing to realign the conglomerate towards a shared vision. I am also thankful to our valued stakeholders across the board for remaining steadfastly with us.

I am extremely thankful to the Chairman of Ambeon Capital PLC and the Board of Directors for your continued advice and support that continues to sustain growth within this new normal.

Sgd.

Murali Prakash

Group Managing Director/
Chief Executive Officer

Ambeon Capital PLC
02nd October 2020

Board of Directors





Board of Directors

Mr. Sanjeev Gardiner

Chairman/Non-Independent, Non-Executive Director

Mr. Sanjeev Gardiner is the Chairman and Chief Executive Officer of the Gardiner Group of Companies which includes the Galle Face Hotel Co Limited, Galle Face Hotel 1994 (Pvt) Ltd, Ceylon Hotels Holdings (Pvt) Ltd (holding Co of Ceylon Hotels Corporation PLC) Kandy Hotels Company (1938) PLC (which owns the Queen's and Suisse Hotels in Kandy) and, United Hotels Co (Pvt) Limited which owns the The Surf (Bentota), The Safari (Tissa) and The Lake – (Polonnaruwa). He has also a Director of Cargills (Ceylon) PLC since 1994. Mr. Gardiner counts over 30 years of management experience in a diverse array of business. He holds a Bachelor's Degree in Business from the Royal Melbourne Institute of Technology, Australia and, a Bachelor's Degree in Business (Banking and Finance) from Monash University, Australia. He has been a Council Member of HelpAge Sri Lanka for several years.

Mr. Ajith Devasurendra

Deputy Chairman/Non-Independent Non-Executive Director

Mr. Devasurendra has been in the financial services industry in Sri Lanka and counts over 35 years' of experience both in Sri Lanka and overseas. As one of the pioneers in money markets, he was able to bring new dimensions to the local money market industry. He acted as a consultant to Price Water House Coopers, Mumbai - India, on an USAID project. He was appointed to the Board on 20 September 2006 as a Non-Independent Non-Executive Director. Mr. Devasurendra is the Chairman of South Asia Textiles (Private) Limited, EON Tech (Pvt) Ltd, Deputy Chairman of Ambeon Holding PLC & Dankotuwa Porcelain PLC, and Director of Ceylon Hotels Corporation PLC.

Mr. Murali Prakash

Group Managing Director/Chief Executive Officer

Mr. Murali Prakash is currently the Group Managing Director / Chief Executive Officer of Ambeon Capital PLC and Ambeon Holdings PLC. Ambeon Capital PLC is the Investment company and the parent of Ambeon Holdings PLC, the Investment Holding and Management Company of Colombo City Holdings PLC., Ceylon Leather Products Limited, Dankotuwa Porcelain PLC., Millennium I.T.E.S.P. (Private) Ltd., Royal Fernwood Porcelain Limited, South Asia Textiles Limited and Taprobane Capital Plus (Pvt) Ltd. Mr Prakash serves as a Director on the respective boards of all these private and public quoted subsidiaries within the group.

He also serves as a Non-Executive Director of LAUGFS Gas PLC., LAUGFS Power PLC., and several other subsidiaries of the LAUGFS Group.

With over 35 years of experience handling key management positions in the areas of general management, strategic restructuring, investments/credit management, manufacturing, marketing / sales and business consultancy, some of his previous roles include serving as the Group Managing Director/Chief Executive Officer of Browns Group of Companies, a public quoted conglomerate involved in trading, manufacturing, finance, leisure, plantations, healthcare and strategic investments, the Chairman of Galoya Holdings (Private) Limited and the Sales Director of Singer (Sri Lanka) PLC. He has also served on the Boards of Singer (Sri Lanka) PLC., Singer Finance (Lanka) PLC., and Singer Industries (Ceylon) PLC.

Mr. Prakash holds an MBA from University of Southern Queensland and is also a Certified Professional Marketer (Asia Pacific) and a Certified Management Accountant (Aus.). He also holds an Executive Diploma in Business Administration from the University of Colombo and is an Alumnus of the National University of Singapore and the Asian Institute of Management, Manila. He is also a Fellow Member of the Chartered Management Institute (London) and Certified Professional Managers, Sri Lanka.

Mr. Priyantha Fernando

Independent Non-Executive Director

Mr. Priyantha Fernando holds a B.Sc degree from the University of Peradeniya and a M.Sc degree in Statistics from the University of Birmingham, England. He has over 40 years of experience in the banking and finance sectors, as a regulator and Independent Non-Executive Director. He was appointed to the Board on 27 December 2011 as an Independent Non-Executive Director.

He was attached to the Central Bank of Sri Lanka, serving in senior and diverse capacities. He was the Deputy Governor of the Central Bank of Sri Lanka, from January 2010 to September 2011 in charge of the Financial System Stability and the Corporate Services clusters. Mr. Fernando has extensive experience and expertise in the fields of Banking and Financial Sector regulation, Information Technology, National Accounting and Statistics, Fund Management, Risk Management, Restructuring, and stabilisation of financial distressed companies. At the Central Bank he was the Chairman of the Financial Stability Committee, Member of the Monetary Policy Committee, Member of the Risk Management Committee and the Chairman of the National Payment Council. He was an Ex-Officio Board Member in several regulatory organisations namely Securities and Exchange Commission of Sri Lanka, the Insurance Board of Sri Lanka, the Chairman of the Credit Information Bureau of Sri Lanka, Chairman of Institute of Bankers – Sri Lanka and Board Member at Employer's Trust Fund, Lanka Clear (Pvt) Ltd and Lanka Financial Services Bureau. During his career he has initiated and spearheaded

several key projects of national importance, especially in the area of the advancement of the national payments and settlement system, infrastructure. Mr. Fernando has served in a number of committees at national level covering a range of subjects representing the Central Bank. Presently, Mr. Fernando holds the positions of Chairman Commercial Leasing and Finance PLC, Golden Key Hospitals Limited, Golden Key Credit Card Company Limited, Deputy Chairman of Union Bank PLC and a Non- Executive Independent Director at Millenium IT ESP (Pvt) Ltd., Thomas Cook Travels Sri Lanka (Private) Limited and Imperial Institute of Higher Education.

Mr. Harsha Amarasekera P.C.

Non-Independent Non-Executive Director

Mr. Harsha Amarasekera, President Counsel is a leading light in the legal profession in Sri Lanka having a wide practice in the Original Courts as well as in the Appellate Courts. His fields of expertise include Commercial Law, Business Law, Securities Law, Banking Law and Intellectual Property Law.

He also serves as an Independent Director in several leading listed companies in the Colombo Stock Exchange including CIC Holdings PLC (Chairman), Swisstek (Ceylon) PLC (Chairman), & Swisstek Aluminium Limited (Chairman), Sampath Bank PLC (Chairman), Vallibel One PLC, Royal Ceramics Lanka PLC, Expo Lanka Holdings PLC, Chevron Lubricants Lanka PLC, Amaya Leisure PLC and Vallibel Power Erathna PLC. He is also the Chairman of CIC Agri Business (Private) Limited.

Mr. Sarinda Unamboowe

Independent Non-Executive Director

A Director of MAS' Apparel Board, Sarinda is currently the CEO & Managing Director of MAS Kreeda, the Nike division of MAS Holdings, and heads Environmental Sustainability for the Group. Having joined MAS in 2001 as the CEO of Linea Aqua, he is also a member of MAS' Innovations Leadership Team and serves on the Board of Biodiversity Sri Lanka.

An alumnus of Ithaca College, New York, Sarinda received his Executive education at the INSEAD School of Business, Cornell University and Tuck School of Business at Dartmouth. He is also a recipient of the Humanitarian Alumni Award 2016 conferred by his alma mater — Ithaca College for his humanitarian efforts and is a Trustee of two separate charities namely - The Colours of Courage Trust and The Wheels for Wheels Foundation.

Mr. Revantha Devasurendra

Alternate Director to Mr. A. L. Devasurendra (w.e.f. 22nd July 2020)

Mr. Revantha Devasurendra holds a Bachelor of Arts with honours in industrial economics from the University of Nottingham and a certificate in Hotel Real Estate Investments and Asset Management from Cornell University's School of Hotel Administration. Mr. Devasurendra holds directorships in Cyril Rodrigo Restaurants (Pvt) Ltd, Dankotuwa Porcelain PLC, Navitas Investments (Pvt) Ltd, CHC Investments (Pvt) Ltd, Ceylon Hotels Investments (Pvt) Ltd, United Hotels Company (Pvt) Ltd, Live is to Travel (Pvt) Ltd, British Ceylon Capital (Pvt) Ltd, Wild Ceylon (Pvt) Ltd and Nidanwelawatta (Pvt) Ltd.

Mr. Ranil Pathirana

Non-Independent Non- Executive Director

Mr. Pathirana was appointed to the Board of Ambeon Capital PLC on 26 October 2015. He is a Director of Hirdaramani Apparel Holdings (Private) Limited, Hirdaramani Leisure Holdings (Private) Limited and Hirdaramani Investment Holdings (Private) Limited which are the holding companies of the Hirdaramani Group. He is also the Managing Director for Hirdaramani International Exports (Pvt) Limited, a Director of Star Packaging (Private) Limited and Windforce (Private) Limited.

Mr. Pathirana is a Non-Executive Director of Sampath Bank PLC, Ceylon Hotels Corporation PLC, BPPL Holdings PLC, ODEL PLC & Alumex PLC. He is a Fellow Member of the Chartered Institute of Management Accountants, UK and holds a Bachelor of Commerce Degree from the University of Sri Jayewardenepura.

Deshamanya Deva Rodrigo

Independent Non-Executive Director

Deshamanya Deva Rodrigo, a Fellow Member of the Institute of Chartered Accountants of Sri Lanka, is the former Territory Senior Partner of PWC, Sri Lanka and Maldives, and a past Chairman of the Ceylon Chamber of Commerce. He was appointed to the Board on 26 October 2015 as an Independent Non-Executive Director.

He has held many public appointments and served as a Non-Executive director of three multinational companies and three local conglomerates. Non-Executive Directorship at Ambeon Capital PLC is the last such appointment he holds, from which he will step down at the AGM to be held on 26th November 2020.

Our Story of Transformation & Growth

Ambeon Holdings PLC

The main subsidiary, Ambeon Holdings PLC is a holding and management Company listed in the Colombo Stock Exchange. The Company further has a diverse portfolio of investments in areas of financial services, manufacturing, real estate, technology and strategic investments. The Group was restructured over the last two years clearly differentiating the larger business areas handled by both Ambeon Holdings PLC and its holding company, Ambeon Capital PLC, reflecting their own identity and growth potential. The Group embarked on an extensive restructuring programme in the financial year 2017/18 across all its subsidiaries with the aim of reorganising work processes and frameworks.

Ambeon Capital PLC was set up with the vision of establishing a group of companies to build a fund reserve that accumulate capital through the provision of a range of financial services. Consequently, the Company has progressed into an investment holding Company and remains the parent Company of its main subsidiary Ambeon Holdings PLC.

The Company established strategic alliances and is powered and guided by the renowned corporate giants – the Galle Face Hotel Group, textile giant Hirdaramani Group and Navitas Investments as part of its expansion drive, further consolidating the Group's portfolio. Currently, the Group's portfolio comprises of brands which have gained a reputation both in the local and global front. With an employee base of over 2900 persons converging together as a team, inspired by spirit of enthusiasm and entrepreneurship mindset, the Company is steadfast in building a sustainable business model that enables value creation for all its stakeholders.

In its drive to move forward as a sustainable business entity under a new vision of leadership, the Company took a leap forward with its strategic move to reposition the entity to represent the Group's business vision while taking on the dynamic, technology driven business world of tomorrow. This process of transformation entailed restructuring of its diversified businesses ushering collective focus, harnessing synergies, managing internal controls, improving processes, optimising investments and improving shareholder value thereby creating prospect leverage on latent opportunities transforming

them into lucrative ventures that deliver sustained value. This financial year witnessed the progress made following the restructuring process introduced in the previous financial year. This restructuring process has supported conspicuous growth in key sectors brining about increased profitability gaining a considerable market share within key sectors such as textiles, porcelain, leather, IT, financial services and real estate and earning the recognition as a diversified mid-sized business entity. This position was further strengthened by its robust Governance, Risk and Compliance (GRC) framework, centralised Treasury Management, Human Resource Management and an Information Communication Technology platform.

Aligning with the responsible corporate practices, the Group promotes sustainable business practices across the manufacturing and service sectors and encourages energy efficiency, the use of alternative energy and responsible waste and effluent management practices across the Group.

Strategic Framework and Current Positioning

The restructuring programme of Ambeon Holdings PLC commenced during the financial year 2017/18 that was completed during the financial year 2019/2020. The principal objective was to widen the active investments of the Company and reposition itself as a diverse conglomerate under the new brand name - Ambeon. The new strategy involved expansion of active investments, drawing up and handholding subsidiary strategies whilst deploying teams as required to revitalise and reposition businesses where required. The Company was rebranded and repositioned during the year, bringing in a totally new set of values and business focus.

Strategic Framework

The Company launched five futuristic pillars during the year under review that remain the basis of the Group restructuring process and the Group Vision for the year 2020 and beyond.

Corporate Strategy

In facilitating greater value enhancements to all stakeholders, an integrated Group structure was launched with a well-defined legal framework, corporate positioning, values,

goals, and the business verticals of the Group. By uniquely positioning the individual subsidiaries, enhanced clarity was brought into the business verticals to devise suitable strategic initiatives.

Corporate strategy is built on 5 carefully selected pillars, namely, positioning of business, management, capability and capacity, market space and placement and Investor appetite which are broadly referred to as the 'strategic pillars of value creation.'

Market Space and Placement

The Group focused on active and passive investments to identify and build industries and businesses, this entailed building business strategies for the individual subsidiaries and the Group's customer value proposition for the year 2020 and beyond. Consequently, brand building initiatives were developed and implemented by each sector across their respective businesses creating robust foundation for their respective brands within the key segments. This has enabled the businesses to increase their visibility in their markets both in the local and global sphere. Going forward, establishing regional and global expansion through strategic alliances remains a significant priority of the Group.

Management

The Group has laid out clearly defined policies, processes and procedures along with a strong GRC framework to ensure governance, risks management and compliances, this is built on its robust management structure in order to ensure the efficient operations of the Company. This was further consolidated by the corporate governance processes and the implementation of an integrated risk management framework.

Company Capacities and Capabilities

Building capacities and capabilities has been a top priority of the Group in its sustainable business model. Hence, the Group has consistently focused on building capacities and capabilities of its people, processes, systems, and related resources, while Recognising and filling gaps through skill acquisitions and upgrades where necessary. A critical component of this process is the identification and development of the core ideologies of each business segment.

Consequently, the key businesses within the manufacturing sector underwent a complete product/ process development together with IT backed innovations to enhanced productivity and efficiency.

Investor Appetite

Investor appetite is fulfilled through continuous sustainable value creation to appease their expectations and aspirations and concentrating on achieving resource optimisation and prudent risk management.

The Current Positioning

Ambeon Group – Re-engineering Success

Reinforced by its core business ideology, 'reengineering success', the Group has re-emerged as a successful corporate entity transforming latent business opportunities into lucrative ventures. While this clearly defines us as a unique facilitator in business re-engineering, we are mindful of taking forward this process while following a set of carefully defined and nurtured values that are being propagated and expanded throughout the Group. In this regard, the Company's value proposition facilitates the Group to define who they are and achieve results beyond the ordinary.

Augmented Core

Ambeon Holdings strives to build a solid business entity ensuring that the Group is equipped to handle adversities, both external and internal, in ensuring sustainable future and value creation. As the first step, the Group expanded in areas of financial services and technology, acquiring MillenniumIT ESP and Taprobane Capital Plus (Pvt) Ltd. These have enabled the maintenance of a balanced business portfolio across the overall Group, limiting the total dependency on the manufacturing sector, generating nearly 40% of the Company's revenue from the non-manufacturing sector.

Secondly, the Group expanded its non-manufacturing sector by venturing into the Region by expanding into technology and fintech based businesses. Being a fast growing sector, this has opened many new opportunities regionally and globally. This new market expansion is envisaged to bring about a reduction in the Group's strategic risks. With newly acquired knowledge and

insights into technology, it has helped improve the performance of our manufacturing businesses through improved efficiency. Technology continues to be a strategic and core business for the Group. The Company was able to build a solid background of knowledgeable/competent management, financial services, advisory services along with the technology domain expertise which act as the three pillars that consolidate the businesses all together. This was an important competency for the entity to transform into an investment and management company and thus, Ambeon Holdings is now firmly in place to grow and build stakeholder value across all its investments in a much more positive and holistic manner.

Building Efficiency

The Company is in a continuous quest to build efficiencies across all its investments. The objective to gauge an understanding of future consumer expectations while building the manufacturing process to cater to the same. The reduced delivery times due to technology enabled efficiency building measures using IoT and Artificial intelligence (AI) to move through manufacturing faster and efficiently is considered important and is being examined in-depth. Factory integration is an effort to be flawless and thereby reduce waste and improve capacity. R&D into new technology such as 3D is being actively pursued, not only in areas of manufacturing but also integrating customer experience. Building 3D simulations into the web-based e-commerce sites of

Dankotuwa Group was one such expansion which perhaps is the first of its kind seen in Sri Lanka. Ambeon Group has established innovation as a business discipline within the main management sector, thus giving impetus for innovation lead growth.

The Company is also exploring increased business in the areas of Fintech, given the global trends and bringing in more innovative meaningful products into consumer lives. Whilst being realistic in understanding local compliance requirements together with the intelligence required to adapt such transformations, the exploratory activities to pursue this area is on the cards. Likewise, leading the use of technology to build efficiencies in financial services also remains paramount in the agenda.

In the efficiency building process within the business verticals, effort was taken to rebrand and refocus the technology sector. Considering a more meaningful contribution of other businesses for the future, technology businesses themselves need to build future centric enabled solutions supporting this journey of transformation. The future business would be built on three broad pillars, building efficiencies to have a better delivery system and having a future centric business form the three broad verticals that MillenniumIT ESP will work on in order to build the Organisation's future capabilities. The other efficiency-based activity will be focusing on operations to ensure greater returns on



Our Story of Transformation & Growth

cash deployed along with return on assets being more narrowly defined. This includes better usage of existing hard assets to the divesting of non-core assets whilst building greater efficiencies based on current asset deployment. Manufacturing businesses deploy a fair bit of working capital and efforts are underway to see how best this could be improved. Inventory and management of receivables are the critical success factors for a labour and capital-intensive business and this will continue to be a focal area.

Business Sectors and Way Forward

With the addition of the technology cluster followed by strengthened financial services, the Company now enjoys a greater balance as a conglomerate. Going forward, the Company

will continue its efforts in the capital markets as it is expected to bring about improvements and positive results in the year ahead despite current market sentiments including forex and interest rate uncertainty. This is expected to give an additional boost to the results (quite apart from the other hard asset-based investments).

The segmental review included in this Report will give an overview of all the main business segments (appended for shareholder information). This would provide you a summation of the broad activities and future focus. Given the diversity in business holdings and the ever-changing regulatory and external environment, governance, risk and compliance will be a pivotal point of the Company. Besides, the Group has ensured

a robust ERP system to capture and monitor activities, apart from the presence of risk heads (as required) to board committees in order to monitor and advise.

We will continue to enhance the skills and capabilities of staff across the Company which will be imperative to building a resilient and future centric workforce. Our four pillars of values would form the basis of this process thus enhancing the Group's HR focus.

As a well-balanced conglomerate in the country, the Company envision to conquer new markets, improve business efficiencies and build sustainable business models that will continue to create greater value for stakeholders.

Introduction to the Strategic Business Units

The strategic subsidiaries are aligned under Ambeon Holdings PLC. An Investment Holding and Management Company, Ambeon Holdings PLC, a medium sized conglomerate which has evolved through its many acquisitions. Currently, the Group has a presence in diverse segments catering to local and international markets. The subsidiaries of Ambeon Holdings include:-

Sector	The Company	Areas of Business
Technology	Millennium I.T.E.S.P (Pvt) Ltd (MillenniumIT ESP)	Sri Lanka's leading information systems solutions provider delivering IT solutions for many industries; including banks and finance, telecommunications, apparel and leading conglomerates
Manufacturing Textile	South Asia Textiles Limited	leading manufacturer of exceptional quality weft knitted fabric. The company also specialises in Knitting, Dyeing, Finishing, Printing, Brushing, Sueding and Preshrunk fabric for leading global brands such as Victoria Secret, Next, Marks & Spencer, Tesco, Calvin Klein, Decathlon and Adidas
Porcelain	Dankotuwa Porcelain PLC	Dankotuwa Porcelain PLC and Royal Fernwood Porcelain Ltd., (manufacturers of porcelain tableware and gift items for global giants such as Oneida, Macy's, Country Road, Lenox, John Lewis, Crate & Barrel, Megros, Jashanmal, Ralph Lauren, the Walt Disney Company and Dilmah
	Royal Fernwood Porcelain Limited	A large-scale manufacturer of high quality white and decorated porcelain tableware and figuring ornaments that enjoys a global reputation in the porcelain tableware industry as a reliable supplier to many premium brand names such as Debenhams, Portmerion, Oneida, House of Fraser, John Lewis, Jashanmal, Jumbo Retail, Joules, Crate & Barrel, Country Road, Laduree, Tchibo, Notneutral, XXX Lutz, Lenox, Porsgrund, Fischer, Ritzenhoff, Migross, Ripley, Thun, Narumi, El Corte Ingles, Berghoff, Yalco, Weissesstal and Galerfa Kaufhof.
Financial Services	Taprobane Capital Plus (Pvt) Ltd	a leading financial services provider with a wealth of experience in capital markets in Sri Lanka
Real Estate	Colombo City Holdings PLC	A Company with a rich heritage of over 100 years with ownership of property in strategic locations.

Performance of our main subsidiary Ambeon Holdings PLC, as a Group

The Group's revenue amounted to LKR 19.70 billion compared to that of LKR 17.23 billion in 2018/2019, which was a growth of 14% and Profit from continuing operations came in at LKR 710 million for 2019/20 amidst a turbulent year, proving the Group's resilience. Group Net Profit was LKR 409 million for the year under review. The Operating Cashflow before Working Capital changes was stable at LKR 1.46 billion compared to LKR 1.40 billion last year.



Introduction to Strategic Business Units

Strategic Business Units



MILLENNIUMIT ESP

TECHNOLOGY SECTOR



AN AMBEON COMPANY

About the Company

The technology cluster of Ambeon Holdings is made up by EON Tec (Pvt) Ltd and its subsidiary Millennium I.T.E.S.P (Private) Limited (MillenniumIT ESP) which was acquired in 2017. A leader in the country's ICT industry, MillenniumIT ESP has been in operation since 1996.

As one of Sri Lanka's leading Systems Integrators and information systems providers, the Company has built a diverse clientele across a wide range of industries including banks and finance

Key indicators at a glance



CONTRIBUTION TO GROUP'S
REVENUE

LKR 8.02 Bn

GROUP ASSET
VALUE

LKR 5.40 Bn



TOTAL EMPLOYEES

368

companies, telecommunications, healthcare, and public sector, apparel and conglomerates. Solutions provided by MillenniumIT ESP include Core Infrastructure such as computer and storage, cloud enablement, business solutions such as application integration, Robotic Process Automation (RPA), Artificial Intelligence (AI) and Machine Learning (ML), Customer Relationship Management (CRM) and Managed Services such as outsources technology operations, remote network operations and security operations. The company has also built several global partnerships with leading firms including Oracle, Microsoft, Amazon, IBM, Dell-EMC, Hitachi, Cisco, Google and Infosys. It has also received numerous awards of excellence and innovation across various markets for its products and services around the globe.

Based on clearly defined goals that stem from rapid developments in the ICT industry, MillenniumIT ESP is focused towards enabling emerging trends, whether it is adopting new age technologies such as Artificial Intelligence (AI), Internet of Things (IoT), Robotic Process Automation (RPA) to achieve a higher degree of automation, repurposing existing technologies to enhance ROI, building operational resilience through cloud, or to elevate customer-centricity through data science, to meet the rapidly evolving needs of our customers and drive sustainable and profitable business outcomes. The Company is further working towards developing its own Intellectual Property through technology and creating opportunities for new businesses in the future. With expanded range of products, premier technology and innovation platforms along with the industry benchmarked resource pool MillenniumIT ESP is now positioned to pursue global opportunities as the company expands its footprint across new markets and regions.

Strengths & Opportunities

Strengths:

- Served hundreds of customers over the years
- Professional expertise in IT and emerging areas such as RPA, AI, ML, CRM and Managed Services.
- Global partnerships with firms including Oracle, Microsoft, IBM, Amazon, Dell-EMC, Google, Hitachi and Infosys



Opportunities

- Create market positioning within the fast-developing regional markets
- Emphasise on managed services, NOC and SOC – areas with unlimited global potential

Performance

In the year under review, the Company recorded a growth in turnover with an increase of 23% YoY, amidst fluctuating market dynamics. This was achieved through attracting new customers as well as targeting new sectors, which were untapped in the past. Gross profits during the period expanded by 13% YoY while administrative costs were contained well within budget, leading to a healthy increase in profit before tax (PBT).

Strategic Focus

During the financial year, MillenniumIT ESP laid out a roadmap towards achieving future growth through leveraging on current and future market opportunities and mitigating potential challenges. The Company rolled out its Organisational purpose, refinement of the sales process, future incubation, future growth, methods of improving delivery and utilisation and refined its sales incentive structure during the course of the year under review to determine strategic focus for the future.

The Company restructured its project management function to improve delivery efficiency and also implemented a comprehensive Customer Relationship Management (CRM) solution to enhanced customer affinity. Furthermore, MillenniumIT ESP engaged with STAX, a global management consulting firm to refine the Company's sales process through strengthening opportunity pipeline management and improving the entire sales approach. The engagements pivoted around

five key areas, working towards moderating inefficiencies and optimising the sales process to achieve future growth. In line with the Company's focus on exploring growth in other areas of business, MillenniumIT ESP ventured into Knowledge Process Outsourcing (KPO) through establishing a state-of-the-art Security Operations Centre (SOC) and revamping the Network Operations Centre (NOC) to cater to a growing customer need.

Way Forward

Amidst the COVID-19 pandemic, the silver lining for the ICT industry accelerated the digitisation and automation of businesses. Globally as well as locally, many sectors such as education, retail, healthcare, banking and financial services, food & beverage delivery and banking & finance welcomed and continue to embrace technology and automation. The Company will also explore opportunities posed by cloud and mobility technologies to seek business growth.

MillenniumIT ESP will continue to offer solutions to local corporates across three main sectors including Banking and Financial Services, Telecommunication and strategic sector. The company will further explore opportunities that have been posed to ensure continued productivity, business continuity and stability despite the pandemic and venture into new industries such as healthcare and public services, whilst expanding into solution and service portfolio focusing towards next generation of technology and Knowledge Process Outsourcing (KPO). Managed services, SOC and NOC would be another important area of focus during the coming year. The Company further intends to invest in IP development, IP acquisitions and overseas expansion.

Strategic Business Units



SOUTH ASIA TEXTILES LIMITED

TEXTILE SECTOR



About the Company

Established in 2004, South Asia Textiles Limited (SAT) is a BOI certified company that is now recognised as a leading textile manufacturer in Sri Lanka. The company now specialises in manufacturing weft knitted fabric of the highest quality; in addition, SAT has received nods from international and local clients their capability in Knitting, Dyeing, Finishing, Printing, Brushing, Sueding and Preshrunk fabric. Clients of SAT include luxury brands and global retail giants such as Victoria Secret, Next, Marks & Spencer, Tesco, Calvin Klein, Decathlon and Adidas.

Key indicators at a glance



CONTRIBUTION TO GROUP'S
REVENUE

LKR 9.14 Bn

GROUP ASSET
VALUE

LKR 6.04 Bn



TOTAL EMPLOYEES

1116

The company now operates one of the biggest manufacturing facilities in the country, which is located in Pugoda, with the capacity to manufacture 800,000 kilograms of textiles, monthly.

South Asia Textiles' strategic location, attention to detail and superior levels of client servicing continues to assure these global giants that it is a credible Sri Lankan source for quality textiles that maintains the highest international standards while, at the same time, supplying products fast via short lead times. With an experienced management team at the helm, the company continues to bring in new innovations, fabric solutions, value added products and finishes that meet exacting requirements of leading global designers and brands. Meeting challenges and demands of the global fashion industry, the company continues to attract new customers, maintaining quality and service parameters and focusing on growth through operational and cost efficiencies that continue to result in sustainable benefits and growth of the Company.

Strengths & Opportunities

Strengths:

- Operates one of Sri Lanka's largest textile manufacturing facilities
- Holds strong capabilities in design and production, including new innovations, fabric solutions, value added products and finishes in addition to dedicated customer service
- Scale of operations and manufacturing capabilities
- Established track record in servicing leading international brands
- Trained workforce with specialised skills

Opportunities:

- Equipped to meet the evolving needs of the international fabric market.
- Penetrating untapped geographical markets for market development
- Growing demand for specialised fabrics such as pre-washed fabrics in the international sphere
- Earnings in dollars and the favourable exchange rate conducive to export denominated revenues.

Performance

In the year under review, the company continued on the same growth trajectory, in spite of increasing challenges, which prevailed both in the domestic and global markets alongside unstable market dynamics. In 2019/20 the company had to face the unprecedented impacts from the Easter attacks in April 2019 and COVID-19 based lockdown in March 2020.

On a regional and domestic level, competition between fabric mills paved the way to tightening market conditions. Leading companies continued to tackle rising cost factors amidst declining sales in main segment. This has led to an increased focus on price and efficiency among textile manufacturers.

In the period under review, SAT achieved revenue of LKR 9.1 billion, in comparison to LKR 8.2 billion in the previous year - a growth of 10.17% YoY.

Sustained improvements to the company's processes, improved lead times and sustainable practices resulted in the steady growth of sales, which had a positive impact on topline performance. The amalgamation of these improvements has elevated the company's standing in the market while providing greater clout amongst international clients who place increasing focus on sustainable production practices and eco-friendly supply-chains.

Strategic Focus

Increasing presence on international markets was a focus in the year under review, as the company followed a well-planned market penetration strategy. SAT continued to improve quality of products through improved production processes and by investing in new technologies and machines to reap the highest standards in quality – further solidifying SAT's position as a leading manufacturer of textiles. Process driven efficiency enhancements including lean principles were also an area of focus. This will continue through the current year as well. The company placed greater emphasis and focus on innovation and collaborated with

HeiQ Materials AG, as SAT was nominated for the special programme. Swiss based HeiQ Materials AG is a global leader and creator of some of the world's most effective textile innovation technologies for durable and high-performance textile technologies used in producing specially treated fabric for masks in the US.

In addition, the company continued to maintain certifications for international standards and implemented the quality circle concept, ensuring that quality is sustained as a key focus within the complete organisation.

Way Forward

With the emergence of COVID-19, the local textile industry has entered a new phase of diversified products by providing protective wear and masks, setting an exemplary record of its response to the demands of the unprecedented times. In the midst of these developments SAT also retains its position as one of the top five textile manufacturers in the nation.

In the ensuing years, SAT will invest further in advanced technologies and upgrades in dyeing and finishing capabilities. The company will also continue to reap value through investments in printing in the medium term. SAT will also explore other investments in water treatment and recycling such as reverse osmosis and investing in solar power installation to optimise the use of sustainable and renewable energy sources.



Strategic Business Units



DANKOTUWA PORCELAIN PLC

PORCELAIN MANUFACTURING SECTOR



About the Company

Commencing in 1984, Dankotuwa Porcelain PLC (DPL) sustains its position as a premier porcelain manufacturer in Sri Lanka with products exported to a strong clientele in 50 countries including USA, India, Japan, Europe, Australia and Scandinavia. DPL works with around 40 global brands in porcelain manufacturing, retailers and hospitality brands. Across 35 years, DPL has earned global recognition for manufacturing high quality porcelain ware with versatile and elegant designs and a wide array of collections and variations for a diverse mix of clients.

Key indicators at a glance



CONTRIBUTION TO GROUP'S
REVENUE

LKR 1.33 Bn

GROUP ASSET
VALUE

LKR 4.13 Bn



TOTAL EMPLOYEES

666

The Company is known widely for the brilliant whiteness in its white-ware, which are free from lead, cadmium and animal bone ash.

With a capacity to manufacture around 4.2 million products annually, the Company operates through a manufacturing facility located in Dankotuwa. DPL also conforms to the requirements of ISO 9001:2015 and meets requirements as per the CTPAT certification.

DPL operates a total of five showrooms in strategic locations across Colombo and Negombo, with its Signature Showroom located on Guildford Crescent, Colombo 7. In 2019, DPL opened its newest showroom at the Shangri-La "One Galle Face" Mall offering an upscale shopping experience to foreign and local customers. Dankotuwa branded products are also available through some of the country's leading supermarkets and shopping centers such as Arpico, Damro, Thilakawardenana, and CIB.

Strengths & Opportunities

Strengths:

- Global client-base of leading brands and is a supplier to international retailers with the requisite production capacity to handle large orders.
- Pristine whiteness of porcelain ware – a key differentiator
- Track record of offering and delivering international quality standards. All products comply with ISO 9001:2015 and CTPAT certification requirements.
- Island-wide presence through showrooms and dealer network
- Cruelty free, Lead Cadmium free, environmentally friendly products.

Opportunities:

- Growing demand for lifestyle products in the long term in the local market.
- Expanding to international markets and unchartered territories
- Expanding the product line with new innovative products such as porcelain inspired jewelry.
- Leverage new technologies and automation solutions to increase efficiency levels

Performance

Operations and interests of DPL remained somewhat insulated from the negative effects of the Easter Bombings in 2019 and from the COVID-19 outbreak. The company witnessed resilience within the adverse period of time as strategic transformations from the previous years benefitted in reducing costs, improving human interventions and in optimising overall productivity.

The period under review posed significant opportunities for growth, enabling DPL to expand its reach and its product portfolio. The company diversified towards non-tableware during the year, through new additions to the portfolio. Some of these innovations involve specialised product categories and unorthodox innovations, which saw the company venturing towards electronic based porcelain products and planting of QR Codes on, selected tableware: these in turn have generated new rev

During the year, DPL achieved a turnover increase of 8% (YoY) reaching LKR 1,328.4 million, while profit after tax had a 82% reduction on a year-on-year basis. Revenue from domestic sales stood at LKR 747.1 million in comparison to LKR 678.3 million. Export revenue rose to LKR 581.3 million during the period reporting a YoY growth of 5%. due to diverse revenue options while reducing dependence on lower-margin product categories.

Strategic Focus

DPL continued to consolidate its position even amidst the challenging domestic environment – sustaining its position as a leading manufacturer and exporter of porcelain ware in the country. The company continued to form strategic partnerships with retailers and dealers, increasing its product presence in the island – especially with a move to market products in the North.

During the year, the company focused mostly on enhancing operational efficiencies including better management of working capital and inventory. As a result there were commendable reductions in unused stock, raw materials and waste. New processes were implemented for better utilisation of raw materials by redirecting the company's focus on the principle of made-to-order, which in turn reduced DPL's resident inventory; in addition to automation of key processes which improved productivity and optimised costs, these initiatives also supported reduced human inefficiencies and created new standards in quality and productivity.

No additional capital was infused as a result of these measures enabling DPL to balance production capacity and annual production volumes. The culmination of these events showcase the success of the company in terms of management capabilities against the company's far sighted goals of growth. Additionally, the company assessed the potential of its human capital with a focus on providing technical and leadership training along with cross-functional exposure.

Way Forward

Cognizant of the uncertainties in both local and cross border markets the company continues to focus on optimising efficiencies and enhancing production capacities by restructuring processes and adopting best practices, while focusing on automation. Such initiatives are expected to bring in considerable improvements in productivity without deviating from high standards of quality and excellent design aesthetics. The company also plans to attract B2B orders on domestic grounds, in the prospect of scaling marketing initiatives through digital streams and social media platforms, targeting a wide base of customers in a strategic manner.



Strategic Business Units



ROYAL FERNWOOD PORCELAIN LIMITED

PORCELAIN MANUFACTURING SECTOR



About the Company

Incorporated in 1994, Royal Fernwood Porcelain Limited (RFPL) is a manufacturer of high quality porcelain tableware and figurines with a core focus on export based manufacturing. RFPL began commercial production in 1997 with its first consignment sent to the United Kingdom. In 2013, DPL acquired the company as part of its plans to diversify the company.

Key indicators at a glance



CONTRIBUTION TO GROUP'S
REVENUE

LKR 919 Mn

GROUP ASSET
VALUE

LKR 1.9 Bn



TOTAL EMPLOYEES

497

Exports contribute to approximately 70% of Company revenue with target demographics being youth and millennial, who value high-quality products with better value for money. RFPL is known for specialisations in various forms of glazes, colors, and distinct hand-painted patterns and etches giving them a unique recognition amongst clients. RFPL's base of clients entails globally prominent retail brands and manufacturers; spread out across 55 countries, including those Japan, Australia, Scandinavia and the USA. Brands include Debenhams, Portmerion, Oneida, House of Fraser, John Lewis, and Jashanmal to name a few, and include several up-scale retail brands. RFPL deploys advanced techniques in hand glazing, hand painting and in applying platinum, silver and gold-laced decals in meeting the evolving aesthetic pallets of its audience.

Strengths & Opportunities

Strengths:

- Contemporary vibrant designs with an expansive product range of porcelain ware and figurines.
- Large scale manufacturing capacity geared to produce quality products.
- Established relationships with key brands and well-developed department stores worldwide.
- Distribution capacity, which is built on the Dankotuwa Porcelain local footprint.
- Only porcelain tableware manufacturer to be endorsed by SLS (SLS 1222:2001 certified)

Opportunities:

- Leverage new technologies and automation solutions to increase production efficiency gains.
- Ability to respond to market needs with new innovative products within shorter lead times.
- Expand to uncharted business territories globally.
- Capture a niche area in the local market for lifestyle products, which would expand with envisaged improvements in the market.

Performance

During the year under review, RFPL worked through the volatilities of the domestic front while grappling macroeconomic dynamics that continued to change. The company remained resilient achieving performance targets with



some impact but continued to increase operational efficiencies and productivity levels.

The company commenced the financial year on a positive note enjoying an average 10% growth across the past three years. However, the social and economic ramifications of the Easter attacks thwarted the company's trajectory throwing off revenue from domestic sales. Subsequent to the attacks there was a notable decline in sales as customers showed reluctance to celebrate the new-year season or purchase wedding gifts due to security concerns. In view of the situation RFPL introduced gift cards, creating an inventive method for customers to purchase porcelain ware for gifting.

Nevertheless, the company regained momentum in the subsequent quarters bouncing back to the usual pace in sales projections. Turnover for the year decreased by 3.4% while PAT decreased by 81%.

Despite the normalcy achieved in the 2nd and 3rd quarters of the FY, RFPL once again faced setbacks through COVID-19 and the lockdown imposed as a result. But as the nation held in check the spread of the virus through effective containment measures, RFPL was able to sustain operations post-lockdown, reinstating production within a strict framework of health regulations. RFPL faced only minimal order cancellations but was able to regain orders, rescheduling production and delivery within a week, amidst limited operational capacities, commencing with only 30 employees.

Strategic Focus

During the year under review, RFPL introduced 25 new products and designs, while also pursuing innovation through

focused research and development. The Company's new developments included the porcelain rice cooker, which can be used to prepare rice in a microwave and as tableware. These innovations and the introduction of new products reflect the Company's strategic drive to anticipate, research and meet the market needs of modern consumers.

In addition, RFPL collaborated with its parent company Dankotuwa Porcelain, to develop and manufacture a modified version of a steam inhaler. The product which was initially designed and advised by Dr. Charith Nanayakkara, lecturer attached to the Department of Surgery, General Sir John Kotelawala Defense University and who specialises in Neurosurgery is said to be ideal for individuals who wish to use steam inhalation as a preventive measure for any respiratory tract infections. The Company further produced a specialised porcelain-based heater insulator for an international buyer in the telecommunications sector. As such, technology-oriented designs have opened up new avenues of growth for the porcelain-manufacturing sector. Technology-oriented products will enable the Company to achieve high margin sales.

Way Forward

Building on the efficiencies of the current financial year, RFPL is set to pursue innovation and maintain frequency of unveiling new designs to appeal to its target audience of young, energetic millennials. The Company plans to explore opportunities in 3D printing molds and repurposing old stock to add value to end-products. Moreover, the Company will pursue further streamlining of the production process whilst also upgrading machinery and equipment to improve production efficiency and lead-time.

Strategic Business Units



COLOMBO CITY HOLDINGS PLC

REAL ESTATE SECTOR



About the Company

The real estate cluster of the Group comprises of Colombo City Holdings PLC (Colombo City Holdings formerly known as Colombo Pharmacy) has a rich legacy spanning over 100 years in the ownership of prime property at strategic locations in Colombo and is a public quoted Company listed in the CSE. The Company ventured into real estate management in July 2013 and was subsequently renamed Colombo City Holdings PLC.

Key indicators at a glance



CONTRIBUTION TO GROUP'S
REVENUE

LKR 15.28 Mn

GROUP ASSET
VALUE

LKR 2.24 Bn



TOTAL EMPLOYEES

5

Today, the Company owns prime real estate and manages rental properties as core business areas providing superior returns to stakeholders whilst investing prudently any excess liquidity. The Company also manages Ambeon Groups' corporate office building situated in Gothami Road, Colombo 8. In 2018/2019, the Company acquired Lexinton Holdings (Pvt) Limited (Lexinton) for an investment of LKR 414 million, further strengthening the Organisations portfolio.

Strengths & Opportunities

Strengths:

- Cash positive entity
- Property located in key strategic locations
- Expertise in property development and management

Opportunities:

- Leverage on the growing real-estate market to venture into lucrative business areas.
- Exploring opportunities posed by PropTech and REITs

Strategic focus

The Company will continue to strengthen and secure its financial position through continued prudent investments coupled with rigorous risk assessment criteria. Going forward, the Company will take a three-pronged approach, ensuring recurrent income from rental property, which led to the acquisition of Lexinton property in early 2019 constant focus on prudent and well-calculated financial investments, as well as remaining vigilant on the emerging trends in the property development industry to consolidate the existing portfolio.

Performance

CCH's profits came in at LKR 184 million due to the first-time consolidation of the full year results of Lexinton, finance income from prudent investments and fair value gains on the investment property. The Company's profits for the year stood at LKR 184 million indicating a marginal increase when compared to the LKR 181 million profit recorded during the previous financial year (excluding a one-off deferred tax gain). The net assets of the Group remained strong at LKR 2.27 billion with reserves amounting to LKR 2.26 billion for the year under review.



In the medium-long term maintaining occupancy would be the main challenge, however, CCH's consistent renewal rates on agreements and stable relationships with tenants are expected to mitigate risks. The prevailing low interest rates could depress finance income, which is also a major revenue source for CCH, however our strategic focus and channeling of liquid assets to more profitable investments are expected to soften the impact. We shall continually assess and evaluate the opportunities that may arise in niches and segments that are profitable for the Group and in enhancing value to the shareholders.

Way Forward

Currently, CCH is well poised to further strengthen the financial position of the

Company and explore business opportunities in alternative business domains. The Company will pursue growth opportunities and challenges, which follow post-pandemic behavioral patterns with increased focus on e-commerce, work-from-home trends. As such, the Company intend exploring opportunities posed by PropTech to augment its business offering.

CCH is also interested in pursuing the opportunities extended by REITs. Prudent consideration of market trends and comprehensive risk analysis prior to investments will pave the way towards creating greater value for stakeholders.

Strategic Business Units



TAPROBANE CAPITAL PLUS (PVT) LTD

FINANCIAL SERVICES SECTOR



About the Company

The financial services segment of Ambeon Capital PLC comprises of Taprobane Capital Plus (Pvt) Ltd. (TCP) - a fully owned subsidiary of Ambeon Holdings PLC. As a financial services provider TCP has earned a positive reputation for profitability that is supported by its lean structure and efficient operations.

Key indicators at a glance



CONTRIBUTION TO GROUP'S
REVENUE

LKR 131.7 Mn

GROUP ASSET
VALUE

LKR 387 Mn



TOTAL EMPLOYEES

37

As the financial arm of the Ambeon Group the company manages fixed income, while also providing treasury and strategic financial services to the Group and is also engaged in stock broking and money broking via its wholly owned subsidiaries Taprobane Securities (Pvt) Limited and Taprobane Investments (Pvt) Limited.

The Company's money brokering subsidiary - Taprobane Investments, caters to B2B clients predominantly from the banking and financial services industry. Furthermore, the stockbroking arm of the Company, Taprobane Securities caters to retail and institutional clients. Activities of Taprobane Securities are governed by the regulations of the Colombo Stock Exchange and conform to the Securities Exchange Commission Act No 18 of 2003.

Strengths & Opportunities

Strengths:

- Expertise in capital markets and well-experienced management team who counts over two decades of specialised capital market experience.
- Renowned as a pioneer in the Sri Lankan bond market and credited to have managed Sri Lanka's largest nonbank listed debt issue.
- Ranked among the top three money brokers in Sri Lanka and is one of the few profitable stockbrokers operating on a lean structure within the Country.

Opportunities

- Opportunity to diversify its business interests and optimise synergies across the Ambeon Group of companies.

Company Performance

The top line improvement translated into a better performance as the net profit increased during the year to reach LKR 52.41 million. The relatively stable growth of the money brokering revenue and a commendable improvement in the stock broking volumes on the backdrop of falling interest rates resulted in an overall growth in the revenue of the segment. Revenue ameliorated 27% over the previous year to reach LKR 131.7 million in the year under review. Looking ahead, the prevalent low interest rate scenario resulting in better volumes is expected to prove beneficial for the capital markets and in turn the financial services segments.



Strategic Focus

The Company concentrated on weathering external challenges through prudent application of business strategies to maintain the stability of business activities. During the year under review, Taprobane Capital Plus conducted strategic analyses to uncover opportunities on which it would be prudent to invest in the short and medium term.

Way Forward

Taprobane Capital Plus is currently focused on ensuring the stability of business activities whilst also devising a more comprehensive

direction to explore new market opportunities, especially in the Fintech industry. In addition, the Company is currently working towards a more robust governance framework, which will be supported by increased focus on adherence to regulations. Such an opportune combination will enable the Company to strengthen customer confidence and seek sustainable growth and profitability.

Corporate Governance

Good corporate governance is necessary to enable companies operate more efficiently, to improve access to capital, mitigate risk and safeguard stakeholders. Therefore, the Company's corporate governance structure is prudently designed to ensure compliance with regulations and industry best practices, upholding the principles of accountability, participation, and transparency. With these principles as the foundation, we have strived to nurture stakeholder confidence thereby enhancing and maintaining the Company's sustainable business model.

The set of corporate values, a clearly defined code of conduct and an internal control system that is constantly monitored and enhanced to ensure conformity to Company policies and regulations are inculcated across all levels of the Group in ensuring good corporate governance is imbibed into the Group. On this behalf, we consistently review all our systems and procedures for compliance, transparency, and accountability in all business activities, and where necessary, replacing and realigning them for greater internal control.

In order to ensure the quality of our good governance framework, we fully comply with all the mandatory provisions of the Companies Act No. 7 of 2007, Listing Rules of the Colombo Stock Exchange (CSE) and the Securities and Exchange Commission (SEC) of Sri Lanka Act, except for the rules on minimum public float and all other legislation and rules applicable to the businesses of the

Group. Moreover, we have aligned the Group's practices with the Code of Best Practices on Corporate Governance jointly advocated by the SEC and the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).

Governance Framework

The Board

The Board is the supreme governing body of the Group and remain committed to improving governance practices to preserve the best interests of shareholders and other stakeholders.

The role of the Board includes:

Providing entrepreneurial leadership to the Group;

Providing strategic guidance and evaluating, reviewing and approving corporate strategy and the performance objectives of the Group;

Approving and monitoring financial and other reporting practices adopted by the Group;

Reviewing management performance in meeting the agreed goals, monitoring the reporting of performance, and ensuring that the necessary financial and human resources are in place for the Group to meet its objectives.

Reviewing HR processes with emphasis on succession planning for the top management of the Group Companies.

Appointing and reviewing the performance of the CEOs of the Group Companies.

Monitoring systems of governance and compliance of the Group.

Overseeing systems of internal control and risk management of the Group..

Determining discretions/authorities delegated from the Board to the executive levels.

Reviewing and approving major acquisitions, disposals, and capital expenditure.

The Board Composition and Board Balance

The Board composition is primarily focused on ensuring the regulatory compliance and the maintenance of a healthy balance between the Executive, Non-Executive and Independent Directors. The objective is to facilitate access to in-depth business knowledge, allowing access to experience, objectivity, and independent oversight.

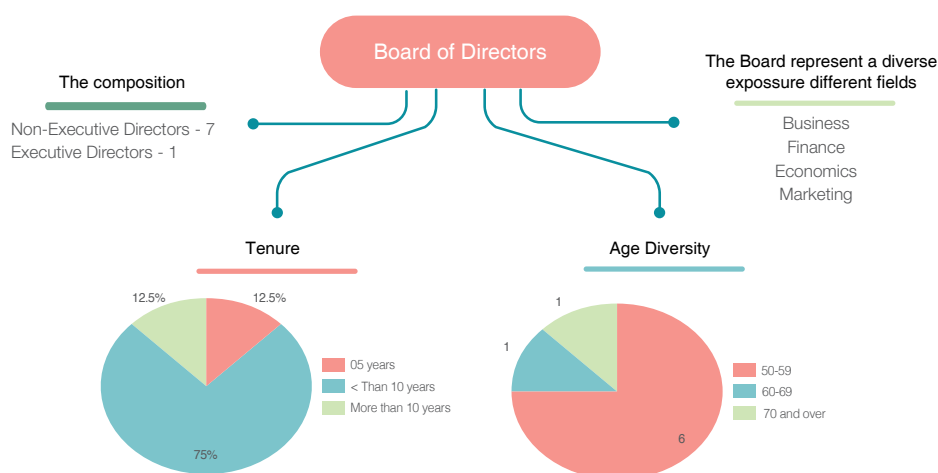
Hence, the present Board comprises of Eight (08) Directors of whom Seven (07) are Non-Executive Directors and One Executive Director. The Non-Executive Directors provide substantial depth of knowledge collectively gained from experiences, having worked across a variety of public and private enterprises in various industries. One of the Board members is a qualified Chartered Accountant who provides the Board with the required financial acumen and knowledge on financial matters.

Board Skills

The Board collectively embodies a wealth of knowledge gained from diverse experience in the fields of business, finance, economics and marketing, providing the Company with extensive knowhow to develop strategies and interpret market trends. Further details of their qualifications and experience are provided under the Board Profiles section of this Annual Report in pages from 22 to 23.

The Board considers that the composition and expertise of the Board is sufficient to meet the present requirements of the Group. Meanwhile, it is being continuously reviewed, but on an ongoing basis to ensure that it aligns with the necessary business needs and intricacy of the Group's operations.





The composition of Board of Directors during the financial year and as at date are as follows:

Name of Director	Position
Mr. Sanjeev Gardiner	Chairman/Non-Independent/ Non-Executive Director
Mr. Ajith Devasurendra	Deputy Chairman/ Non-Independent/Non-Executive Director
Mr. Murali Prakash	Group Managing Director/ CEO
Mr. Priyantha Fernando	Independent/Non-Executive Director
Mr. Harsha Amarasekera	Non-Independent/Non-Executive Director
Mr. Ranil Pathirana	Non-Independent/Non-Executive Director
Mr. Sarinda Unamboowe	Independent/Non-Executive Director
Desamanya Deva Rodrigo	Independent/Non-Executive Director
Mr. Revantha Devasurendra	Alternate Director

Board Independence

The Board accommodates independent Directors in line with regulatory stipulations. Based on the annual declarations made by each of the non-executive directors in accordance with the requirements of the Listing Rules of the CSE, Mr. Priyantha Fernando, Mr. Sarinda Unamboowe and Desamanya Deva Rodrigo are considered independent.

The Board considers the other four non-executive directors, namely Mr. Sanjeev Gardiner, Mr. Ajith Devasurendra, Mr. Harsha Amarasekera and Mr. Ranil Pathirana as non-independent, as they are nominees

of CHC Investment (Private) Limited and ARRC Capital (Private) Limited, the major shareholders of the Company.

Responsibilities of the Chairman and the CEO

There is a clear distinction between the roles of the Chairman and the CEO in order to ensure the balance of accountability and authority between the running of the Board and the executive responsibility for the running of the Group's business.

The Chairman, Mr. Sanjeev Gardiner, provides leadership to the Board ensuring the efficient organisation and conduct of the Board's function, as well as the integrity and effectiveness of the relationship between the non-executive and executive director.

On the other hand, the Group Managing Director/CEO, Mr. Murali Prakash, is responsible for implementing policies and strategies approved by the Board, and develop and recommend the Board the business plans and budgets that support the Group's long-term strategy and vision towards the maximisation of shareholder value.

Chairman	Managing Director/ CEO
Responsibility for running the Board:	Executive responsibility for running the Group's business:
Provide Leadership to the Board	Implement policies/ strategies approved by the Board

Efficient Organisation and conduct Board functions	Develop business plans, budgets
Encourage effective relations amongst Board members	Make recommendations to the Board

Board Meetings and Attendance

The Board meetings are scheduled in advance for each calendar year in order to enable the directors and management to plan accordingly and fit the year's Board meetings into their respective calendars. The Board's annual meeting calendar is prepared with the agreement of all directors and is tabled at a Board meeting held in the final quarter of the financial calendar of each preceding year.

The time allocation for each agenda item in the Board meeting is determined to ensure that the Board meetings are conducted effectively and efficiently. Members of the management and external advisors are invited as and when required to attend Board meetings to present proposals and provide further clarity to the Board.

The Board meetings are held quarterly in discharging its duties effectively, in addition to holding special Board meetings whenever necessary to deal with specific matters. A total of 5 meetings were held during the financial year.

The attendance of directors at these meetings is set out in the table below:

Board Meeting Attendance

Name of Director	Position
Mr. Sanjeev Gardiner – Chairman	5/5
Mr. Ajith Devasurendra – Deputy Chairman	5/5
Mr. P. D. J. Fernando - Director	4/5
Mr. Murali Prakash – Group Managing Director/CEO	5/5
Mr. Harsha Amarasekera – Director	4/5
Mr. Ranil Pathirana – Director	4/5
Mr. Sarinda Unamboowe – Director	3/5
Mr. Desamanya Deva Rodrigo - Director	4/5

Access to Information

The Board is supplied with complete and adequate information in advance of each

Corporate Governance

meeting to enable the Board to make informed decisions. These include an agenda, minutes, board papers with background or explanatory information, financial and operational performance reports.

Further, the Board also receives regular review reports and presentations on business development, risk profiles and regulatory updates. A Director can request any additional information as and when required. While the Board has separate and independent access to the Group's Senior Management, all Directors have access to the advice and services of the Company Secretary, who is responsible to the Board for ensuring that Board procedures and applicable rules and regulations are complied with.

The directors, especially non-executive directors, have access to independent professional advice in the course of fulfilling their responsibilities, at the Company's expense.

Professional Development and Performance Evaluation

Regular trainings are conducted by both external and in-house facilitators where the Directors could update and enhance their existing skills and knowledge. In addition, the Directors are also periodically briefed on changes to relevant laws, regulations and accounting standards which impact the Group's business and the directors.

The Remuneration Committee is responsible for evaluating the Board's performance and decides how the Board's performance may be evaluated and proposes the objective criteria.

Delegation of Authority and Board Committees

Apart from the matters reserved for the Board, the Board has adopted Policies and Limits of Authority framework applicable to the Group, by which the Board has delegated authority to its Board Sub Committees and management.

While Group policies state the principles and sets out the tone by which business is to be conducted, the Limits of Authority set out a clear guidance to management as to the matters over which the Board reserves authority and those which it delegates to management. The Limits of Authority has established a sound framework of authority and accountability, which

facilitates timely, effective, and quality decision making at the appropriate level.

The Board is supported by the following Board Sub Committees which have been delegated with certain specific responsibilities:

- a. Audit Committee
- b. Remuneration Committee
- c. Related Party Transactions Review Committee

All Board Sub Committees have written terms of reference approved by the Board and the Board receives reports of their proceedings and deliberations. In instances where committees have no authority to make decisions on matters reserved for the Board, recommendations are highlighted for Board ratification.

The Chairpersons of each of the Board Committees report the outcome of the Committee meetings to the Board and the relevant decisions are incorporated in the minutes of the Board meetings. M/s Managers & Secretaries (Private) Limited acts as the secretary to all Board Sub Committees.

A brief description of each Board Committee is provided below:

a. Audit Committee

The Audit Committee ensures that the Company and the Group complies with applicable accounting standards, laws and regulations. Additionally, it also ensures high standards of transparency and corporate disclosure and attempt to maintain appropriate standards of corporate responsibility, integrity and accountability to the shareholders. The appointed members of the Audit Committee are required to exercise independent judgement in carrying out their functions.

The activities conducted by the Audit Committee are set out in the Audit Committee Report on pages 45 and 46.

b. Remuneration Committee

The role of the remuneration committee involves formulating, reviewing, approving and making recommendations to the Board with regard to the remuneration of the executive and non-executive directors and key positions within the senior management.

The Remuneration Committee also ensures that it receives quarterly updates from the HR Division on staff related matters.

c. Related Party Transactions Review Committee

The primary function of the Related Party Transactions Review Committee is to review related party transactions as prescribed by Section 09 of the Listing Rules of the CSE.

The above-mentioned Board Sub committees are supported by a comprehensive and effective internal governance structure, consisting of the Group Managing Director/CEO to oversee the overall operations of the Group. Reporting to the Group Managing Director/CEO are the Chief Executive Officers of the subsidiaries that oversee the effective management of the subsidiaries.

Board Committee	Responsibilities
a. Audit Committee	• Ensure compliance with applicable accounting standards and laws. • Ensures high standards of transparency and corporate disclosure. • Maintain appropriate standards of corporate responsibility, integrity and accountability to the shareholders. • Exercise independent judgement in carrying out their functions.
c. Remuneration Committee	• Formulate, review, approve and make recommendations to the Board regarding remuneration. • Obtain quarterly updates from the HR Division on staff related matters.

d. Related Party Transactions Review Committee	Review related party transactions as prescribed by Section 09 of the Listing Rules of the CSE.
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Re-appointment and Re-election

In line with the Company's Articles of Association, directors who were appointed during the year must submit themselves to the shareholders for re-election at the first AGM following their appointment and one of the directors for the time being shall retire from office and re-appointment by rotation at every AGM. The directors who retire by rotation are those who have been longest in office since their appointment/reappointment.

Remuneration

The remuneration policy of the Company endeavours to attract, retain and motivate directors of quality and experience commensurate with the stature and operational complexity of the Company. The remuneration policy for directors is proposed, evaluated, and reviewed by the Remuneration Committee, in keeping with criteria of reasonability.

The remuneration of non-executive directors comprises of fixed allowance paid during the year 2019/2020.

Accountability and Audit Financial Reporting

The Board believes that independent verification is necessary to safeguard the integrity of the Group's accounting and financial reporting.

The Board aims to provide and present a balanced and understandable assessment of the Group's position and prospects. In this regard, the Board has established a formal and transparent process to independently verify and safeguard the integrity of the Group's accounting and financial reporting and internal control systems which are periodically reviewed and monitored to ensure effectiveness.

The Head of Finance has declared in writing to the Board that the financial statements are prepared in accordance with Sri Lanka Accounting Standards and other applicable laws. Statutory auditors' have given an independent opinion as the Company's financials present a true and fair view in all material aspects of the Company's financial condition and that operational results are

stated in accordance with relevant accounting standards.

Recognise and Manage Risk Internal Control

In ensuring adequate internal controls in the Group, the Board complies with all regulatory provisions and follow best practices. In this regard, the Board acknowledges its overall responsibility in ensuring that a sound system of internal control is maintained to safeguard shareholders' investment and Group's assets.

The effectiveness of the Group's system of internal controls is conducted by the Audit Committee and reports its findings to the Board. The review includes all material controls, including financial, operational and compliance controls and risk management systems. Upon receiving confirmation from the CEO's of the subsidiaries, Head of Finance provide the Audit Committee with a certificate of compliance confirming compliance with all applicable statutory and regulatory requirements on a quarterly basis.

Enterprise Risk Management System

An Enterprise Risk Management system was established and implemented for identifying, assessing, monitoring, and managing material risk throughout the Organisation, which includes:

- Oversight of the risk management system;

- Examination of the Company's risk profile which contains a description of the material risks faced by the Company including financial and non-financial matters;
- Assessment of compliance and control;
- Assessment of effectiveness – mechanism to review, at least annually, the effectiveness of the Company's implementation of the risk management system

Enterprise Risk Management Framework

Internal Audit

Internal audits are conducted by a reputed audit firm which is independent of management. The Internal Auditor has access to management and the authority to seek information, records, properties and personnel relevant to the subject of audit review. Once an audit review is completed, a report is submitted to the Audit Committee.

The Audit Committee oversees the scope of the internal audit and has access to the internal audit without the presence of management.

To ensure independence, objectivity and enhance performance of the internal audit function, a direct reporting line has been created from the internal audit function to the Audit Committee. The activities of the Group's internal audit are detailed in the Audit Committee Report on pages 45 and 46.

Responsible Decision-Making

The Board of Directors are fully aware of their responsibilities in the capacity of directors and adopt an attitude of prudent responsibility with



Corporate Governance

regards to all decision making in relation to Group activities. The Group's Code of Business Ethics and Employee Code of Conduct actively promotes ethical and responsible decision-making while influencing and guiding the directors, employees and other stakeholders of the practices necessary to maintain confidence in the Group's integrity and to demonstrate the commitment of the Group to ethical practices.

Respect for the Rights of Shareholders

The Company maintain regular, proactive, and effective communication with the investors and shareholders. While the Company respects the rights of the shareholders, it also seeks to empower them by communicating effectively and providing ready access to balanced information about the Company.

Communication with Shareholders

The Company communicates with the shareholders through the following means of communication:

a) Annual General Meeting	The AGM is the main event for the shareholders to meet with the Board. This allows reasonable opportunity for informed shareholders to communicate their views on various matters affecting the Company and the forthcoming AGM will be used to effectively communicate with shareholders. The AGM is also attended by the Management & External Auditors.
b) Announcements to the Colombo Stock Exchange (CSE)	In compliance with the Listing Rules of the CSE, announcements of quarterly interim financial results and announcements on corporate actions are disclosed to the CSE in a prompt and timely manner
c) Media Releases	Media releases are made to the media on all significant Group developments and business initiatives through the Group Companies.

Investor Relations

The relevant information about the Group of Companies are disseminated by the Group Investor Relations (IR) Team to the investor community, which include particularly the institutional fund managers and analysts. The IR team maintains close contact with the investor community by means of one-on-one meetings, teleconferences, emails etc. to ensure that the Group's strategies, operational activities and financial performance are well understood and that such information is made available to them in a timely manner.

Major Transactions

There were no transactions during the financial year deemed as a "major transaction" in terms of the definition stipulated in the Companies Act No. 7 of 2007.

Report of the Audit Committee

Composition of the Board Audit Committee

The Audit Committee appointed by the Board of Directors of Ambeon Capital PLC functions as a Board Subcommittee and is responsible to the Board.

It consists of three Non-Executive Directors all of whom are members of recognised professional bodies. They possess wide ranging experience in banking and finance, audit, regulatory affairs and management. The Chairman of the Committee is a Fellow of the Institute of Chartered Accountants Sri Lanka and a former senior partner of a Big Four accounting firm in Sri Lanka. Two members of the Committee are Independent Non-Executive Directors. The biographical details of the members of the Audit Committee, are set out in the Directors Profiles section of the Annual Report.

Meetings

The Board Audit Committee held four meetings during the period under review.

Name of Director	Attendance
Desamanya P D Rodrigo	4/4
Mr. Ranil Pathirana	1/4
Mr. P. D. J. Fernando	4/4

The minutes, agenda, and papers required for the Audit Committee meetings were provided to the members well in advance and the members have access to the management to make further inquiries relating to any matters in the Agenda where necessary. In the event any member is unable to attend the Audit Committee meeting, his concerns and any clarification are communicated to the Chairman – Audit Committee who then takes them up at the Audit Committee meeting.

The quorum for a meeting of the Committee is two Audit Committee members.

The Chief Executive Officer, other executive directors, the Chief Financial Officer, representatives of the firm of Chartered Accountants providing Internal Audit services and other Executive Directors attend meetings of the Committee by invitation.

The Committee invited members of the Senior Management of the Company to participate in

the meetings from time to time on a need basis. The External Auditors also attend the meetings whenever they are invited.

The Company Secretary, functions as the secretary to the Audit Committee.

A summary of the proceedings in the form of key findings and action required by the board are either conveyed in writing or reported orally by the chairman at the board meeting following the BAC meeting.

The Role and Responsibilities of the Audit Committee

The scope and responsibilities of the Board Audit Committee are set out in the Audit Committee Charter. The Board periodically reviews the Terms of Reference of the Committee. The Board Audit Committee assists the Board in its general oversight of financial reporting, internal control systems and functions relating to internal and external audits.

The main objective of the Audit Committee is to assist the Board of Directors in exercising its fiduciary responsibilities towards its stakeholders. The Committee is entrusted by the Board specifically to:

- (i) Ensure that financial reporting system in place is effective and well managed to provide reliable, appropriate and timely information to the Board, Regulatory Authorities and other stakeholders and ensure financial statements integrity.
- (ii) Oversee the accounting function and review the Annual Financial Statements and Interim Financial Statements prior to their approval by the board of directors. For this purpose the BAC reviews financial statements for compliance with statutory requirements, accounting standards and for consistent application of accounting policies.
- (iii) Ensure that Risk Management Systems and Internal Controls of the Company are adequate and effective in operation.
- (iv) Assess the independence and review adequacy of the scope, functions and resources of the Internal Audit Team.
- (v) Review and monitor the External Auditors' independence and objectivity and their performance.
- (vi) Ensure that sound corporate governance practices are in place within the Company.

Financial Reporting

The Committee reviewed the interim and year-end financial statements and cleared them for approval by the board and issue to the CSE.

The committee reviews and discusses the management letter and any other report issued by the external auditors to obtain comfort that the financial statements comply with SLFRS/ LKAS and legislation.

These reviews facilitated the work of the Committee to monitor compliance with SLFRS/ LKAS and the other related legislation and also to ensure the integrity of the information provided to the Company's stakeholders.

At the conclusion of the statutory audit the BAC had a meeting exclusively with the External Auditors to give them unhindered access to the independent directors to discuss matters relevant to the audit and audit findings, including any matter they did not wish to report in writing or take up with the management.

Risk Management and Internal Control

The Committee reviewed the process by which Ambeon Capital evaluated its control environment, its risk assessment process and the way in which significant business risks were managed. It also considered the Internal Auditor's reports on the effectiveness of internal controls, frauds, errors and the responses of the management including corrective action taken on the recommendation of the internal auditor.

External Auditors

The Committee reviews annually the non-audit services provided by the External Auditors, Ernst & Young, to evaluate their independence and objectivity. The Committee also obtains assurance from the external auditors that their scope of work has not been limited or compromised in any way.

Report of the Audit Committee

Prior to commencement of the annual audit, the Committee discussed with the External Auditors, their audit plan, audit approach, and matters relating to the scope of the audit.

Internal Audit

The Committee monitored and reviewed the scope, extent and effectiveness of the activities of the independent firm of chartered accountant engaged to carry out the internal audit. The Committee engaged in the discussion and review of the internal audit plan for the year. During the year the Committee also reviewed the audit reports covering matters pertaining to company and its subsidiaries and implementation of audit recommendations. Audit findings presented in the reports were prioritised based on the level of risk involved. The Audit Committee provided advice to Corporate Management on the precautionary measures that were necessary with regard to significant audit findings. Internal audit reports were made available to the External Auditors as well.

Statutory and Regulatory Compliance

The Committee reviewed the procedures established by the Management for compliance with the requirements of various regulatory bodies. The Chief Financial Officer submitted a report to the Audit Committee on a quarterly basis, indicating the extent to which Ambeon Capital was in compliance with statutory requirements. Due compliance with all requirements are monitored through this process.

Evaluation of the Committee

An independent evaluation of the effectiveness of the Committee was carried out by the members of the Board during the year.

Appreciation

The BAC acknowledges the proactive corporation of the Managing Director, Senior Management, Internal Auditor and the chief risk officer in performing its duties during the year. A special word of thanks is extended to the audit partner and audit engagement team of Ernst & Young for the efficient and timely conduct of the statutory audit and for the helpful recommendation made during the year.

Sgd.

Desamanya P D Rodrigo
Chairman - Audit Committee

02nd October 2020
Colombo

Report of the Remuneration Committee

Role of the Remuneration Committee

The Committee reviews the performance of the executive staff against the set objectives and goals, and determines the remuneration policy of the company for all levels of employees. The Committee supports and advises the Board on remuneration related matters and makes decisions under delegated authority with a view to aligning the interests of employees and shareholders.

Composition of the Remuneration Committee

The Remuneration Committee is a sub-committee of the main Board, to which it is accountable. The present Remuneration Committee comprises of the following Directors.

Mr. R. P. Pathirana - Chairman

Mr. P. D. J. Fernando

Mr. S. W. Unamboowe

The Chief Executive Officer attends the Committee meeting by invitation and the company secretary serves as the Secretary of the Committee.

The Committee members possess wide experience in the fields of business management, human resources management & labour relations. Hence the Committee has adequate expertise in remuneration policy and management to deliberate and propose necessary changes, improvements to meet the roles and responsibility of the Committee.

Responsibility

During the period under review, the committee continued its responsibility of formulating & recommending to the Board, Remuneration policy which would help the Organisation to attract, retain and to motivate its staff taking into consideration industrial norms.

Details of executive remuneration are included under key management personnel compensation as disclosed in page 148 of Annual report.

The committee has reviewed the remuneration policy of the company and made its recommendations and has also advised on structuring remuneration packages in order to attract, motivate and retain quality staff personnel.

Sgd.

Ranil Pathirana

Chairman - Remuneration Committee

02nd October 2020

Report of the Related Party Transactions Review Committee

Purpose of the Committee

The Board established the Related Party Transactions Review Committee on 04 December 2015 as per Listing Rules of the Colombo Stock Exchange (CSE). The purpose of the Related Party Transactions Review Committee (the Committee) is to conduct an appropriate review of the Company's Related Party Transactions (RPTs) and to ensure that the Company complies with the Listing Rules of the CSE. The primary objectives of the said rules are to ensure that the interests of the shareholders as a whole are taken into account when entering into related party transactions and to prevent Directors, Key Management Personnel or substantial shareholders taking advantage of their positions.

Composition

The Committee consists of three members with a combination of Independent Non-Executive Director and Non-Independent Non-Executive/ Executive Directors. The members of the Committee are;

Mr. P. D. J. Fernando - *Chairman/ Independent Non-Executive Director*

Mr. Ranil Pathirana - *Non Independent Non-Executive Director*

Mr. N. M. Prakash – *Managing Director/CEO*

The above composition is in compliance with the provisions of the Listing Rules. Brief profiles of the members are given on pages 22 and 23 of the Annual Report.

M/s. Managers & Secretaries (Private) Limited functions as the Secretary to the Committee.

Role and Responsibilities

The mandate of the committee, derived from the Rules includes the following;

- To develop and recommend a related party transaction policy
- To ensure that the Company complies with the Rules
- To review in advance all proposed RPTs to ensure compliance with the Rules
- To update the Board of Directors on the related party transactions of the Company on a quarterly basis
- Define and establish the threshold values in setting a benchmark for related party

transactions, RPTs which have to be pre-approved by the Board, RPTs which require to be reviewed in advance and annually and similar issues relating to listed Companies.

- To make immediate market disclosures on applicable RPTs as required by the Rules
- To include appropriate disclosures on RPTs in the annual report as required by the Rules

Policies and procedures in related party transactions are being reviewed and strengthened on an ongoing basis.

Necessary steps have been taken by the Committee to avoid any conflicts of interests that may arise in transacting with related parties.

The Policies and Procedures Adopted by the Committee for Reviewing Related Party Transactions.

The Committee formulated and recommended a process for adoption on RPTs for the Company, which is consistent with the operating model and the delegated decision rights.

The Committee in discharging its functions introduced processes and periodic reporting by the relevant entities with a view to ensure that;

- There is compliance with the Rules
- Shareholder interests are protected and
- Fairness and transparency are maintained

Any member of the Committee, who has an interest in RPT under discussion, shall abstain from voting on the approval of such transaction. A RPT entered into without pre-approval of the committee, shall not be deemed to violate this policy, be invalid or unenforceable so long as the transaction is brought to the notice of the Committee as promptly as reasonably practical, after it is entered into or after it becomes apparent that the transaction is covered by the policy. As such all RPTs, other than the exempted transactions, will be reviewed either prior to the transaction is entered into or if the transaction is expressed to be conditional on such review, prior to the completion of the transaction.

All forecasted recurrent RPTs are submitted by Management on a quarterly basis to the Committee for consideration and review. Non-

recurrent RPTs are also reviewed and approved by the Committee prior to the transaction being entered into or if the transaction is expressed to be conditional on such review, prior to the completion of the transaction and the recommendation communicated to the Board for consideration. The Committee is satisfied that all RPTs have been reviewed by the Committee during the financial year and have communicated their observations to the Board. The details of related party transactions entered into during the financial year are given on Note 32 of the Financial Statements, on pages 146 to 148 of this Annual Report.

Meetings

The Committee met four times during the financial year including one circular resolution year under review.

Name of Director	Attendance
Mr. P. D. J. Fernando	4/4
Mr. Ranil Pathirana	1/4
Mr. N. M. Prakash	4/4

Proceedings of the Committee meetings are reported to the Board of Directors.

Sgd.

P D J Fernando
Chairman

02nd October 2020

Annual Report of the Board of Directors on the Affairs of the Company

The Directors of Ambeon Capital PLC have pleasure in presenting to the Shareholders their Annual Report together with the Audited Financial Statements of the Company for the year ended 31st March 2020.

General

Ambeon Capital PLC is a public limited liability Company incorporated and domiciled in Sri Lanka. The registered office and the principal place of business of the company is located at No 10, Gotham Road, Colombo 08.

Principal Activities

During the year the principal activities of the group were manufacture & export of porcelain, textiles and managing property, IT solutions, Investments & financial services.

Review Of Operations

The Chairman's Review on pages 13 and 14 which forms an integral part of these reports provides an overall assessment of the financial performance and the financial position of the company.

Financial Statements

The financial statements of the Group and Company are given on page 58 to 160. Summarised Financial Results.

GROUP & COMPANY				
Y/E 31 March	Group (LKR '000)		Company (LKR '000)	
	2020	2019	2020	2019
Revenue	19,957,341	17,229,838	325,498	7,036
Profit/ (Loss) before tax for the year	693,229	1,305,996	250,000	1,936,739

Auditors' Report

The Independent Auditors' Report on the financial statements is given on page 54 to 57.

Accounting Policies

The accounting policies adopted by the Company in the preparation of financial statements are given on pages from 67 to 84 which are consistent with those of the previous period.

Directors

The names of the Directors who held office as at the end of the accounting period are given below and their brief profiles appear on pages from 22 to 23.

Executive Director

Mr. N. M. Prakash – Group MD/CEO

Non-Executive Directors

Mr. S. E. Gardiner - Chairman
 Mr. A. L. Devasurendra - Deputy Chairman
 Mr. P. D. J. Fernando
 Mr. S. H. Amarasekera
 Mr. R. P. Pathirana
 Mr. S. W. Unamboowe
 Mr. P. D. Rodrigo

Interests Register

In terms of the Companies Act No. 7 of 2007 an Interests register was maintained during the accounting period under review. This Annual Report also contains particulars of entries made in the Interests register.

Directors' Remuneration

The Director's remuneration is disclosed in Note 9 to the financial statements on page No. 89.

The Auditors

The financial statements for the year ended 31st March 2020 have been audited by Messrs Ernst & Young (Chartered Accountants). As far as directors are aware the auditors do not have any relationship (other than that of an Auditor) with the Company except for those disclosed above. The auditors also do not have any interest in the Company.

The audit fee payable to the auditors for the year under review is LKR 419,750 (Group – LKR 9,608,438)

Stated Capital

The Stated Capital of the Company as at 31st March 2020 was LKR 1,053,643,405 (1,002,724,815 Shares).

Directors' Shareholding

The shareholdings of the Directors of the Company are as follows.

As at	31.3.2020	31.3.2019
Mr. A. L. Devasurendra	138	138
Mr. R. P. Pathirana	500,000	500,000
Mr. S. W. Unamboowe	768,783	915,700
Mr. Murali Prakash	20,477	20,477

Major Shareholders, Distribution Schedule and Other Information

Information on the twenty largest shareholders of the company, distribution schedule of the number of shareholders, percentage of shares held by the public as per the Listing Rules of the Colombo Stock Exchange are given on page No. 162 and 163 under Investor Information.

Public Holding

The percentage of public shareholding as at the 31st March 2020 was 2.62%.

Annual Report of the Board of Directors on the Affairs of the Company

Capital Commitments

There were no material capital expenditure commitments as at 31st March 2020 other than those disclosed in Note 31.

Statutory Payments

The Directors, to the best of their knowledge and belief, are satisfied that all statutory dues have been paid up to date, or have been provided for in the financial statements.

Donations

There were no donations made by the Company during the year.

Events Occurring after the Reporting Period

No circumstances have arisen after the reporting period which would require adjustment to or disclosure in the financial statements other than those disclosed in Note 33 on page No. 148 of the financial statements.

Going Concern

The Board of Directors is satisfied that the company has adequate resources to continue its operations in the foreseeable future. Accordingly, the financial statements are prepared based on the going concern concept.

Corporate Governance

Corporate Governance practices and principles with respect to the management and operations of the Company are set out on pages from 40 to 44.

An Audit Committee, Related Party Transactions Review Committee as well as a Remuneration Committee function as sub-committees of the Board and they are composed of Directors with the requisite qualifications and experience. The composition of the said Committees is as follows:

Audit Committee

Mr. Deva Rodrigo - <i>Chairman</i>
Mr. Priyantha Fernando
Mr. Ranil Pathirana

Related Party Transactions Review Committee

Mr. Priyantha Fernando - <i>Chairman</i>
Mr. Ranil Pathirana
Mr. Murali Prakash

Related Party Transactions

The Board of Directors has given the following statement in respect of the related party transactions.

The related party transactions of the Company during the financial year have been reviewed by the Related Party Transactions Review Committee and are in compliance with the Section 09 of the CSE Listing Rules.

Remuneration Committee

Mr. Ranil Pathirana - <i>Chairman</i>
Mr. Priyantha Fernando
Mr. Sarinda Unamboowe

By Order of the Board
Ambeon Capital PLC

Sgd.
Chairman

Sgd
Managing Director/CEO

Sgd.
Managers & Secretaries (Pvt) Ltd
Secretaries

02nd October 2020
Colombo

Statement of Directors' Responsibility

The Directors are required by the Companies Act No. 7 of 2007 to prepare Financial Statements for each financial year, which give a true and fair view of the statement of affairs of the company as at the end of the financial year and the income and expenditure of the Company for the financial year.

The Directors are also required to ensure that the financial statements comply with any regulations made under the Companies Act which specifies the form and content of financial statements and any other requirements which apply to the company's financial statements under any other law.

The Directors consider that the financial statements presented in this annual report have been prepared using appropriate accounting policies, consistently applied and supported by reasonable and prudent judgments and estimates and in compliance with the Sri Lanka Financial Reporting Standards (SLFRS) and Sri Lanka Accounting Standards (LKAS), Companies Act No. 7 of 2007, Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995.

The Directors are responsible to ensure that the company keeps sufficient accounting records, which disclose the financial position of the company with reasonable accuracy and enable them to ensure that the financial statements have been prepared and presented as aforesaid. They are also responsible for taking measures to safeguard the assets of the company and in that context to have proper regard to the establishment of appropriate systems of internal control with a view to prevention and detection of fraud and other irregularities.

The Directors continue to adopt the going concern basis in preparing the financial statements. The directors, after making inquiries and review of the company's business plan for the financial year 2020/2021, including cash flows and borrowing facilities, consider that the Company has adequate resources to continue in operation.

By Order of the Board
Ambeon Capital PLC

Sgd.
Managers & Secretaries (Pvt) Ltd
Secretaries
02nd October 2020



FINANCIAL STATEMENTS

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Independent Auditors' Report



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TO THE SHAREHOLDERS OF AMBEON CAPITAL PLC

Report on the audit of the consolidated Financial Statements

Opinion

We have audited the Financial Statements of Ambeon Capital PLC (the "Company"), and the Consolidated Financial Statements of the Company and its subsidiaries (the "Group"), which comprise the statement of financial position as at 31 March 2020, and the statement of profit or loss, statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the Financial Statements, including a summary of significant accounting policies.

In our opinion, the accompanying Financial Statements of the Company and Group give a true and fair view of the financial position of the Company and Group as at 31 March 2020, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuS). Our responsibilities under those standards are further described in the auditors' responsibilities for the audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key Audit Matters are those matters that, in our professional judgment, were of most significance in our audit of the Financial Statements of the current period. These matters were addressed in the context of

our audit of the Financial Statements as a whole, and in forming the auditors' opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditors' responsibilities for the audit of the Financial Statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the Financial Statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying Financial Statements.

Partners: W R H Fernando FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W R H De Silva ACA ACMA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA Ms. P V K N Sajewani FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA
Principals: G B Goudian ACMA A A J R Perera ACA ACMA T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

Key audit matter**How our audit addressed the key audit matter****ANNUAL IMPAIRMENT ASSESSMENT OF INTANGIBLE ASSETS WITH INFINITE USEFUL LIFE**

Intangible assets include Goodwill on business combination and Brand with infinite useful life.

Intangible assets with infinite useful life is subject to an annual impairment test.

Annual impairment test is based on the recoverable amount determined using value in use computations (VIU). Such VIU calculations are based on the discounted cash-flow models of each Cash Generating Unit (CGU) to which Goodwill has been allocated as further detailed in Note 13. A deficit between the recoverable value and the carrying values of the CGUs including Goodwill would result in an impairment.

The VIU calculations are significant to our audit as it involves management's estimation of future cashflows which is complex and highly judgmental due to considerations relating to expected sales growth, profit margin, working capital cash flows, discount rates and includes the impact assessment of the COVID-19 outbreak as disclosed in Note 13 in the financial statements.

Our audit procedures included the following;

- We obtained an understanding of the management's impairment assessment process;
- We engaged our internal specialized resources to assist us in assessing the reasonableness of the significant assumptions and judgements used by the Group, in particular those relating to the forecasted revenue growth, profit margins, working capital cash flows and discount rates of the separate CGUs of the Group; and
- We also, focused on the adequacy of the related disclosures about the assumptions to which the outcome of the impairment test is most significant, that is, those that have the most significant effect on the determination of the recoverable amount of goodwill.
- The group's disclosures about goodwill are included in Note 13 to the Financial Statements.

MEASUREMENT OF CARRYING VALUE OF LAND AND BUILDINGS

As at 31 March 2020, land and building carried at fair value amounted to Rs. 1.9 Bn and Rs. 4.4 Bn classified as Property, Plant and Equipment and Investment Property respectively. The Group has recorded revaluation gain of Rs. 190 Mn and fair value gain of Rs. 790 Mn during the year, in respect of Property, Plant and Equipment and Investment property respectively.

The fair value of such properties were determined by external valuers engaged by the Group.

The valuation of land and building was significant to our audit due to the use of significant estimates such as per perch price, value per square feet and the assessment of the impact of the COVID 19 outbreak on such valuations as disclosed in Note 12 and 15 to the Financial Statements.

Our audit procedures focused on the valuations performed by external valuers engaged by the Group, and included the following;

- Assessing the competency, capability and objectivity of the external valuers engaged by the Group;
- Reading the professional valuers' reports and understood the key estimates made and the approach taken by the valuers in determining the valuation of each property;
- Engaging our internal specialised resources to assess the reasonableness of the valuation technique, per perch price and value per square feet;
- We also, assessed the adequacy of the disclosures made in Note 12 and 15 to the Financial Statements relating to the valuation technique and estimates used by the professional valuers.

Independent Auditors' Report

Key audit matter

How our audit addressed the key audit matter

REVENUE RECOGNITION

As disclosed in Note 05 to the financial statements, the revenue earned from Information Technology and related services of the group amounts to Rs 8 Bn and represents approximately 41% of the total revenue for the year.

The recognition and measurement of the specified revenue involved use of management's significant judgments such as determining of performance obligations for multiple element arrangements, whether contracts satisfy performance obligations over time or at a point in time and use of percentage of completion method described in Note 2.11.1 to the financial statements and consideration of relevant legal aspects of the contracts and industry practices.

Considering the significance of the above matters and amounts involved, we determined that the recognition of revenue from information technology and related services as a key audit matter.

Our audit procedures included, amongst others, the following:

- Reviewing the revenue recognition policy applied by the Group in Information Technology and related services and its compliance with SLFRS 15 Revenue from Contracts with Customers.
- Testing the operating and design effectiveness of critical controls over revenue recognition.
- Reading a sample of contracts covering all categories of contracts and representing a significant proportion of revenue, to assess whether the method for recognition of revenue relevant and consistent with SLFRS 15 and had been applied consistently. We focused on the identification of performance obligations and the point at which the revenue should be recognised, allocation of income and cost to the individual performance obligations and timing of transfer of control.
- Where a contract contained multiple elements, on a sample basis, we considered Management's judgements as to whether they comprised performance obligations that should be accounted for separately, and in such case, evaluated the judgements made in the allocation of the consideration to each performance obligation.
- For the sample of selected contracts, we evaluated the significant judgements and estimates made by the Management, obtained evidence to support them, including details of contractual agreements, delivery records, cash receipts and project plans. This also, included, reconciling the revenue recognised to the underlying accounting records.

Other information included in the Group's 2020 Annual Report

Other information consists of the information included in the Annual Report, other than the Financial Statements and our auditors' report thereon. The Management is responsible for the other information. Other information is expected to be made available to us after the date of this auditors' report.

Our opinion on the Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Financial Statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the Financial Statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work

we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

Responsibilities of management and those charged with governance

Management is responsible for the preparation of Financial Statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of Financial Statements that are free from material misstatement, whether due to fraud or error.

In preparing the Financial Statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process

Auditor's responsibilities for the audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Financial Statements

As part of an audit in accordance with Sri Lanka Auditing Standards, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company and Group.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the Financial Statements, including the disclosures, and whether the Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated Financial Statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditors' report is 1697.



02 October 2020
Colombo

Statement of Profit or Loss

		Group		Company	
Year ended 31 March		2020	2019	2020	2019 Re-stated
	Notes	LKR	LKR	LKR	LKR
Continuing Operations					
Revenue	5	19,957,341,124	17,229,838,325	325,498,392	7,036,462
Cost of Sales	6	(15,566,563,175)	(13,242,975,657)	-	-
Gross Profit		4,390,777,949	3,986,862,668	325,498,392	7,036,462
Investment and Other Income	7	165,285,848	334,280,624	457,056	365,046,183
Selling and Distribution Expenses		(883,970,650)	(662,997,388)	(876,471)	-
Administrative Expenses		(2,677,248,334)	(2,111,288,791)	(43,425,466)	(45,064,369)
Change in Fair Value of Financial Assets measured at Fair Value Through Profit or loss		31,472,669	(145,624,635)	18,052,585	2,435,719
Changes in Fair Value of Investment Property	15	790,220,265	831,355,019	2,500,000	1,500,000
Change in Fair Value of Investment in Subsidiary	36	-	-	516,861,808	2,079,149,840
Gain from Disposal of subsidiary		-	-	-	3,361,918
Finance Cost	8	(1,120,238,232)	(926,591,428)	(569,066,986)	(476,726,534)
Share of Results of Equity Accounted Investee	29	(3,070,457)	-	-	-
Profit Before Income Tax from Continuing Operations	9	693,229,058	1,305,996,069	250,000,918	1,936,739,217
Income Tax Expense	10	(147,665,905)	(401,530,041)	(17,531,861)	(1,448,982)
Profit for the Year from Continuing Operations		545,563,153	904,466,028	232,469,056	1,935,290,235
Discontinued Operations					
Loss after tax from discontinued operations for the year	4	(301,832,221)	(391,230,087)	-	-
Profit for the year		243,730,932	513,235,941	232,469,056	1,935,290,235
Profit / (Loss) Attributable to:					
Equity Holders of the Company		(38,420,034)	47,147,271	-	-
Non-Controlling Interests		282,150,966	466,088,670	-	-
		243,730,932	513,235,941	-	-
Basic Earnings / (Loss) Per Share	11	(0.04)	0.05	0.23	1.93
Basic Earnings Per Share from Continuing Operations	11	0.21	0.36	0.23	1.93

The Notes from pages 67 to 160 form an integral part of these Financial Statements.

Figures in bracket indicate deductions.

Statement of Comprehensive Income

		Group		Company	
Year ended 31 March		2020	2019	2020	2019 Re-stated
	Notes	LKR	LKR	LKR	LKR
Profit for the Year		243,730,932	513,235,941	232,469,056	1,935,290,235
Other Comprehensive Income					
Items that will never be reclassified to profit or loss					
Retirement Benefit Obligations Actuarial Gain / (Loss)	23	(26,074,043)	26,703,131	-	-
Tax on Actuarial Gain /(Loss) on Retirement Benefit Plan	25	5,943,476	(12,092,447)	-	-
Change in Fair Value of Financial Assets FVOCI		(8,786,128)	(153,757,244)	-	-
Revaluation Gain on Land and Building		189,717,149	632,299,068	-	-
Tax on Revaluation Gain	25	(68,703,209)	(145,989,358)	-	-
		92,097,244	347,163,150	-	-
Items that are or may be reclassified to profit or loss					
Functional Currency Translation Difference		156,075,551	(378,266,928)	-	-
Tax on Functional currency translation difference		(21,832,534)	52,957,057	-	-
Effect of Cashflow Hedge Accounting	21.2	(40,764,925)	-	-	-
Tax on Cashflow Hedge Accounting		6,476,630	-	-	-
		99,954,721	(325,309,871)	-	-
Total Other Comprehensive Income		192,051,965	21,853,279	-	-
Total Comprehensive Income for the Year		435,782,896	535,089,220	232,469,056	1,935,290,235
Total Comprehensive Income Attributable to:					
Equity Holders of the Company		104,924,284	21,875,941	-	-
Non-Controlling Interests		330,858,612	513,213,279	-	-
		435,782,896	535,089,220	-	-

The Notes from pages 67 to 160 form an integral part of these Financial Statements.

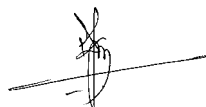
Figures in bracket indicate deductions.

Statement of Financial Position

		Group		Company	
As at 31 March		2020	2019	2020	2019
Notes		LKR	LKR	LKR	Re-stated LKR
ASSETS					
Non-Current Assets					
Property, Plant & Equipment	12	4,773,222,618	5,115,420,532	11,476,105	16,427,629
Intangible Assets	13	1,620,745,310	1,252,382,685	-	-
Biological Assets	14	51,167,075	50,381,950	-	-
Investment Property	15	4,405,315,025	3,612,851,650	33,000,000	30,500,000
Investment in Subsidiaries	16	-	-	9,177,601,891	8,660,740,083
Investment in Equity Accounted Investee	29	11,929,544	-	-	-
Other Financial Assets	17	310,556,761	26,024,108	-	-
Right-of-Use Assets	28	156,964,002	-	4,690,705	-
Deferred Tax Asset	25	81,878,408	160,761,323	-	15,580,670
		11,411,778,743	10,217,822,248	9,226,768,701	8,723,248,382
Current Assets					
Inventories	18	4,094,933,962	4,240,916,106	-	-
Trade & Other Receivables	19	6,392,014,130	6,005,043,760	112,539,745	88,663,548
Other Financial Assets	17	1,998,572,652	1,916,753,871	1,043,426,486	895,197,720
Income Tax Recoverable		45,966,455	37,933,569	-	-
Cash & Cash Equivalents	20	782,950,232	611,908,960	29,277,252	1,212,412
		13,314,437,431	12,812,556,266	1,185,243,483	985,073,680
Total Assets		24,726,216,174	23,030,378,514	10,412,012,184	9,708,322,062
EQUITY AND LIABILITIES					
Equity					
Stated Capital	21	1,053,643,405	1,053,643,405	1,053,643,405	1,053,643,405
Other Components of Equity	21.1	651,359,708	718,649,672	258,920,263	258,920,263
Retained Earnings		1,975,475,189	1,730,353,845	4,536,653,181	4,304,184,126
Equity Attributable to Equity Holders of the Company		3,680,478,302	3,502,646,922	5,849,216,849	5,616,747,794
Non Controlling Interests		3,176,697,941	3,098,213,414	-	-
Total Equity		6,857,176,243	6,600,860,336	5,849,216,849	5,616,747,794
Non-Current Liabilities					
Other Financial Liabilities	27	21,910,743	21,886,803	20,965,777	20,965,777
Interest Bearing Loans & Borrowings	22	3,751,269,536	2,756,475,978	3,303,387,464	2,748,685,133
Retirement Benefit Obligation	23	442,666,690	400,791,670	-	-
Deferred Tax Liability	25	786,304,861	810,764,285	1,951,191	-
		5,002,151,830	3,989,918,736	3,326,304,432	2,769,650,910

		Group		Company	
As at 31 March		2020	2019	2020	2019 Re-stated
	Notes	LKR	LKR	LKR	LKR
Current Liabilities					
Trade and Other Payables	26	3,932,410,752	4,922,462,303	43,368,307	43,669,324
Income Tax Payable		212,399,006	193,412,134	-	-
Contract Liability	24	924,172,960	706,864,079	-	-
Interest Bearing Loans & Borrowings	22	7,797,905,383	6,616,860,926	1,193,122,596	1,278,254,033
		12,866,888,101	12,439,599,442	1,236,490,903	1,321,923,357
Total Equity and Liabilities		24,726,216,174	23,030,378,514	10,412,012,184	9,708,322,062
Net Assets Per Share (Rs.)	11	3.67	3.49	5.83	5.60

I certify that the Financial Statements have been prepared in compliance with the requirements of Companies Act No. 07 of 2007.

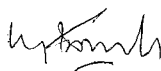


Haritha C. Perera
Chief Financial Officer

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the Board by;



Sanjeev Gardiner
Chairman



Ajith Devasurendra
Deputy Chairman

The Notes from pages 67 to 160 form an integral part of these Financial Statements.

Figures in brackets indicate deductions.

02 October 2020
Colombo

Statement of Changes in Equity

GROUP	Notes	Attributable to Equity Holders of the Group		
		Stated Capital	Fair Value through OCI Reserve	Currency/Exchange Hedge
		LKR	LKR	LKR
Balance as at 01 April 2018		1,053,643,405	(83,979,949)	-
Profit for the year		-	-	-
Other Comprehensive Income		-	(125,204,523)	-
Total Comprehensive Income for the year		-	(125,204,523)	-
Revaluation Reserve Transfer		-	-	-
Transactions with owners of the Group				
Contributions and Distributions				
Subsidiary Dividend Paid to Minority Share Holders	37.1	-	-	-
Dividends paid (LKR 0.36 per share)	21.3	-	-	-
Total Contributions and Distributions		-	-	-
Effect of Change in Percentage Holding in Subsidiary		-	-	-
Total changes in ownership interest		-	-	-
Total Transactions with owners of the Group		-	-	-
Balance as at 31 March 2019		1,053,643,405	(209,184,472)	-
Profit for the year		-	-	-
Other Comprehensive Income		-	(7,154,544)	(19,080,559)
Total Comprehensive Income for the year		-	(7,154,544)	(19,080,559)
Effect of Change in Percentage Holding in Subsidiary		-	-	-
Subsidiary Dividend to Minority Shareholders	37.1	-	-	-
Revaluation transferred to Retained Earnings due to Disposal		-	-	-
Balance as at 31 March 2020		1,053,643,405	(216,339,016)	(19,080,559)

The Notes from pages 67 to 160 form an integral part of these Financial Statements.

Figures in bracket indicate deductions

Revaluation Reserve	Foreign Currency Translation Reserve	Retained Earnings	Total	Non-Controlling Interests	Total Equity
LKR	LKR	LKR	LKR	LKR	LKR
856,717,592	(435,510)	2,151,249,421	3,977,194,959	2,374,960,015	6,352,154,974
-	-	47,147,271	47,147,271	466,088,670	513,235,941
335,884,768	(258,521,866)	22,570,292	(25,271,329)	47,124,609	21,853,280
335,884,768	(258,521,866)	69,717,563	21,875,942	513,213,279	535,089,221
(5,810,840)	-	5,810,840	-	-	-
-	-	-	-	(171,181,230)	(171,181,230)
-	-	(360,980,933)	(360,980,933)	-	(360,980,933)
(5,810,840)	-	(355,170,093)	(360,980,933)	(171,181,230)	(532,162,163)
-	-	(135,443,046)	(135,443,046)	381,221,350	245,778,304
-	-	(135,443,046)	(135,443,046)	381,221,350	245,778,304
(5,810,840)	-	(490,613,139)	(496,423,979)	210,040,120	(286,383,859)
1,186,791,520	(258,957,376)	1,730,353,845	3,502,646,922	3,098,213,414	6,600,860,336
-	-	(38,420,034)	(38,420,034)	282,150,966	243,730,932
78,558,268	106,669,463	(15,648,310)	143,344,319	48,707,646	192,051,966
78,558,268	106,669,463	(54,068,344)	104,924,285	330,858,612	435,782,897
-	-	72,907,097	72,907,097	(224,373,137)	(151,466,040)
-	-	-	-	(28,000,949)	(28,000,949)
(226,282,591)	-	226,282,591	-	-	-
1,039,067,197	(152,287,913)	1,975,475,189	3,680,478,302	3,176,697,941	6,857,176,243

Statement of Changes in Equity

	Notes	Stated Capital	Amalgamation Reserve	Retained Earnings	Total Equity
COMPANY		LKR	LKR	LKR	LKR
Balance as at 31 March 2018 - As Reported		1,053,643,405	258,920,263	1,033,409,287	2,345,972,955
Effect of change in fair value of investment in subsidiaries (Net of tax)	36			1,696,465,536	1,696,465,536
Balance as at 01 April 2018 - Re-stated		1,053,643,405	258,920,263	2,729,874,823	4,042,438,491
Profit for the year - Re-stated		-	-	1,935,290,235	1,935,290,235
Other Comprehensive Income		-	-	-	-
Total Comprehensive Income for the year		-	-	1,935,290,235	1,935,290,235
Dividends paid (LKR 0.36 per share)		-	-	(360,980,933)	(360,980,933)
Balance as at 31 March 2019 - Re-stated		1,053,643,405	258,920,263	4,304,184,125	5,616,747,793
Profit for the year		-	-	232,469,056	232,469,056
Other Comprehensive Income		-	-	-	-
Total Comprehensive Income for the year		-	-	232,469,056	232,469,056
Balance as at 31 March 2020		1,053,643,405	258,920,263	4,536,653,181	5,849,216,849

The Notes from pages 67 to 160 form an integral part of these Financial Statements.

Figures in bracket indicate deductions

Statement of Cash Flows

		Group		Company	
Year ended 31 March		2020	2019	2020	2019
	Notes	LKR	LKR	LKR	LKR
Cash Flows From Operating Activities					
Profit before Tax from Continuing Operations		693,229,058	1,305,996,069	250,000,918	1,936,739,217
Loss before Tax from Discontinuing Operations	4	(301,832,221)	(391,230,087)	-	-
Adjustment for					
Depreciation of Property, Plant & Equipment	12	342,772,316	382,674,182	5,086,813	4,018,479
Amortization of Right of Use Assets	28	39,012,579	-	1,655,543	-
Interest on Other Financial Liabilities		23,940	23,940	-	-
Amortization of Intangible Assets	13	133,803,341	8,304,754	-	-
Change in Fair Value of Financial Assets		(31,472,669)	145,624,635	(18,052,585)	(2,435,719)
Gain on Disposal of Investment	7	(7,579,142)	-	-	-
Provision for Retirement Benefit Obligation	23	85,977,768	80,836,405	-	-
Change in Fair Value of Investment Property	15	(790,220,265)	(831,355,019)	(2,500,000)	(1,500,000)
(Profit)/Loss from Disposal of Current Investment		(13,537,873)	9,934,834	-	-
Change in Fair Value of Investment in Subsidiary	36	-	-	(516,861,808)	(2,079,149,840)
Impairment of Property, Plant & Equipment	12	45,802,799	-	-	-
Impairment of Trade and Other Receivables	19.2	238,933,192	(2,133,261)	197,730	-
Changes in fair value of Biological Assets	14	(785,125)	(2,100,000)	-	-
Gain on Loan Write Back		-	(153,859,921)	-	-
Provision / (Reversal) of provision for Inventories	18	182,309,473	(123,686,758)	-	-
(Profit)/Loss from Disposal of Property Plant & Equipment		1,636,604	(7,155,621)	-	-
Interest Expense	8	1,120,238,232	926,591,428	-	-
(Gain)/Loss on Disposal of Subsidiary	38	38,863,011	-	-	(3,361,918)
Share of Results of Equity Accounted Investee	29	3,070,456	-	-	-
Employee Share Appreciation Rights		-	1,174,613	-	1,174,613
Operating Profit before Working Capital Changes		1,780,245,475	1,349,640,193	(280,473,389)	(144,515,168)
Increase in Inventories		(264,772,350)	(359,177,801)	-	-
(Increase)/Decrease in Trade & Other Receivables		(691,378,129)	(2,162,536,965)	(28,764,634)	16,102,001
Increase/(Decrease) in Contract Liability		217,308,881	(41,286,417)	-	-
Increase/(Decrease) in Trade & Other Payable		(502,445,881)	1,232,032,473	(301,016)	(38,672)
Cash Generated from Operations		538,957,994	18,671,483	(309,539,039)	(128,451,839)
Retirement Gratuity Paid/Transfers	23	(36,074,143)	(62,910,528)	-	(4,615,058)
Interest Paid		(772,164,481)	(686,540,514)	-	-
Income Tax Paid		(175,427,887)	(165,590,742)	-	-
Net Cash Flow from/(used in) Operating Activities		(444,708,517)	(896,370,301)	(309,539,039)	(133,066,897)

Statement of Cash Flows

		Group		Company	
Year ended 31 March		2020	2019	2020	2019
	Notes	LKR	LKR	LKR	LKR
Cash Flow from Investing Activities					
Acquisition of Property, Plant & Equipment	12	(176,207,321)	(598,997,311)	(135,290)	(20,000,000)
Proceeds on disposal of Property, Plant & Equipment		-	38,159,725	-	-
Investment in Subsidiaries		-	-	-	(30,000,000)
Acquisition from Non Controlling Interest		(151,466,040)	-	-	-
Acquisition of Intangible Assets	13	(497,534,048)	(19,181,470)	-	-
Acquisition of Investment Properties	15	(2,243,110)	(7,542,453)	-	-
Proceeds from Disposal of Other Financial Assets		154,208,075	375,905,171	-	-
Acquisition of Other Financial Assets		(284,532,653)	(55,512,887)	-	-
Investment in Government Securities		(212,956,672)	(137,407,115)	(130,176,179)	(134,971,396)
Proceeds from disposal of Subsidiaries		-	-	-	298,680,270
Net cash inflow from disposal of subsidiary	38	72,076,736	-	-	-
Investment in Equity Accounted Investee Activities	29	(15,000,000)	-	-	-
Net Cash Flow From/(Used) in Investing Activities		(1,113,655,032)	(404,576,340)	(130,311,469)	113,708,874
Cash Flow from Financing Activities					
Loan Received		269,898,161,703	80,174,928,974	257,415,970,576	68,482,453,133
Dividend Paid to Non-Controlling Interest	37.1	(28,000,949)	(171,181,230)	-	-
Lease Payments	22.2	(59,912,584)	(3,400,000)	(2,222,180)	-
Proceeds from Non-Controlling Interest Through Holding Change		-	245,778,304	-	-
Repayment of Loans		(268,428,624,434)	(78,335,817,239)	(257,017,846,988)	(66,126,149,624)
Dividend paid to equity holders of parent	21.4	-	(360,980,933)	-	(360,980,933)
Net Cash Flow Used in Financing Activities		1,381,623,736	1,549,327,876	395,901,408	1,995,322,576
Net foreign Exchange Difference		156,075,551	(298,207,066)	-	-
Cash & Cash Equivalents					
Net movement during the year		(20,664,261)	(49,825,831)	(43,949,100)	1,975,964,553
At the beginning of the year		(811,638,286)	(761,812,455)	(33,758,278)	(2,009,722,830)
At the end of the year (Note A)	20	(832,302,547)	(811,638,286)	(77,707,378)	(33,758,277)
Note A - Cash and Equivalents are as follows					
Cash in Hand & Bank		782,950,232	611,908,960	29,277,252	1,212,412
Bank Overdraft		(1,615,252,778)	(1,423,547,246)	(106,984,630)	(34,970,689)
		(832,302,547)	(811,638,286)	(77,707,378)	(33,758,277)

The Notes from pages 67 to 160 form an integral part of these Financial Statements.
Figures in bracket indicate deductions.

Significant Accounting Policies & Notes to the Financial Statements

1. CORPORATE INFORMATION

1.1 Reporting Entity

Ambeon Capital PLC is a public limited liability Company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The registered office and the principal place of Business are located at 01st Floor, No 10, Gothami Road, Colombo 08.

1.2 Consolidated Financial Statements

The Financial Statements for the year ended 31 March 2020, comprise “the Company” referring to Ambeon Capital PLC as the holding Company and “the Group” referring to the companies whose accounts have been consolidated therein.

1.3 Parent Entity

The Company's ultimate parent is CHC Investment (Private) Limited, Private Limited Liability Company incorporated and domiciled in Sri Lanka.

1.4 Approvals of Financial Statements

The Financial Statements for the year ended 31 March 2020 were authorized for issue in accordance with a resolution by the board of directors on 2 October 2020.

1.5 Principal Activities & Nature of Operations

Holding Company

Ambeon Capital PLC, the Group's holding Company, operated as the Investments holding company of the Group and is presently engaged in carrying out investment related activities.

Subsidiary – Ambeon Holdings PLC

Ambeon Holdings PLC, manages a portfolio of holdings consisting of a range of diverse business operations, which together constitute the Ambeon Group, and provides function-based services to its subsidiaries and associate. Subsidiaries of the group were engaged in manufacturing of footwear, porcelain, textiles and managing property, IT services and investments.

Subsidiary – Lexinton Resorts (Pvt) Ltd.

During the year, the principle activity of the Company was managing the real estate.

Subsidiary – Heron Agro Products (Pvt) Ltd.

During the period, the principal activity of the company was involved in Estate Management.

Sub-Subsidiary – through Ambeon Holdings PLC - Ceylon Leather Products Limited

During the period, the principal activity of the Company was selling of Leather Footwear and Leather Goods. During the year manufacturing business was transferred to Ceylon Leather Products Distributors (Pvt) Ltd and during the year Ceylon Leather Products Distributors (Pvt) Limited was sold.

Sub-Subsidiary – through Ambeon Holdings PLC - South Asia Textile Ltd.

During the year, the principal activity of the Company was manufacturing and sale of knitted fabrics for the export and local markets.

Sub-Subsidiary – through Ambeon Holdings PLC - Palla & Company (Pvt) Ltd.

The principal activity of the Company was manufacturing shoes for exports and the Company ceased operations with effect from 31 August 2015.

Sub-Subsidiary – through Ambeon Holdings PLC - Dankotuwa Porcelain PLC

During the period, the principal activity of the company was to manufacture porcelain tableware to export and domestic market.

Sub-Subsidiary through Dankotuwa Porcelain PLC – Royal Fernwood Porcelain Ltd.

During the period, the principal activity of the company was to manufacture porcelain tableware to export and domestic market.

Sub-Subsidiary through Dankotuwa Porcelain PLC – Lanka Decals (Pvt) Ltd

The principal activity of the Company was to manufacture Decals. However, there were no operations during the year.

Sub-Subsidiary through Dankotuwa Porcelain PLC – Fernwood Lanka (Pvt) Ltd

The principal activity of the Company was the sale of porcelain tableware to domestic market. However, there were no operations during the year.

Sub-Subsidiary through Dankotuwa Porcelain PLC - DPL Trading (Private) Limited

The principal activity of the Company was retail selling of porcelain tableware domestic market. However, there were no operations during the year.

Significant Accounting Policies & Notes to the Financial Statements

Sub-Subsidiary through Ambeon Holdings PLC - Colombo City Holdings PLC

During the period, the principal activity of the Company was to engage in Real Estate

Sub-Subsidiary - through Colombo City Holdings PLC - Lexinton Holdings (Pvt) Ltd

During the period, the principal activity of the company was lending & maintaining commercial property, dwelling flats for lease.

Sub-Subsidiary – through Ambeon Holdings PLC - Olancom (Pvt) Ltd

The Company is the Investment Holding Company of Roomsnet International Limited.

Sub-Subsidiary – through Ambeon Holdings PLC/EON Tec (Pvt) Ltd. - Millennium I.T.E.S.P. (Pvt) Limited

During the period, the principal activity of the Company was specializing in the Integration Business provides a host of specialized, scalable solutions ranging from Core Infrastructure, Information Security, Business Collaboration, Near-Field Communications, Business Productivity, Managed Solutions and Customer Relationship Management.

Sub - subsidiary – through Ambeon Holdings PLC - Eon Tec (Private) Limited

The Company is the Investment Holding Company of Millennium I.T.E.S.P. (Pvt) Limited

Sub - subsidiary - through Ambeon Holdings PLC - Taprobane Capital Plus (Pvt) Ltd

Taprobane Capital Plus (Private) Limited was incorporated to hold the investments Taprobane Securities (Private) Limited, Taprobane Investments (Private) Limited, Taprobane Wealth Plus (Private) Limited & Lexinton Financial Services (Pvt) Ltd.

Sub-subsidiary through Taprobane Capital Plus (Pvt) Ltd - Taprobane Securities (Private) Limited

The principal activity of the company is functioning as a stock broker in the Colombo Stock Exchange.

Sub-subsidiary through Taprobane Capital Plus (Pvt) Ltd - Taprobane Investments (Private) Limited

The principal activity of the company is conducting Money Broking transactions in the open market.

Sub-subsidiary through Taprobane Capital Plus (Pvt) Ltd - Taprobane Wealth Plus (Private) limited

The principal activity of the company is conducting Corporate Finance activities. However, there were no operations during the year.

Sub-subsidiary through Taprobane Capital Plus (Pvt) Ltd – Lexinton Financial Services (Private) limited

The principal activity of the company was conducting Margin Trading activities. However, there were no operations during the year.

1.6 Responsibility for Financial Statements

The responsibility of the Directors in relation to the Financial Statements is set out in the Statement of Directors' Responsibility report in the Annual report.

2. BASIS OF PREPARATION

2.1 Basis of Measurement

The consolidated Financial Statements have been prepared on an accrual basis and under the historical cost convention except for investment properties, land and buildings, fair value through profit or loss financial assets, fair value through OCI financial assets that have been measured at fair value.

2.2 Statement of Compliance

The Financial Statements which comprise the Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity and the Statement of Cash Flows together with the Accounting Policies and notes (the "Financial Statements") have been prepared in accordance with Sri Lanka Accounting Standards (SLFRS/LKAS) as issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and the requirement of the Companies Act No. 7 of 2007.

2.3 Comparative Information

The presentation and classification of the Financial Statements of the previous years have been amended, where relevant for better presentation and to be comparable with those of the current year.

2.4 Going Concern

The Board of Directors have made an assessment of the Group's ability to continue as a going concern and they do not intend either to liquidate or cease trading.

In determining the basis of preparing the financial statements for the year ended 31 March 2020, based on available information, the management has assessed the existing and anticipated effects of COVID-19 on the companies within the Group and the appropriateness of the use of the going concern basis. In March 2020, each business was evaluated for resilience considering a wide range of factors relating to expected income avenues, cost management, profitability, the ability to defer non-essential capital expenditure, debt repayment schedules, cash reserves and potential funding lines, if required, and the ability to continue business as least impacted as possible. Having presented the outlook for each industry to the holding company Board and after due consideration of the likelihood of outcomes, the Directors

are satisfied that the Company, its subsidiaries and associates have adequate resources to continue in operational existence for the foreseeable future and continue to adopt the going concern basis in preparing and presenting these financial statements. In determining the above, significant management judgements, estimates and assumptions on the impact of the COVID 19 pandemic has been considered as of reporting date.

2.5 Presentation and Functional Currency

The consolidated Financial Statements are presented in Sri Lankan Rupees, the Group's functional and presentation currency, which is the primary economic environment in which the Holding Company operates. Each entity in the Group uses the currency of the primary economic environment in which they operate as their functional currency.

The subsidiary mentioned below is using functional currency other than Sri Lankan Rupees (LKR.).

Name of the Subsidiary	Functional Currency
South Asia Textile Limited	United States Dollar (USD)

2.6 Basis of Consolidation

The consolidated Financial Statements comprise the Financial Statements of the Company and its subsidiaries as at 31 March 2020. The Financial Statements of the subsidiaries are prepared in compliance with the Group's accounting policies unless otherwise stated.

All intra-Group balances, income and expenses, unrealized gains and losses resulting from intra-Group transactions and dividends are eliminated in full.

2.7 Subsidiary

Control over an investee is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

When the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; and
- The Group's voting rights and potential voting rights

The Group re-assesses whether or not it controls an investee, if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated Financial Statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. The Financial Statements of the subsidiaries are prepared for the same reporting period as the parent Company, which is 12 months ending 31 March, using consistent accounting policies.

- Losses within a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance.
- A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.
- If the Group loses control over a subsidiary, it:
 - Derecognizes the assets (including goodwill) and liabilities of the subsidiary
 - Derecognizes the carrying amount of any non-controlling interest
 - Derecognizes the cumulative translation differences, recorded in equity
 - Recognizes the fair value of the consideration received
 - Recognizes the fair value of any investment retained
 - Recognizes any surplus or deficit in profit or loss
 - Reclassifies the parent's share of components previously recognized in other comprehensive income to profit or loss or retained earnings, as appropriate.

The total profits and losses for the year of the Company and of its subsidiaries included in consolidation are shown in the consolidated income statement and statement of comprehensive income and all assets and liabilities of the Company and of its subsidiaries included in consolidation are shown in the statement of financial position.

Significant Accounting Policies & Notes to the Financial Statements

Non-controlling interest which represents the portion of profit or loss and net assets not held by the Group, are shown as a component of profit for the year in the consolidated income statement and statement of comprehensive income and as a component of equity in the consolidated statement of financial position, separately from parent' shareholders' equity.

The consolidated statement of cash flow includes the cash flows of the Company and its subsidiaries.

In the separate financial statement investment in subsidiaries are accounted at Fair Value.

2.8 Transactions with Non-Controlling Interests

The profit or loss and net assets of a subsidiary attributable to equity interests that are not owned by the parent, directly or indirectly through subsidiaries, is disclosed separately under the heading 'Non- Controlling Interest'.

The Group applies a policy of treating transactions with non-controlling interests as transactions with parties external to the Group.

Losses within a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance.

2.9 Summary of Changes in Significant Accounting Policies

Summary of Significant Accounting Policies

Except for the Changes in Significant Accounting Policies given below the accounting policies have been applied consistently for all periods presented in the financial statements by the Group and the Company.

Changes in Significant Accounting Policies – Adoption of New Accounting Standards

The Group initially applied SLFRS 16 – 'Lease' and IFRIC 23 - Uncertainty over Income Tax Treatment for the first time. Due to the transition methods chosen by the Company in applying these standards, comparative information throughout these financial statements has not been restated to reflect the requirements of the new standards.

SLFRS 16 – Leases

SLFRS 16 supersedes LKAS 17 Leases for annual periods on or after 01st January 2019. The standard sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to recognise most leases on the Statement of Financial Position.

The Group adopted SLFRS 16 using the 'Modified Retrospective Method' of adoption with the date of initial application of 1st April 2019. Under this method, the standard is applied retrospectively with the cumulative effect of initially applying the standard recognised at the date of initial application. The Company elected to use the transition practical expedient to not reassess whether a contract is or contains a lease at 1st April 2019. Instead, the Company applied the standard only to contracts that were previously identified as leases applying LKAS 17 at the date of initial application.

The Group Companies has entered into lease contract in connection with a building for commercial use. land used for cultivation purpose. Before the adoption of SLFRS 16, the Company classified its leases (as lessee) at the inception date as an operating lease.

Upon adoption of SLFRS 16, the Company applied a single recognition and measurement approach for the lease except for short-term leases and leases of low-value assets. standard provides specific

transition requirements and practical expedients, which have been applied by the Company.

Leases previously accounted for as operating leases under SLFRS 16

The Group companies recognised right-of-use assets and lease liabilities for the lease previously classified as operating leases. The right-of-use assets were recognised based on the amount equal to the lease liabilities, adjusted for any related prepaid and accrued lease payments previously recognised. Lease liabilities were recognised based on the present value of the remaining lease payments, discounted using the incremental borrowing rate at the date of initial application.

The Group companies also applied the available practical expedients wherein it used hindsight in determining the lease term where the contract contained options to extend or terminate the lease.

Based on the above the impact on transition has disclosed in Note 22.2.

IFRIC 23 - Uncertainty over Income Tax Treatments

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of LKAS 12- 'Income Taxes'. It does not apply to taxes or levies outside the scope of LKAS-12, nor does it specifically include requirements relating to interest and penalties associated with uncertain tax treatments. The Interpretation specifically addresses the following:

- Whether an entity considers uncertain tax treatments separately
- The assumptions an entity makes about the examination of tax treatments by taxation authorities
- How an entity determines taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates
- How an entity considers changes in facts and circumstances

The Group companies determines whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and uses the approach that better predicts the resolution of the uncertainty.

The Group companies applies significant judgement in identifying uncertainties over income tax treatments. Since the Company operates in a non-complex environment, it assessed whether the Interpretation had an impact on its financial statements. Upon adoption of the Interpretation, the Company considered whether it has any uncertain tax positions. The Company determined, based on its tax compliance that it is probable that its tax treatments will be accepted by the taxation authorities. The Interpretation did not have an impact on the financial statements of the Company.

Changes in Significant Accounting Policies – Voluntary change in accounting policies

Investment in subsidiaries

The Company re-assessed its accounting for investments in subsidiaries in separate financial statements. The Company had previously measured all investments in subsidiaries at cost whereby, after initial recognition the asset was carried at cost less accumulated impairment losses. During, the Company elected to change the method of accounting for investments in subsidiaries retrospectively, as the Company believes that the accounting for investments in subsidiaries in accordance with SLFRS 9 and LKAS 27 provides more relevant information to the users of its financial statements. In addition, available valuation techniques provide reliable estimates of fair value of the investments in subsidiaries. The Company applied the change retrospectively.

Cash Flow Hedge

The group applied hedge accounting prospectively. For the purpose of hedge accounting, hedges are classified as Cash flow hedges when hedging the exposure to variability in cash flows that is either attributable to a particular risk associated with a recognised asset or liability or a highly probable forecast transaction or the foreign currency risk in an unrecognised firm commitment.

2.10 Significant Judgments, estimates and assumptions

The preparation of the Financial Statements of the Group require the management to make judgments, estimates and assumptions, which may affect the amounts of income, expenditure, assets, liabilities and the disclosure of contingent liabilities, at the end of the reporting period. In the process of applying the Group's accounting policies, the key assumptions made relating to the future and the sources of estimation at the reporting date together with the related judgments that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the financial year are discussed below.

Revaluation of property, plant and equipment and fair valuation of investment properties

The Group measures land and buildings at revalued amounts with changes in fair value being recognized in Other Comprehensive Income and in the Statement of Changes in Equity. In addition, it carries its investment properties at fair value, with changes in fair value being recognized in the statement of profit or loss. The Group engaged independent valuation specialists to determine fair value of investment property and land and buildings as at 29th February 2020.

The valuer has used valuation techniques such as market approach, cost approach and income approach.

The methods used to determine the fair value of the investment property and property plant and equipment's carried at fair value are further explained in Note 12 and Note 15.

Impairment of non-financial assets

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its value in use (VIU). The fair value less costs to sell calculation is based on available data from an active market, in an arm's length transaction, of similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash inflows and the growth rate used for extrapolation purposes.

The key assumptions used to determine the value in use (VIU) are further explained in Note 13.2 & 16.

Fair value of financial instruments

Where the fair value of financial assets and financial liabilities recorded in the statement of financial position cannot be derived from active markets, their fair value is determined using valuation techniques including the discounted cash flow model. The inputs to these models are taken from observable markets where possible. Where this is not feasible, a degree of judgment is required in establishing fair values. The judgments include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments. Refer Note No.30 for financial instrument classification and fair value hierarchy.

Significant Accounting Policies & Notes to the Financial Statements

Deferred Tax Assets/ Liabilities

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and the level of future taxable profits together with future tax planning strategies. Further details on taxes are disclosed in Note 25.

Employee benefit liability

The employee benefit liability of the Group determines using actuarial valuation carried out by an independent actuarial specialist. The actuarial valuations involve making assumptions about discount rates and future salary increases. The complexity of the valuation, the underlying assumptions and its long-term nature, the defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

Accounting for investments in Subsidiaries

Investment in Subsidiary are those entities that is controlled by the Company. Investment in subsidiary are accounted at fair value through profit or loss in accordance with SLFRS 9. They are initially recognized at fair value. Subsequent to initial recognition, the fair value gains or losses are recognized in the statement of profit or loss in the separate financial statements until the date on which the control is lost. The dividends received from the Subsidiary are treated as other income in the statement of profit or loss of the separate financial statements.

The Group engaged independent valuation specialist to determine for valuation and investment in subsidiary during the period.

Details of the key assumptions used in the estimates are contained in Note 23.

2.11 Summary of Significant Accounting Policies

The presentation and classification of the Financial Statements of the previous period have been amended, where relevant, for better presentation and to be comparable with those of the current period.

These accounting policies have been applied consistently by Group's entities.

2.11.1 Revenue from contract with customers

Revenue from contracts with customers is recognized when control of the goods or services is transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those goods or services.

a. Goods transferred at a point in time

Under SLFRS 15, revenue is recognized upon satisfaction of a performance obligation. The revenue recognition occurs at a point in time when control of the asset is transferred to the customer, generally, on delivery of the goods.

b. Revenue recognition multiple element arrangements

The Group recognizes revenue on multiple element arrangements and design and build software contracts. Multiple element arrangements require management judgment in determination of performance obligation for such arrangement. Design and build software contracts uses percentage of completion method relies on output method, which is the contract milestones, supported by user acceptance confirmation.

c. Rendering of services

Under SLFRS 15, the Group determines, at contract inception, whether it satisfies the performance obligation over time or at a point in time. For each performance obligation satisfied over time, the Group recognizes the revenue over time by measuring the progress towards complete satisfaction of that performance obligation.

d. Dividend

Dividend income is recognized when the Group's right to receive the payment is established.

e. Finance income

Finance income comprises interest income on funds invested, dividend income, gains on the disposal of available-for-sale financial assets, fair value gains on the financial assets at fair value through profit or loss, gains on the re-measurement to fair value of any pre-existing interest in an acquiree that are recognized in income statement.

Interest income or expense is recorded as it accrues using the Effective Interest Rate (EIR), which is the rate that exactly discounts the estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or liability. Interest income is included in finance income in the income statement.

f. Commissions

When the Group acts in the capacity of an agent rather than as the principal in a transaction, the revenue recognised is the net amount of commission made by the Group.

g. Rental Income

Rental income arising from operating leases on investment properties is accounted for on a straight-line basis over the lease terms.

h. Gains and losses

Net gains and losses of a revenue nature arising from the disposal of property, plant and equipment and other non-current assets, including investments, are accounted for in the income statement, after deducting from the proceeds on disposal, the carrying amount of such assets and the related selling expenses.

i. Other income

Other income is recognized on an accrual basis.

2.11.2 Expenditure recognition

Expenses are recognized in the income statement on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the income statement.

For the purpose of presentation of the income statement, the “function of expenses” method has been adopted, on the basis that it presents fairly the elements of the Company and Group’s performance.

2.11.3 Finance costs

Finance costs comprise interest expense on borrowings, unwinding of the discount on provisions and impairment losses recognized on financial assets (other than trade receivables) that are recognized in the income statement.

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the respective assets. All other borrowing costs are expensed in the period they occur. Borrowing costs consist of interest and other costs that the Group incurs in connection with the borrowing of funds.

2.11.4 Property, plant and equipment**Basis of recognition**

Property, plant and equipment are recognized if it is probable that future economic benefits associated with the asset will flow to the Group and the cost of the asset can be reliably measured.

Basis of measurement

Plant and equipment are stated at cost less accumulated depreciation and any accumulated impairment losses, (except for land and building). Such cost includes the cost of replacing component parts of the plant and equipment and borrowing costs for long-term construction projects if the recognition criteria are met. When significant parts of plant and equipment are required to be replaced at intervals, the Group derecognizes the replaced part, and recognizes the new part with its own associated useful life and depreciation. Likewise, when a major inspection is performed, its cost is recognized in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognized in the income statement as incurred.

Land and buildings are measured at fair value less accumulated depreciation on buildings and impairment charged subsequent to the date of the revaluation.

The carrying values of property, plant and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable.

Any revaluation surplus is recognized in other comprehensive income and accumulated in equity in the asset revaluation reserve, except to the extent that it reverses a revaluation decrease of the same asset previously recognized in the income statement, in which case the increase is recognized in the income statement. A revaluation deficit is recognized in the income statement, except to the extent that it offsets an existing surplus on the same asset recognized in the asset revaluation reserve.

Accumulated depreciation as at the revaluation date is eliminated against the gross carrying amount of the asset and the net amount is restated to the revalued amount of the asset. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

The fair valuation are perform with every 5 year to ensure that the carrying amount of the revalued assets do not differ materiality from their fair value.

Derecognition

An item of property, plant and equipment are derecognized upon replacement, disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset is included in the income statement in the year the asset is derecognized.

Significant Accounting Policies & Notes to the Financial Statements

Depreciation

Depreciation is calculated by using a straight-line method on the cost or valuation of all property, plant and equipment, other than freehold land, in order to write off such amounts over the estimated useful economic life of such assets.

Depreciation methods, useful life values are assessed at the reporting date. The estimated useful lives for the current year are as follows.

Assets Category	2019/20	2018/19
Land Development Cost	10 Years	10 Years
Building on Leasehold Land - BOI	50 Years	50 Years
Building on Leasehold Land - Other	5 Years	5 Years
Building on Freehold Land	10-40 Years	10-40 Years
Plant & Machinery	10-15 Years	10-15 Years
Tools & Equipment	5-18 Years	5-18 Years
Furniture Fittings & Office Equipment	5-7 Years	5-7 Years
Motor Vehicles	4-6 Years	4-6 Years
Waste-water Purification Project	15 Years	15 Years
Kilns & Kiln Furniture	3-15 Years	3-15 Years
Computer Equipment	1-5 Years	1-5 Years

2.11.5 Leases

The determination of whether an arrangement is, or contains, a lease is based on the substance of the arrangement at the inception date. The arrangement is assessed for whether fulfillment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

A leased asset is depreciated over the useful life of the asset. However, if there is no reasonable certainty that the Group will obtain ownership by the end of the lease term, the asset is depreciated over the shorter of the estimated useful life of the asset and the lease term.

Operating lease payments are recognized as an operating expense in the income statement on a straight-line basis over the lease term.

Lease rentals paid in advance (Leasehold Properties)

Prepaid lease rentals paid to acquire land use rights are amortized over the lease term in accordance with the pattern of benefits provided.

Leases (Policy applicable before 1st April 2019)

The determination of whether an arrangement is a lease or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

Operating Leases - Company as Lessee

Leases that do not transfer to the Group substantially all the risks and benefits incidental to ownership of the leased items are operating leases. Operating lease payments are recognized as an expense in the Statement of Comprehensive Income (Profit or loss) on a straight line basis over the lease term.

Leases (applicable from 1st April 2019)

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration as per SLFRS 16 and recognize right of use assets and lease liability.

Group as a lessee

The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Company recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

Right-of-use assets

The Group companies recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of-use assets are depreciated on a straight-line basis over the lease term.

The right-of-use assets are presented within Note 28 and are subject to impairment in line with the Group's policy for Impairment of non-financial assets.

Lease liabilities

At the commencement date of the lease, the Company recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (less any lease incentives receivable), variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects exercising the option to terminate.

Variable lease payments that do not depend on an index or a rate are recognised as expenses in the period in which the event or condition that triggers the payment occurs.

Determination of the lease term for lease contracts with renewal and termination options (Company as a lessee)

The Group companies determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

The Group companies applies judgement in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Company reassesses the lease term if there is a significant event or change in circumstances that is within its control that affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customization of the leased asset).

Estimating the incremental borrowing rate

The Group companies cannot readily determine the interest rate implicit in the lease, therefore, it uses its incremental borrowing rate ('IBR') to measure lease liabilities. The IBR is the rate of interest that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Company 'would have to pay', which requires estimation when no observable

rates are available or when they need to be adjusted to reflect the terms and conditions of the lease. The Company estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain entity-specific adjustments.

2.11.6 Biological Assets

The entity recognizes the biological assets when, and only when, the entity controls the assets as a result of a past event, it is probable that future economic benefits associated with the assets will flow to the entity and the fair value for cost of the assets can be measured reliably. Biological assets are classified into mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain regular harvests. Immature biological assets are those that have not yet attained harvestable specifications.

The cost of the land preparation, rehabilitation, new planting, replanting, crop diversifications, inter-planting and fertilizing, etc., incurred between the time of planting and harvesting (when the planted area attains maturity), are classified as immature plantations. These immature plantations are shown at direct costs plus attributable overheads, including interest attributable to long-term loans used for financing immature plantations. The expenditure incurred on bearer biological assets (Tea, Rubber fields) which comes into bearing during the year, is transferred to mature plantations. Expenditure incurred on consumable biological assets is recorded at cost at initial recognition and thereafter at fair value at the end of each reporting period.

Biological assets are further classified as bearer biological assets and consumable biological assets.

a. Bearer Biological Assets

Bearer biological assets include tea, rubber & coconut trees that are not intended to be sold or harvested, but are grown for harvesting agricultural produce from such biological assets. The bearer biological assets are measured at cost less accumulated depreciation and accumulated impairment losses, if any, in terms of LKAS 16 – Property, Plant & Equipment.

b. Consumable Biological Assets

Consumable biological assets include managed timber trees that are to be sold as biological assets. The managed timber trees are measured on initial recognition and at the end of each reporting period at its fair value less cost to sell in terms of LKAS 41. The cost is treated as approximation to fair value of young plants as the impact on biological transformation of such plants to price during this period is immaterial.

The gain or loss arising on initial recognition of biological assets at fair value less cost to sell and from a change in fair value less cost to sell of biological assets are included in Comprehensive Income Statement for the period in which it arises.

c. Infilling Cost on Bearer Biological Assets

Where infilling results in an increase in the economic life of the relevant field beyond its previously assessed standard of performance, the costs are capitalized and depreciated over the useful life at rates applicable to mature plantations. Infilling costs that are not capitalized have been charged to the Statement of comprehensive income in the year in which they are incurred.

Significant Accounting Policies & Notes to the Financial Statements

2.11.7 Investment Property

Investment properties are measured initially at cost, including transaction costs. The carrying value of an investment property includes the cost of replacing part of an existing investment property, at the time that cost is incurred if the recognition criteria are met, and excludes the costs of day-to-day servicing of the investment property. Subsequent to initial recognition, the investment properties are stated at fair values, which reflect market conditions at the reporting date.

Gains or losses arising from changes in fair value are included in the income statement the year in which they arise. Fair values are evaluated at frequent intervals by an accredited external, independent valuer.

The unobservable data of the Investment Property are showing in the note no15.4.1

Investment properties are derecognized when disposed, or permanently withdrawn from use because no future economic benefits are expected. Any gains or losses on retirement or disposal are recognized in the income statement in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property or inventory (WIP), the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner occupied property becomes an investment property or inventory (WIP), the Group accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use.

Where Group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant and equipment in the Consolidated Financial Statements, and accounted using Group accounting policy for property, plant and equipment.

2.11.8 Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less accumulated amortization and accumulated impairment losses, if any. Internally generated intangible assets, excluding capitalized development costs, are not capitalized and expenditure is recognized in the income statement when it is incurred.

The useful lives of intangible assets are assessed as either finite or indefinite. Intangible assets with finite lives are amortized over their useful economic lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life is reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortization period or method, as appropriate, and are treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognized in the income statement in the expense category consistent with the function of the intangible assets.

Intangible assets with indefinite useful lives are not amortized, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis. (Note No. 13)

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the income statement when the asset is derecognized.

2.11.9 Business combinations and goodwill

Acquisition of subsidiaries are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at the acquisition date fair value and the amount of any non-controlling interest in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interest in the acquiree at fair value or at the proportionate share of the acquiree at the fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred and included in administrative expenses.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

If the business combination is achieved in stages, the previously held equity interest is remeasured at its acquisition date fair value and any resulting gain or loss is recognized in profit or loss. Any contingent consideration to be transferred by the acquirer will be recognized at fair value at the acquisition date. Contingent consideration which is deemed to be an asset or liability that is a financial instrument and within the scope of SLFRS 9 Financial Instruments: Recognition and Measurement, is measured at fair value with changes in fair value either in profit or loss or as a change to other comprehensive income (OCI).

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognized for non-controlling interest over the net identifiable assets acquired and liabilities assumed. If this consideration is lower than the fair value of the net assets of the subsidiary acquired, the difference is recognized in profit or loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Impairment is determined by assessing the recoverable amount of the cash-generating unit to which the goodwill relates as further explained in Note 13.1.1.

Where goodwill forms part of a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion the cash-generating unit retained.

2.11.10 Investments in Subsidiaries (Company)

Investment in Subsidiary are those entities that is controlled by the Company. Investment in subsidiary are accounted at fair value through profit or loss in accordance with LKAS 27 and SLFRS 9. They are initially recognized at fair value, Subsequent to initial recognition, the fair value gains or losses are recognized in the statement of profit or loss in the separate financial statements until the date on which the control is lost. The dividends received from the Subsidiary are treated as income in the statement of profit or loss of the separate financial statements.

2.11.11 Investment in Associate

Associates are those investments over which the Group has significant influence and holds 20% to 50% of the equity and which are neither subsidiaries nor

joint ventures of the Group. The Group's investments in its associates are accounted for using the equity method and ceases to use the equity method of accounting on the date from which, it no longer has significant influence in the associate. Under the equity method, the investment is initially recognised at cost. The carrying amount of the investment is adjusted to recognise changes in the Group's share of net assets of associate since acquisition date. Goodwill relating to the associate is included in the carrying amount of the investment and is neither amortised nor individually tested for impairment.

The income statement reflects the Group's share of results of operations of the associate. When there has been a change recognised directly in the equity of the associate, the Group recognizes its share of any changes, when applicable, in the statement of changes in equity. Unrealised gains and losses resulting from transactions between the Group and the associate are eliminated to the extent of the interest in the associate.

The Group's share of the profit or loss of an associate is shown on the face of the income statement and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate.

The Financial Statements of the associate are prepared for the same reporting period as the Group. When necessary, adjustments are made to bring the accounting policies in line with those of the Group.

After application of the equity method, the Group determines whether it is necessary to recognise an impairment loss on its investment in its associate. The Group determines at each reporting date whether there is any objective evidence that the investment in the associate impaired. If this is the case, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value and recognises the amount in 'share of losses of an associate' in the income statement.

Upon loss of significant influence over the associate, the Group measures and recognizes any retained investment at its fair value. Any difference between the carrying amount of the associate upon loss of significant influence and the fair value of the retaining investment and proceeds from disposal is recognised in profit or loss.

During the year Millennium IT E.S.P. acquired 25% of Infoseek (Pvt) Ltd. During the period, the principal activity of the company was involved in an innovative Cloud based Human Resource Information System named as MintHRM.

2.11.12 Common Control Business Combinations

Business combinations between entities under common control are accounted for using pooling of interest method. Accordingly,

- The assets and liabilities of the combining entities are reflected at their carrying amounts.
- No new goodwill is recognised as a result of the combination. Any difference between the consideration paid/ transferred and the equity acquired is reflected within equity.

2.11.13 Foreign currencies

Foreign currency transactions and balances

The Group's consolidated Financial Statements are presented in Sri Lankan Rupees, which is also the parent Company's functional currency. For each entity the Group determines the functional currency and items included in the Financial Statements of each entity are measured using that functional currency. The Group uses the direct method of consolidation and has elected to recycle the gain or loss arises from this method.

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Transactions and balances

Transactions in foreign currencies are initially recorded by the Group entities at their respective functional currency spot rate at the date the transaction first qualifies for recognition.

Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency spot rate of exchange ruling at the reporting date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary measured at fair value is treated in line with the recognition of gain or loss on change in fair value in the item (i.e., the translation differences on items whose fair value gain or loss is recognized in other comprehensive income (OCI) or profit or loss are also recognized in OCI or profit or loss, respectively).

Foreign operations

The statement of financial position and income statement of overseas subsidiaries and the subsidiaries which have functional currencies other than LKR, which are deemed to be foreign operations are translated to Sri Lanka rupees at the rate of exchange prevailing as at the reporting date and at the average annual rate of exchange for the period respectively.

The exchange differences arising on the translation are taken directly to other comprehensive income. On disposal of a foreign entity, the deferred cumulative amount recognized in other comprehensive income relating to that particular foreign operation is recognized in the income statement.

The Group treated goodwill and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition as assets and liabilities of the parent. Therefore, those assets and liabilities are non-monetary items already expressed in the functional currency of the parent and no further translation differences occur.

2.11.14 Impairment of non-financial assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is higher of asset's or cash generating unit's (CGU) fair value less costs to sell and its value in use. It is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

The Group bases its impairment calculation on detailed budgets and forecasts which are prepared separately for each of the Group's CGU to which the individual assets are allocated. These budgets and forecast calculations are generally covering a period of five years. For longer periods, a long-term growth rate is calculated and applied to project future cash flows after the fifth year.

Impairment losses of continuing operations, including impairment on inventories, are recognized in the income statement in those expense categories consistent with the function of the impaired asset, except for a property previously revalued where the revaluation was taken to other comprehensive income. In this case, the impairment is also recognized in other comprehensive income up to the amount of any previous revaluation.

For assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the Group estimates the asset's or CGU's recoverable amount. A previously recognized impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the income statement unless the asset is carried at a revalued amount, in which case the reversal is treated as a revaluation increase.

2.11.15 Government grants

Government grants are recognized where there is reasonable assurance that the grant will be received and all attached conditions will be complied with. When the grant relates to an expense item, it is recognized as income on a systematic basis over the periods that the costs, which it is intended to compensate, are expensed. Where the grant relates to an asset, it is recognized as income in equal amounts over the expected useful life of the related asset.

When the Group receives non-monetary grants, the asset and the grant are recorded gross at nominal amounts and released to profit or loss over the expected useful life in a pattern of consumption of the benefit of the underlying asset by equal annual installments.

When loans or similar assistance are provided by governments or related institutions with an interest rate below the current applicable market rate, the effect of this favorable interest is regarded as a government grant.

2.11.16 Taxes

a. Current income tax

Current income tax assets and liabilities for the current period are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date.

Current income tax relating to items recognized directly in equity is recognized in equity and not in the income statement. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

The Group has compared income tax and deferred tax at the rates based on substantially enacted rates, which is the statutory rates specified in IRA, as of the reporting date, because the Inland Revenue Circular No. PN/IT/2020-03 (Revised) has not been enacted as of the reporting date.

b. Deferred tax

The group has computed income tax & deferred tax at the rates based on substantially enacted rates, which is the statutory rates specified in Inland Revenue Act, as of the reporting date because the Inland Revenue Circular No. PN/IT/2020-03 (Revised) has not been enacted as of the reporting date.

Deferred tax is provided using the liability method on temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax liabilities are recognized for all taxable temporary differences, except:

- When the deferred tax liability arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.
- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognized for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilized, except:

- When the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.
- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Unrecognized

deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognized outside profit or loss is recognized outside profit or loss. Deferred tax items are recognized in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current tax assets against current tax liabilities and when the deferred taxes relate to the same taxable entity and the same taxation authority.

Deferred tax assets and deferred tax liabilities are stated in the Note No. 25

c. Sales Tax

Revenues, expenses and assets are recognized net of the amount of sales tax except:

- where the sales tax incurred on a purchase of asset or service is not recoverable from the taxation authorities in which case the sales tax is recognized as a part of the cost of the asset or part of the expense item as applicable
- and

- receivable and payable that are stated with the amount of sales tax included.

The net amount of sales tax recoverable and payable in respect of taxation authorities is included as a part of receivables and payables in the Statement of Financial Position.

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2.11.17 Non-current assets held for sale and discontinued operations

The Group classifies non-current assets and disposal groups as held for sale if their carrying amounts will be recovered principally through a sale rather than through continuing use. Non-current assets and disposal groups are measured at the lower of their carrying amount and fair value less costs to sell. The criteria for held for sale classification is regarded met only when the sale is highly probable and the asset or disposal group is available for immediate sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Discontinued operations are excluded from the results of continuing operations and are presented as a single amount as profit or loss after tax from discontinued operations in the income statement.

Property, plant and equipment and intangible assets once classified as held for sale/distribution to owners are not depreciated or amortized.

Additional disclosures are provided in Note 4. All other notes to the Financial Statements mainly include amounts for continuing operations, unless otherwise mentioned.

2.11.18 Inventories

Inventories are valued at the lower of cost and net realizable value, after making due allowances for obsolete and slow-moving items. Net realizable value is the price at which inventories can be sold in the ordinary course of business less the estimated cost of completion and the estimated cost necessary to make the sale.

The cost incurred in bringing inventories to its present location and condition is accounted using the following cost formula:

Raw Materials - At purchase cost on weighted average basis

Finished Goods & Work-in-Progress - At the cost of direct materials, direct labour and an appropriate proportion of fixed production

overheads based on normal operating capacity, but excluding borrowing costs on weighted average basis.

Consumables & Spares - At purchase cost on weighted average basis

Goods in Transit - At purchase price

2.11.19 Financial instruments- initial recognition and subsequent measurement

Initial recognition and measurement

Financial assets within the scope of SLFRS 9 are classified as amortised cost, fair value through other comprehensive income (OCI), and fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. This assessment is referred to as the SPPI test and is performed at an instrument level. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both. With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient are measured at the transaction price.

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

The Group's financial assets include cash and short-term deposits, trade and other receivables, loans and other receivables, quoted and unquoted financial instruments and derivative financial instruments.

Subsequent measurement

The subsequent measurement of financial assets depends on their classification as described below:

Financial assets at amortised cost

Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. The Group measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at amortised cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired.

The Group's financial assets at amortised cost includes trade receivables and short term investments.

Financial assets at fair value through OCI

Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVOCI. The Group measures debt instruments at fair value through OCI if both of the following conditions are met:

- The financial asset is held within a business model with the objective of both holding to collect contractual cash flows and selling.
- and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest income and foreign exchange gains and losses which are recognised in profit or loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in other gains/ (losses). Interest income from these financial assets is included in finance income using the effective interest rate method. Foreign exchange gains and losses are presented in other gains/(losses) and impairment expenses are presented as separate line item in the income statement.

Financial assets designated at fair value through OCI

Upon initial recognition, the Group can elect to classify irrevocably its equity investments as equity instruments designated at fair value through OCI when they meet the definition of equity under LKAS 32 Financial Instruments: Presentation and are not held for trading. The classification is determined on an instrument-by-instrument basis. Gains and losses on these financial assets are never recycled to profit or loss.

Dividends are recognised as other income in the statement of profit or loss when the right of payment has been established, except when the Group benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI. Equity instruments designated at fair value through OCI are not subject to impairment assessment.

Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss include financial assets held for trading, financial assets designated upon initial recognition at fair value through profit or loss, or financial assets mandatorily required to be measured at fair value. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Derivatives, including separated embedded

derivatives, are also classified as held for trading unless they are designated as effective hedging instruments.

Financial assets with cash flows that are not solely payments of principal and interest are classified and measured at fair value through profit or loss, irrespective of the business model. Notwithstanding the criteria for debt instruments to be classified at amortised cost or at fair value through OCI, as described above, debt instruments may be designated at fair value through profit or loss on initial recognition if doing so eliminates, or significantly reduces, an accounting mismatch. Financial assets at fair value through profit or loss are carried in the statement of financial position at fair value with net changes in fair value recognised in the statement of profit or loss. This category includes derivative instruments and listed equity investments which the Group had not irrevocably elected to classify at fair value through OCI. Dividends on listed equity investments are also recognised as other income in the statement of profit or loss when the right of payment has been established.

Derecognition

Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Group has transferred substantially all the risks and rewards of ownership.

a. Impairment of financial assets -

The Group assesses on a forward-looking basis the expected credit losses associated with its debt instruments carried at amortised cost and FVOCI. The impairment methodology applied depends on whether there has been a significant increase in credit risk. For trade receivables, the Group applies the simplified approach permitted by SLFRS 9, which requires expected lifetime losses to be recognised from initial recognition of the receivables. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

b. Financial liabilities

Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss, loans and borrowings, payables, or as derivatives designated as hedging instruments in an effective hedge, as appropriate. All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Group's financial liabilities include trade and other payables, loans and borrowings including bank overdrafts, and derivative financial instruments.

Subsequent measurement

The measurement of financial liabilities depends on their classification as follows:

Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term. This category also includes derivative financial instruments entered into by the Group that are not designated as hedging instruments in hedge relationships as defined by SLFRS 9. Separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments. Gains or losses on liabilities held for trading are recognised in the statement of profit or loss.

Loans and borrowings

This is the category most relevant to the Group. After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as

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through the EIR amortisation process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit or loss.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the statement of profit or loss.

c. Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statement of financial position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

d. Fair value of financial instruments

The fair value of financial instruments that are traded in active markets at each reporting date is determined by reference to quoted market prices or dealer price quotations (bid price for long positions and ask price for short positions), without any deduction for transaction costs.

For financial instruments not traded in an active market, the fair value is determined using appropriate valuation techniques. Such techniques may include:

- Using recent arm's length market transactions;
- Reference to the current fair value of another instrument that is substantially the same;
- A discounted cash flow analysis or other valuation models.

An analysis of fair values of financial instruments and further details as to how they are measured are provided in Note 30.

2.11.20 Hedge accounting

At the inception of a hedge relationship, the documentation includes identification of the hedging instrument, the hedged item, the nature of the risk being hedged and how the Company will assess whether the hedging relationship meets the hedge effectiveness requirements (including the analysis of sources of hedge ineffectiveness and how the hedge ratio is determined).

A hedging relationship qualifies for hedge accounting if it meets all of the following effectiveness requirements:

- There is 'an economic relationship' between the hedged item and the hedging instrument.
- The effect of credit risk does not 'dominate the value changes' that result from that economic relationship.
- The hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made.

The Group designated its identified foreign currency loans as a hedging instrument against its highly probable, specifically identified future revenue in foreign currency, through which the Company hedged the risk of changes in value of the identified foreign currency loans, caused by the fluctuations in foreign exchange rates.

The effective portion of the gain or loss on the hedging instrument is recognised directly in Other Comprehensive Income in the cash flow hedge reserve, while any ineffective portion is recognised immediately in the Statement of Profit or Loss as other operating expenses. Amounts recognised as Other Comprehensive Income are transferred to Statement of Profit or Loss when the hedged transaction occurs (when the forecast revenue realises).

If the forecast transaction is no longer expected to occur, the cumulative gain or loss previously recognised in Other Comprehensive Income is transferred to the Statement of Profit or Loss. If the hedging instrument expires or is sold, terminated or exercised without replacement or rollover, or if its designation as a hedge is revoked, any cumulative gain or loss previously recognised in Other Comprehensive Income remains in equity until the forecast transaction occurs as per the hedge agreement.

2.11.21 Cash and short-term deposits

Cash and short-term deposits in the statement of financial position comprise cash at banks and on hand and short-term deposits with a maturity of three months or less.

For the purpose of the consolidated statement cash flows, cash and cash equivalents consist of cash and short-term deposits as defined above, net of outstanding bank overdrafts.

2.11.22 Employee benefits liabilities

Defined Benefit Plan - Gratuity:

Gratuity is a defined benefit plan. The Group is liable to pay gratuity in terms of the relevant statute.

The Group measures the present value of the promised retirement benefits for gratuity, which is a defined benefit plan with the advice of an independent professional actuary using the Projected Unit Credit Method (PUC) as required by LKAS 19, Employee Benefits.

The item is stated under Defined Benefit Liability in the Statement of Financial Position.

The payments are made based on gratuity Act No. 12 of 1983.

Recognition of Actuarial Gains and Losses

Any actuarial gains and losses arising are recognized immediately in Other Comprehensive Income.

Defined Contribution Plans:

The group also operates a defined contribution plan. The contribution payable to a defined contribution plan is in proportion to the services rendered to group by the employees and is recorded as an expense. Unpaid contributions are recorded as a liability.

Employees' Provident Fund and Employee' Trust Fund Employees are eligible for Employees' Provident Fund and Employee' Trust Fund contributions, in line with respective statute and regulations. The Group and employee contribute 12% and 8% respectively of the employee's month gross salary (excluding overtime) to the provident fund.

The group contributes 3% of the employee's monthly salary excluding overtime to the Employees' Trust Fund maintained by Employees Trust Fund Board.

The used assumptions and the sensitivity analysis will be state in the Note No. 23.6

2.11.23 Provisions, contingent assets and contingent liabilities

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the Group expects some or all of a provision to be reimbursed, for example under an insurance contract, the reimbursement is recognized as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the income statement net of any reimbursement.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

All contingent liabilities are disclosed as a note to the Financial Statements unless the outflow of resources is remote. A contingent liability recognized in a business combination is initially measured at its fair value.

Subsequently, it is measured at the higher of:

- The amount that would be recognized in accordance with the general guidance for provisions above (LKAS 37)

Or

- The amount initially recognized less, when appropriate, cumulative amortization Contingent assets are disclosed, where inflow of economic benefit is probable.

Contract liabilities

Contract liabilities are the Group's obligation to transfer goods or services to a customer for which the Group has received consideration (or the amount is due) from the customer. Contract liabilities include long-term advances received to deliver goods and services, short-term advances received to render certain services as well as transaction price allocated to unexpired service warranties, and loyalty points not yet redeemed.

Contract liabilities of the Group have been disclosed in current liabilities in note 24.

2.11.24 Segmental Information

The Group's internal organization and management is structured based on individual products and services which are similar in nature and process and where the risk and return are similar. The primary segments represent this business structure.

In addition, segments are determined based on the Group's geographical spread of operations as well. The geographical analysis of turnover and profits are based on location of customers and assets respectively.

As such for management purposes, the Group is organized into business units based on their products and services and has seven reportable operating segments as follows:

Manufacturing Textile	South Asia Textiles Ltd.
Manufacturing Porcelain	Dankotuwa Porcelain PLC and Royal Fernwood Porcelain Ltd. and its Subsidiaries
Property	Colombo City Holdings PLC, Lexinton Holdings (Pvt) Ltd., Lexinton Resorts (Pvt) Ltd., Heron Agro Products (Pvt) Ltd.
IT and related Services	Millennium I.T.E.S.P (Pvt) Limited, Eon Tech (Pvt) Ltd.
Investments	Ambeon Holdings PLC and Olancom (Pvt) Ltd., Ambeon Capital PLC
Financial Services	Taprobane Securities (Private) Limited, Taprobane Investments (Private) Limited, Taprobane Wealth Plus (Private) limited, Taprobane Capital Plus (Pvt) Ltd., Lexinton Financial Services (Pvt) Ltd.
Retailing Footwear	Ceylon Leather Products Limited and Palla & Company (Pvt) Ltd. (Discontinued in 2016)

Significant Accounting Policies & Notes to the Financial Statements

The principal activities of the cash generating units (Companies) related to each segment have been discussed under "Principal activities and nature of operations" section to the Financial Statements.

The accounting policies adopted for segment reporting are the same accounting policies adopted for preparing and presenting consolidated Financial Statements of the Group.

The segment wise performance is state in the Note No. 5

2.11.25 Share-based payments

Estimating fair value for share-based payment transactions requires determination of the most appropriate valuation model, which depends on the terms and conditions of the grant. This estimate also requires determination of the most appropriate inputs to the valuation model including the expected life of the share option or appreciation right, volatility and dividend yield and making assumptions about them. The Group initially measures the cost of cash-settled transactions with employees using a binomial model to determine the fair value of the liability incurred. For cash-settled share-based payment transactions, the liability needs to be remeasured at the end of each reporting period up to the date of settlement, with any changes in fair value recognised in profit or loss. This requires a reassessment of the estimates used at the end of each reporting period. For the measurement of the fair value of equity-settled transactions with employees at the grant date, the Group uses a binomial model. The assumptions and models used for estimating fair value for share-based payment transactions are disclosed in Note 27.2.

3. STANDARDS ISSUED BUT NOT YET EFFECTIVE

The following SLFRS has been issued by the Institute of Chartered Accountants of Sri Lanka, effective in the future and therefore has not been applied in preparing

these financial statements. This SLFRS will have an effect on the accounting policies currently adopted by the Group and may have an impact on the future financial statements.

The Group intends to adopt this standard, if applicable, when it becomes effective.

Sri Lanka Accounting Standards issued but not yet effective as at 31 March 2020. The new and amended standards and interpretations that are issued, but not yet effective, up to the date of issuance of the Group's financial statements are disclosed below. The Group intends to adopt these new and amended standards and interpretations, if applicable, when they become effective.

SLFRS 17 Insurance contracts In May 2017, the Institute of Chartered Accountants of Sri Lanka has issued SLFRS 17 Insurance Contracts, a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, SLFRS 17 will replace SLFRS 4 Insurance Contracts that was issued in 2005. SLFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features.

A few scope exceptions will apply. The overall objective of SLFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers. In contrast to the requirements in SLFRS 4, which are largely based on grandfathering previous local accounting policies, SLFRS 17 provides a comprehensive model for insurance contracts, covering all relevant accounting aspects. The core of SLFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short duration contracts

SLFRS 17 is effective for reporting periods beginning on or after 01 January 2021, with comparative figures required. Early application is permitted, provided the entity also applies SLFRS 9 and SLFRS 15 on or before the date it first applies SLFRS 17.

Amendments to SLFRS 3: Definition of a Business In October 2018, the Institute of Chartered Accountants of Sri Lanka issued amendments to the definition of a business in SLFRS 3 Business Combinations to help entities determine whether an acquired set of activities and assets is a business or not. They clarify the minimum requirements for a business, remove the assessment of whether market participants are capable of replacing any missing elements, add guidance to help entities assess whether an acquired process is substantive, narrow the definitions of a business and of outputs, and introduce an optional fair value concentration test. Since the amendments apply prospectively to transactions or other events that occur on or after the date of first application, the Group will not be affected by these amendments on the date of transition.

Amendments to LKAS 1 and LKAS 8: Definition of Material In October 2018, the Institute of Chartered Accountants of Sri Lanka issued amendments to LKAS 1 Presentation of Financial Statements and LKAS 8 Accounting Policies, Changes in Accounting Estimates and Errors to align the definition of 'material' across the standards and to clarify certain aspects of the definition. The new definition states that, 'Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.'

The amendments to the definition of material is not expected to have a significant impact on the Group's consolidated financial statements.

4. DISCONTINUED OPERATIONS AND ASSETS CLASSIFIED AS HELD FOR SALE

4.1 During the year the Group transferred shoe manufacturing business segment to Ceylon Leather Product Distributors (Pvt) Ltd and thereafter Ceylon Leather Product Distributors (Pvt) Ltd was disposed to Vast Holdings (Pvt) Ltd on 23 October 2019.

4.2 Footwear segment includes the clearing activities of Palla and Company (Private) Limited a subsidiary of Ambeon Holdings PLC and a major line of business under the “footwear manufacturing” segment. The Company suspended its operation with effect from 31 August 2015.

4.3 The results of the subsidiaries in the “manufacturing footwear” after intercompany eliminations is presented below;

	Footwear Palla	Footwear CLPDL	Total	Footwear Palla	Footwear CLPDL	Total
	2020	2020	2020	2019	2019	2019
	LKR	LKR	LKR	LKR	LKR	LKR
Revenue	-	258,778,601	258,778,601	-	502,748,859	502,748,859
Cost of Sales	-	(387,126,936)	(387,126,936)	-	(567,004,155)	(567,004,155)
Other Income	-	(464,555)	(464,555)	-	4,867,425	4,867,425
Administrative Expenses	(790,581)	(48,820,912)	(49,611,493)	(659,193)	(156,757,546)	(157,416,739)
Selling and Distribution Expenses	-	(37,550,065)	(37,550,065)	-	(84,738,245)	(84,738,245)
Finance Cost	(2,251,174)	(44,801,852)	(47,053,026)	-	(91,330,712)	(91,330,712)
Finance Income	-	68,264	68,264	-	1,643,480	1,643,480
Loss before tax from discontinued operations	(3,041,755)	(259,917,455)	(262,959,210)	(659,193)	(390,570,894)	(391,230,087)
Loss from Disposal of Discontinued Operation	-	(38,873,011)	(38,873,011)	-	-	-
Income Tax Expenses	-	-	-	-	-	-
Loss for the year from discontinued operations	(3,041,755)	(298,790,466)	(301,832,221)	(659,193)	(390,570,894)	(391,230,087)
Loss Attributable to:						
Equity Holders of the Company	(3,041,755)	(298,790,466)	(245,781,978)	(659,193)	(390,570,894)	(318,578,660)
Non - Controlling Interests	-	-	(56,050,243)	-	-	(72,651,427)
	(3,041,755)	(298,790,466)	(301,832,221)	(659,193)	(390,570,894)	(391,230,087)
Basic Earnings/ (Loss) per share from Discontinued Operations			(0.25)			(0.32)
Diluted Earnings/ (Loss) per share from Discontinued Operations			(0.25)			(0.32)
Cash flows						
Net Cash Flows from Operating Activities	85,130	-	85,130	436,195	-	436,195
Net Cash Flows used in Investing Activities	-	-	-	-	-	-
Net Cash Flows from Financing Activities	-	-	-	-	-	-
	85,130	-	85,130	436,195	-	436,195

Notes to the Financial Statements

5. SEGMENTAL INFORMATION

Group	Manufacturing Footwear		Manufacturing Porcelain		Manufacturing Textile		Investment
	2020 LKR	2019 LKR	2020 LKR	2019 LKR	2020 LKR	2019 LKR	2020 LKR
Total Revenue	57,462,882	99,695,383	2,244,026,385	2,178,649,472	9,139,684,246	8,296,138,014	350,538,705
Segment Results Gross Profit	23,726,573	30,955,039	699,490,661	653,168,108	984,585,508	1,243,852,794	350,538,705
Finance Cost	(11,645,060)	2,947,208	(127,495,985)	(89,494,262)	(129,472,716)	(89,430,987)	(638,521,599)
Change in Fair value of Investment Property	575,725,765	434,969,475	114,489,200	293,029,150	-	-	2,500,000
Profit/(Loss) before Income Tax	469,813,383	437,763,595	(15,855,137)	458,059,806	33,044,855	518,921,549	(639,571,206)
Income Tax Expense	40,151,783	(76,344,743)	40,143,238	(61,445,358)	(9,806,100)	(34,320,735)	(17,536,501)
Profit/(Loss) after tax for the year from continuing operations	509,965,166	361,418,854	24,288,101	396,614,448	23,238,755	484,600,814	(657,107,707)
Loss after tax for the year from discontinued operations	(301,832,221)	(391,230,087)	-	-	-	-	-
Profit/(Loss) for the year	208,132,945	(29,811,233)	24,288,101	396,614,448	23,238,755	484,600,814	(657,107,707)
Purchase and construction of Property Plant and Equipment	-	88,415,141	58,413,488	71,087,268	335,050,202	446,949,374	1,425,397
Additions to intangible assets	-	-	-	2,386,246	79,646,496	-	-
Depreciation of Property Plant and Equipment	20,862,121	55,409,885	96,064,367	113,743,476	184,455,645	179,924,689	12,612,067
Amortization of intangible assets	-	-	7,762,795	5,044,016	6,172,075	-	1,233,617
Gratuity provision and related costs	1,645,128	7,575,547	27,753,313	25,437,838	22,525,880	21,645,533	2,194,671
Impairment of Property Plant and Equipment	45,802,799	-	-	-	-	-	-
Assets and Liabilities							
Non-Current Assets *	2,144,826,633	2,122,286,872	2,686,630,874	2,392,513,078	2,459,814,316	2,364,577,585	1,168,663,903
Current Assets	174,492,271	603,654,435	2,415,512,918	1,989,443,757	3,578,012,820	3,031,096,765	2,065,467,340
Total assets	2,319,318,904	2,725,941,307	5,102,143,792	4,381,956,835	6,037,827,136	5,395,674,350	3,234,131,243
Non-Current Liabilities	354,796,257	429,063,300	618,796,212	487,147,170	533,189,389	646,066,988	3,088,052,648
Current Liabilities	284,209,635	648,123,477	1,641,253,970	1,239,845,218	3,789,179,480	3,087,865,029	2,028,549,311
Total Liabilities **	639,005,892	1,077,186,777	2,260,050,182	1,726,992,388	4,322,368,869	3,733,932,017	5,116,601,959

*Segment Non current Assets do not include investment in subsidiary and intercompany receivables.

**Segment Liabilities do not include intercompany payables including loans.

Property		IT and related Services			Financial Services		Total	
2019	2020	2019	2020	2019	2020	2019	2020	2019
LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
7,139,780	15,279,951	11,581,515	8,018,663,873	6,533,340,789	131,685,082	103,293,371	19,957,341,124	17,229,838,325
3,536,004	9,609,683	9,295,652	2,193,608,133	1,945,452,015	129,218,687	100,603,058	4,390,777,949	3,986,862,668
(568,429,662)	(21,867,082)	(23,155,344)	(189,924,740)	(156,609,473)	(1,311,050)	(2,418,908)	(1,120,238,232)	(926,591,428)
1,500,000	94,505,300	100,856,394	-	-	3,000,000	1,000,000	790,220,265	831,355,019
(756,777,591)	126,411,724	127,595,377	652,815,609	531,492,889	66,569,831	(11,059,555)	693,229,058	1,305,996,069
(130,853,720)	(42,715,859)	21,527,474	(143,743,826)	(108,652,999)	(14,158,640)	(11,439,961)	(147,665,905)	(401,530,041)
(887,631,312)	83,695,864	149,122,851	509,071,783	422,839,890	52,411,190	(22,499,516)	545,563,153	904,466,028
-	-	-	-	-	-	-	(301,832,221)	(391,230,087)
(887,631,312)	83,695,864	149,122,851	509,071,783	422,839,890	52,411,190	(22,499,516)	243,730,932	513,235,941
33,501,399	811,836	35,431	96,760,279	34,286,503	237,054	2,068,140	492,698,255	676,343,256
5,163,850	-	-	417,887,552	11,631,372	-	-	497,534,048	19,181,468
9,235,604	6,092,315	515,555	21,318,807	22,012,580	1,366,994	1,832,392	342,772,316	382,674,181
852,680	-	-	118,634,855	2,408,058	-	-	133,803,341	8,304,754
1,786,811	367,374	356,905	28,844,324	21,875,501	2,647,078	2,158,270	85,977,768	80,836,405
-	-	-	-	-	-	-	45,802,799	-
994,824,394	1,908,630,999	1,736,968,211	809,134,134	377,866,214	234,077,886	228,785,896	11,411,778,743	10,217,822,249
1,761,110,317	334,318,741	423,857,215	4,593,749,676	4,878,792,321	152,883,664	124,601,455	13,314,437,431	12,812,556,265
2,755,934,711	2,242,949,740	2,160,825,427	5,402,883,810	5,256,658,535	386,961,550	353,387,351	24,726,216,174	23,030,378,514
2,277,739,247	51,197,224	28,055,990	331,461,228	110,936,131	24,658,872	10,909,910	5,002,151,830	3,989,918,736
2,195,569,449	35,116,643	269,605,447	4,997,289,990	4,957,911,422	91,289,075	40,679,401	12,866,888,102	12,439,599,442
4,473,308,696	86,313,867	297,661,437	5,328,751,218	5,068,847,554	115,947,947	51,589,311	17,869,039,932	16,429,518,178

Notes to the Financial Statements

5.1 Revenue

	Group		Company	
Year ended 31 March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Revenue from Contracts with Customers				
Footwear	57,462,882	99,695,384	-	-
Porcelain	2,244,026,385	2,178,649,472	-	-
Textile	9,139,684,246	8,296,138,014	-	-
IT Services	8,018,663,874	6,533,340,789	-	-
Brokerage Income	131,685,082	103,293,371	-	-
Finance & Investment Income				
Interest Income	124,927,597	34,760,933	125,431,261	40,547,411
Investment Trading	200,067,131	(51,998,545)	200,067,131	(51,998,545)
Change in Fair Value of Financial Assets - FVTPL	-	18,487,596	-	18,487,596
Other Income				
Rent Income	39,901,370	15,177,511	-	-
Gain on Fair Value of Biological Assets (Note 14)	785,125	2,100,000	-	-
Sale of Agriculture Produce	137,432	193,800	-	-
	19,957,341,124	17,229,838,325	325,498,392	7,036,462

6. COST OF SALES

	Group		Company	
Year ended 31 March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Cost of Goods Sold	15,566,563,175	13,239,371,881	-	-
Discount on Brokerage	-	3,603,776	-	-
	15,566,563,175	13,242,975,657	-	-

7. INVESTMENT AND OTHER INCOME

	Group		Company	
Year ended 31 March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Interest Income	111,142,196	141,236,711	6,806	1,502,605
Dividend Income	998	814	-	363,246,721
Gain / (Loss) on Disposal of Property, Plant & Equipment	-	4,940,727	-	(3,144)
Scrap Sales	23,280,443	23,895,824	-	-
Other miscellaneous Income	23,283,069	10,346,626	450,250	300,000
Gain on Disposal of investment	7,579,142	-	-	-
Write back of Interest Bearing Borrowings	-	153,859,921	-	-
	165,285,848	334,280,624	457,056	365,046,183

7.1 Write back of Interest Bearing Borrowings includes Loan write back resulting from execution of Novation agreement with Brown and Company PLC and Ambeon Holdings PLC in prior year.

8. FINANCE COST

	Group		Company	
	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Loan Interest	952,627,349	734,632,773	561,406,839	381,707,097
Exchange Loss	-	5,398,913	-	-
Lease Interest	24,031,415	-	644,351	-
Bank Overdraft Interest	143,579,468	186,559,742	7,015,796	95,019,437
	1,120,238,232	926,591,428	569,066,986	476,726,534

9. PROFIT/ (LOSS) BEFORE TAXATION

	Group		Company	
	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Profit before taxation is stated after charging all expenses including the following:				
Auditors' Remuneration - Statutory Audit	9,608,438	8,675,352	419,750	365,000
Directors' Fee	48,637,062	45,102,793	7,943,970	9,475,778
Professional Fees	5,471,885	6,476,340	1,929,476	3,799,913
Depreciation & Amortization	476,575,657	399,270,604	5,086,813	4,015,329
Staff Cost (Note 9.1)	2,805,398,106	2,742,949,300	-	-
Allowance for Obsolete & Slow Moving Inventories	182,309,473	(123,686,758)	-	-

Notes to the Financial Statements

9.1 Staff Cost

	Group		Company	
Year ended 31 March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Salaries & Other Related Costs	2,483,745,436	2,412,733,092	-	-
Defined Benefit Plan Cost - Retiring Gratuity	85,977,768	81,259,311	-	-
Defined Contribution Plan Cost - EPF & ETF	235,674,902	248,956,897	-	-
	2,805,398,106	2,742,949,300	-	-

10. INCOME TAX

	Group		Company	
	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Current Tax Expense	206,645,125	182,397,787	-	-
Under/ (Over) Provision in Respect of Previous Year	(20,263,251)	(22,481,462)	-	-
	186,381,874	159,916,325	-	-
Deferred Tax Expenses - Origination / (Reversals) of Temporary Differences (Note 25)	(38,715,968)	241,613,716	17,531,861	1,448,982
	147,665,906	401,530,041	17,531,861	1,448,982
Reconciliation of Accounting Profit to Income Tax Expense				
Profit Before Income Tax from Continuing Operations	693,229,058	1,305,996,069	250,000,918	1,936,739,217
Loss before tax from discontinued operations	(262,959,210)	(391,230,087)	-	-
	430,269,848	914,765,982	250,000,918	1,936,739,217
Income Not Liable for Income Tax	(628,782,143)	(417,476,656)	(537,421,199)	(2,477,596,166)
Disallowable Expenses	905,422,458	1,659,226,768	11,752,727	510,051,743
Capital Allowances Claimed & Allowable Expenses	(548,781,789)	(925,346,095)	(2,309,429)	(107,896)
Business Profit/(Loss)	158,128,374	1,231,169,999	(277,976,982)	(30,913,102)
Operating profit / (losses) incurred during the year	857,259,843	(329,681,978)	-	-
Total Statutory Income	1,015,388,217	901,488,022	-	-
Interest Income	200,389,720	210,949,724	6,806	1,502,606
Tax loss utilized during the year	(162,852,905)	(579,409,043)	(6,806)	(1,502,606)
Assessable / Taxable Income	1,052,925,032	533,028,703	-	-
Income Tax @ 14%	147,154,659	46,738,433	-	-
Income Tax @ 28%	46,106,599	84,174,812	-	-
Income tax on dividend Income	13,383,867	51,484,542	-	-
Taxation on Profit for the Year	206,645,125	182,397,787	-	-
Income Tax Attributable to Discontinued Operations	-	-	-	-
Income Tax Attributable to Continuing Operations	206,645,125	182,397,787	-	-

* Includes Profit / (Loss) before tax from discontinued operations as disclosed in Note 4.

* All Subsidiaries are taxed at 28% except for South Asia Textile Limited and Millennium I.T.E.S.P. (Pvt) Limited, these are taxed at 14%.

10.1 Tax Losses

	Group		Company	
Year ended 31 March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Tax loss brought forward	2,966,509,728	2,941,057,214	1,351,332,545	1,321,922,049
Income tax intimation direction / Tax Filing Differences	-	5,618,426	-	-
Loss incurred during the year	1,053,010,278	597,596,290	277,976,982	30,913,102
Business acquisition	-	1,646,842	-	-
Loss utilized during the year	(162,852,905)	(579,409,043)	(6,806)	(1,502,606)
Tax loss carried forward	3,856,667,101	2,966,509,728	1,629,302,721	1,351,332,545

10.2 Pending Tax matters**10.2.1 Lexinton Holdings (Pvt) Ltd - Sub-Subsidiary through Colombo City Holdings PLC**

Lexinton Holdings (Pvt) Ltd appealed against the assessment No. ITA14281100120 VI issued by the Department of Inland Revenue relating to the year of assessment 2011/12. The appeal was determined favoring Commissioner General of Inland Revenue by the Commissioner of Large Corporate entities, Audit Unit - 1 and a petition of appeal has been filed with Tax Appeals Commission on 06th April 2017. Having sought professional advice, Management is confident that the grounds for the appeal are strong and as such no liability would arise. Total Tax assessed was Rs. 50,787,184/-. Tax appeal commission hearing is still pending.

11. EARNINGS / (DEFICIT) PER SHARE**11.1 Basic Earnings / (Loss) per Share**

The calculation of basic earnings / (Loss) per share is based on the profit / (loss) attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding during the year.

	Group		Company	
For the year ended 31 March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Profit / (Loss) attributable to Ordinary Shareholders (Rs.)	(38,420,034)	47,147,271	232,469,056	1,935,290,235
Weighted Average Number of Ordinary Shares (11.1.1)	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Basic Earnings/(Loss) Per Share (Rs.)	(0.04)	0.05	0.23	1.93

11.1.1 Weighted Average Number of Ordinary Shares

	Group		Company	
	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Issued Ordinary shares at the beginning of the year	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Weighted average number of ordinary shares at the end of the year	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815

Notes to the Financial Statements

11.2 Basic Earnings per Share for Continuing Operations

	Group		Company	
For the Year Ended 31st March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Profit attributable to Ordinary Shareholders from Continuing Operating (Rs.)	207,361,943	365,725,930	232,469,056	1,935,290,235
Weighted Average Number of Ordinary Shares (11.1.1)	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Basic Earnings Per Share for Continuing Operations (Rs.)	0.21	0.36	0.23	1.93

Basic earnings per share is calculated for continuing operations by dividing the net profit/(loss) from continuing operations for the year attributable to the ordinary shareholders by the weighted average number of shares outstanding during the year.

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence diluted earnings per share is equal to basic earnings per share.

11.3 Net Assets Per Share

	Group		Company	
	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Equity Attributable to Equity Holders of the Company	3,680,478,303	3,502,646,922	5,849,216,849	5,616,747,794
Weighted Average Number of Ordinary Shares (11.1.1)	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Net Assets Per Share *	3.67	3.49	5.83	5.60

*Net assets per share has been calculated, for all periods, based on the net assets of the Group and number of shares in issue as at 31 March 2020.

12. PROPERTY, PLANT AND EQUIPMENT**Group****12.1 Cost or Valuation**

	Balance as at 01.04.2019	Additions	Revaluation	Disposal of Subsidiaries	Transfers	Impairment	Disposals	Exchange Difference	Balance as at 31.03.2020
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
	Revised								
Freehold									
Land	1,174,550,550	-	132,436,850	(170,799,250)	-	-	-	-	1,136,188,150
Buildings	1,020,128,837	328,926	27,495,623	(225,362,450)	-	-	-	-	822,590,936
Land Development Cost	65,712,791	-	-	-	-	-	-	4,945,682	70,658,473
Computer Equipment	317,063,340	68,526,992	-	-	-	-	(55,814,827)	5,382,995	335,158,501
Furniture & Office Equipment	453,947,957	44,552,339	-	(42,748,644)	-	(17,572,323)	(6,093,782)	11,602,028	443,687,575
Kiln and Kiln Furniture	176,141,835	25,032,987	-	(99,012,026)	-	(4,167,201)	-	6,704,702	104,700,297
Motor Vehicles	107,313,144	319,700	-	(14,775,537)	-	-	(1,300,000)	3,835,968	95,393,275
Tools & Equipment	142,037	-	-	-	-	-	-	-	142,037
Plant and Machinery	3,679,134,148	263,954,694	-	(180,830,690)	-	(24,063,275)	-	165,946,740	3,904,141,616
Waste Water Purification Project	126,357,341	-	-	-	-	-	-	5,870,868	132,228,209
	7,120,491,981	402,715,638	159,932,473	(733,528,597)	-	(45,802,799)	(63,208,609)	204,288,983	7,044,889,070
Leasehold									
Building on Leasehold Land	857,907,022	7,694,064	-	-	-	-	-	63,210,231	928,811,317
	857,907,022	7,694,064	-	-	-	-	-	63,210,231	928,811,317
Capital Work in Progress	434,539,012	82,288,554	-	-	(316,490,935)	-	-	20,100,231	220,436,862
Total	8,412,938,015	492,698,256	159,932,473	(733,528,597)	(316,490,935)	(45,802,799)	(63,208,609)	287,599,445	8,194,137,247

Notes to the Financial Statements

12. PROPERTY, PLANT AND EQUIPMENT (Contd.)

Group

Accumulated Depreciation	Balance as at 01.04.2019	Change for the Year	Revaluation	Disposal of Subsidiaries	Transfers	Impairment	Disposals	Exchange Difference	Balance as at 31.03.2020
LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Revised									
Freehold									
Buildings	2,578,336	39,222,024	(29,784,675)	(4,046,240)	-	-	-	-	7,969,445
Land Development Cost	53,279,449	3,043,456	-	-	-	-	-	4,201,459	60,524,364
Computer Equipment	241,351,510	30,955,461	-	-	-	-	(54,511,225)	4,471,813	222,267,559
Furniture & Office equipment	336,461,078	25,925,895	-	(28,402,183)	-	-	(5,760,779)	10,984,749	339,208,760
Kiln and Kiln Furniture	101,304,257	5,385,770	-	(48,910,722)	-	-	-	3,672,191	61,451,496
Motor Vehicles	76,948,747	10,209,496	-	(11,066,680)	-	-	(1,300,000)	3,711,445	78,503,008
Tools & Equipment	130,258	5,449	-	-	-	-	-	-	135,707
Plant and Machinery	2,421,718,771	186,389,814	-	(147,782,570)	-	-	-	79,631,540	2,539,957,555
Waste Water Purification Project	53,311,175	10,258,214	-	-	-	-	-	4,109,466	67,678,855
	3,287,083,581	311,395,579	(29,784,675)	(240,208,395)	-	-	(61,572,004)	110,782,663	3,377,696,749
Leasehold									
Building on Leasehold land	10,433,901	31,376,737	-	-	-	-	-	1,407,243	43,217,881
	10,433,901	31,376,737	-	-	-	-	-	1,407,243	43,217,881
Total	3,297,517,482	342,772,316	(29,784,675)	(240,208,395)	-	-	(61,572,004)	112,189,906	3,420,914,630

Net Book Value	2020 LKR	2019 LKR
Freehold		
Land	1,136,188,150	1,174,550,550
Buildings	814,621,491	1,017,550,501
Land Development Cost	10,134,109	12,433,342
Computer Equipment	112,890,941	75,711,831
Furniture & Office equipment	104,478,815	117,486,879
Kiln and Kiln Furniture	43,248,801	74,837,578
Motor Vehicles	16,890,267	30,364,397
Tools & Equipment	6,330	11,779
Plant and Machinery	1,364,184,061	1,257,415,377
Waste Water Purification Project	64,549,354	73,046,166
Leasehold		
Building	885,593,436	847,473,121
Capital Work in Progress	220,436,862	434,539,012
Carrying Amount	4,773,222,618	5,115,420,532

12. PROPERTY, PLANT AND EQUIPMENT (Contd.)

12.1.1 During the financial year the Group acquired Property, Plant & Equipment to the aggregate value of LKR 176,207,321 /- (2019 - LKR 598,961,881 /-) for cash.

12.1.2 Details of Property, plant and equipment pledged for borrowings are disclosed in Note 34.

12.1.3 During the financial year, the Group has impaired the assets of its shoe manufacturing company, which are cannot be used and no recoverable amounting to LKR 45,802,798/-. (2019 N/A).

12.1.4 Revaluation of Land and Building

The Group uses the revaluation model of measurement of land and buildings. The Group engaged independent expert valuer to determine the fair value of its land and buildings.

Details of Group's land, building and other properties stated at valuation are indicated below;

Company	Property	Method of Valuation	Value		Valuers Details	Effective Date of Valuation
			2020	2019		
			LKR	LKR		
Ceylon Leather Products Limited*	Land at Balummahara	Market Approach	-	170,799,250	Mr. Chulananda Wellappili, An Independent Incorporated Valuer	31 March 2019
	Building at Balummahara	Cost Approach	-	221,862,450		
Dankotuwa Porcelain PLC	Land at Dankotuwa	Market Approach	753,884,800	655,552,000	Mr. S. Sivaskantha, An Independent Incorporated Valuer	29 February 2020
	Buildings at Dankotuwa	Cost Approach	393,893,950	381,985,250		
South Asia Textile Ltd**	Buildings at Pugoda	Income Approach	805,500,000	805,500,000	Mr. Chulananda Wellappili, An Independent Incorporated Valuer	31 March 2019
Royal Fernwood Porcelain Limited	Land at Kosgama	Market Approach	238,728,350	204,624,300	Mr. S. Sivaskantha, An Independent Incorporated Valuer	29 February 2020
	Buildings at Kosgama	Cost Approach	299,278,638	283,362,790		
Lexinton Holdings (Pvt) Limited	Land at Rajagiriya	Market Approach	145,775,000	143,575,000	Sunil Fernando and Associate (Pvt) Limited An Independent Incorporated Valuer	29 February 2020
	Buildings at Rajagiriya	Cost Approach	128,625,000	128,625,000		

* Disposed during the year.

** Based on an internal assessment carried out by South Asia Textiles Limited, the board of directors has determined that there was no significant for value change as at 31st March 2020 since last date of revaluation.

Notes to the Financial Statements

12. PROPERTY, PLANT AND EQUIPMENT (Contd.)

12.1.5 Description of Significant Unobservable Inputs to Valuation

The significant assumptions used by the valuer for valuations are follows;

Property		Method of Valuation	Inputs used for measurement	Area	Range	Sensitivity of Fair value to unobservable inputs
Royal Fernwood Porcelain Ltd.						
2020						
Freehold Land	Kosgama	Market Approach	Per perch rate	2,178 Perches	LKR 70,000 - 175,000	Positively correlated
Freehold Buildings	Kosgama	Cost Approach	Per sq.ft. rate	177,630 sq. feet	LKR 1,000 - 4,500	Positively correlated
2019						
Freehold Land	Kosgama	Market Approach	Per perch rate	2,178 Perches	LKR 60,000 - 150,000	Positively correlated
Freehold Buildings	Kosgama	Cost Approach	Per sq.ft. rate	177,630 sq. feet	LKR 1,250 - 4,000	Positively correlated
Dankotuwa Porcelain PLC						
2020						
Freehold Land	Dankotuwa	Market Approach	Per perch rate	3,277.76 Perches	LKR 230,000	Positively correlated
Freehold Buildings	Dankotuwa	Cost Approach	Per sq.ft. rate	260,015sq. feet	LKR 2,200 - 4,400	Positively correlated
2019						
Freehold Land	Dankotuwa	Market Approach	Per perch rate	3,277.76 Perches	LKR 200,000	Positively correlated
Freehold Buildings	Dankotuwa	Cost Approach	Per sq.ft. rate	260,015sq. feet	LKR 2,000 - 4,000	Positively correlated
Ceylon Leather Products Limited**						
2019						
Freehold Land	Balummahara	Market Approach	Per perch rate	474 Perches	LKR 175,000 - 475,000	Positively correlated
Freehold Buildings	Balummahara	Cost Approach	Per sq.ft. rate	76,720 sq feet	LKR 1,400 - 5,000	Positively correlated
Lexinton Holdings (Pvt) Limited						
2020						
Freehold Land	Rajagiriya	Market Approach	Per perch rate	17.15 Perches	LKR 7,500,000	Positively correlated
Freehold Buildings	Rajagiriya	Cost Approach	Per sq.ft. rate	17,150 sq feet	LKR 7,500	Positively correlated
2019						
Freehold Land	Rajagiriya	Market Approach	Per perch rate	17.15 Perches	LKR 7,250,000	Positively correlated
Freehold Buildings	Rajagiriya	Cost Approach	Per sq.ft. rate	17,150 sq feet	LKR 7,500	Positively correlated
South Asia Textiles Limited*						
2020						
Building on Leasehold Land	Pugoda	Income Approach	Per sq.ft. rate	405,430 sq. feet	LKR 12 - 50	Positively correlated
(Remaining leasehold period - 34 years)						
<i>*Based on an internal assessment carried out by the management it is concluded that there is no significant change in fair value from the last date of revaluation.</i>						
2019						
Building on Leasehold Land	Pugoda	Income Approach	Per sq.ft. rate	405,430 sq. feet	LKR 12 - 50	Positively correlated
(Remaining leasehold period - 35 years)						

12.1.6 The carrying amount of revalued assets of the Group that would have been included in the financial statements had that been carried at cost less depreciation is as follows:

Ceylon Leather Products Limited**

Class of Asset	Cost	Cumulative Depreciation If assets were carried at cost	Net Carrying Amount	Net Carrying Amount
			2020	2019
	LKR	LKR	LKR	LKR
Land - Freehold	-	-	-	32,046,453
Buildings on Freehold Land	-	-	-	122,875,835
	-	-	-	154,922,288

Dankotuwa Porcelain PLC

Class of Asset	Cost	Cumulative Depreciation If assets were carried at cost	Net Carrying Amount	Net Carrying Amount
			2020	2019
	LKR	LKR	LKR	LKR
Land - Freehold	250,000	-	250,000	250,000
Building - Freehold	165,081,657	110,145,011	54,936,646	64,097,567
	165,331,657	110,145,011	55,186,646	64,347,567

Lexinton Holdings (Pvt) Limited

Class of Asset	Cost	Cumulative Depreciation If assets were carried at cost	Net Carrying Amount	Net Carrying Amount
			2020	2019
	LKR	LKR	LKR	LKR
Land - Freehold	60,000,000	-	60,000,000	60,000,000
Building - Freehold	115,000,000	59,800,000	55,200,000	59,800,000
	175,000,000	59,800,000	115,200,000	119,800,000

Notes to the Financial Statements

Royal Fernwood Porcelain Ltd.

Class of Asset	Cost	Cumulative Depreciation If assets were carried at cost	Net Carrying Amount	Net Carrying Amount
			2020	2019
	LKR	LKR	LKR	LKR
Land - Freehold	3,462,294	-	3,462,294	3,462,294
Buildings - Freehold	15,849,645	792,482	15,057,163	14,969,109
	19,311,939	792,482	18,519,457	18,431,403

South Asia Textile Ltd

Class of Asset	Cost	Cumulative Depreciation If assets were carried at cost	Net Carrying Amount	Net Carrying Amount
			2020	2019
	LKR	LKR	LKR	LKR
Building on Leasehold Land	306,985,578	81,040,949	225,944,629	233,619,269
	306,985,578	81,040,949	225,944,629	233,619,269

12.1.7 As a result of the COVID-19 outbreak in Sri Lanka during the last part of the year ended 31 March 2020, a reassessment of the valuations were obtained by the same independent professional valuers who determined there was no significant change to the revalued carrying amount provided as at 29 February 2020.

The following items were indicated In the reassessment reports to the Group ;

The outbreak of COVID 19, declared by the World Health Organization as a "Global Pandemic" on 11 March 2020, has impacted both local and global markets.

Consequently, as at the reporting date, the value reflected represents the best estimate based on the market conditions that prevailed, which in valuers' considered opinion, meets the requirements in SLFRS-13 Fair Value Measurement.

12.2 Company

Cost	Balance as at 01.04.2019	Additions	Disposals	Balance as at 31.03.2020
	LKR	LKR	LKR	LKR
Freehold				
Motor Vehicles	20,000,000	-	-	20,000,000
Computer Equipment	1,987,895	117,300	(507,580)	1,597,615
Office Equipment	252,905	17,990	(13,950)	256,945
Tools & Equipment	17,500	-	-	17,500
Office Furniture	526,198	-	(37,476)	488,722
Total	22,784,498	135,290	(559,006)	22,360,782

Accumulated Depreciation	Balance as at 01.04.2019	Charge for the Year	Disposals	Balance as at 31.03.2020
	LKR	LKR	LKR	LKR
Freehold				
Motor Vehicles	3,750,000	5,000,000	-	8,750,000
Computer Equipment	1,937,375	50,097	(507,580)	1,479,892
Office Equipment	243,490	5,958	(13,950)	235,498
Tools & Equipment	14,583	2,917	-	17,500
Office Furniture	411,421	27,841	(37,476)	401,787
Total	6,356,869	5,086,813	(559,006)	10,884,677

Net Book Value	2020	2019
	LKR	LKR
Freehold		
Motor Vehicles	11,250,000	16,250,000
Computer Equipment	117,723	50,520
Office Equipment	21,447	9,415
Tools & Equipment	-	2,917
Office Furniture	86,935	114,777
Total Carrying Amount of Property, Plant & Equipment	11,476,105	16,427,629

Notes to the Financial Statements

13. INTANGIBLE ASSETS (GROUP)

As at 31st March

	Software		License Fees	
	2020 LKR	2019 LKR	2020 LKR	2019 LKR
Cost				
Balance at the beginning of the year	57,452,313	46,575,598	23,243,958	23,243,958
Additions during the year	497,534,048	19,181,470	-	-
Exchange Adjustment	4,631,918	-	-	-
Amortized during the year	(133,803,341)	(8,304,754)	-	-
Balance at the end of the year	425,814,938	57,452,313	23,243,958	23,243,958

13.1 Goodwill represents the excess of an acquisition over the company's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities as at the date of acquisition, and is carried at cost less accumulated impairment losses.

Goodwill is not amortized, but is reviewed for impairment annually and if there is an indication Goodwill may be impaired. For the purpose of testing goodwill for impairment, goodwill is allocated to the operating entity level, which is the lowest level at which the goodwill is monitored for internal management purpose.

13.1.1 Impairment Testing of Goodwill and Intangible Assets with Indefinite Lives

The aggregate carrying amount of Goodwill and Brand Name allocated to each CGU is as follows;

	Goodwill		Brand Name	
	2020 LKR	2019 LKR	2020 LKR	2019 LKR
Porcelain	-	-	9,723,614	9,723,614
IT and Related Services	847,041,839	847,041,839	314,920,960	314,920,960
	847,041,839	847,041,839	324,644,574	324,644,574

13.2 Impairment of goodwill

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its value in use (VIU). The fair value less costs to sell calculation is based on available data from an active market, in an arm's length transaction, of similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash inflows and the growth rate used for extrapolation purposes. The key assumptions used to determine the recoverable amount for the different cash generating units, are as follows;

Gross margins

The basis used to determine the value assigned to the budgeted gross margins/contributions is the gross margins/contributions achieved in the year preceding the budgeted year adjusted for projected market conditions.

Brand Name		Goodwill		Total	
2020	2019	2020	2019	2020	2019
LKR	LKR	LKR	LKR	LKR	LKR
324,644,574	324,644,574	847,041,839	847,041,839	1,252,382,685	1,241,505,969
-	-	-	-	497,534,048	19,181,470
-	-	-	-	4,631,918	-
-	-	-	-	(133,803,341)	(8,304,754)
324,644,574	324,644,574	847,041,839	847,041,839	1,620,745,310	1,252,382,685

Discount rates

The discount rate used is the risk free rate which is the long term bond rate as published by Central Bank of Sri Lanka, adjusted by the addition of an appropriate risk premium.

Inflation

The basis used to determine the value assigned to the budgeted cost inflation, is the inflation rate, based on projected economic conditions as published by Central Bank of Sri Lanka.

Volume growth

Volume growth has been budgeted on a reasonable and realistic basis by taking into account the growth rates of one to four years immediately subsequent to the budgeted year based on Industry growth rates.

The goodwill and the brand name has been allocated to Millennium I.T.E.S.P (Pvt) Ltd and Royal Fernwood Porcelain Ltd for the purpose of impairment assessment, where the recoverable amount has been estimated using the discounted cash flow method. No impairment is required as the recoverable amounts exceeded the carrying value of those CGUs including the allocated goodwill and brand name as at 31 March 2020.

Below given the sensitivity impact of the key assumptions on the recoverable amount of those CGUs.

Sensitivity Analysis

Company	Weighted Average Cost of Capital	Growth Rate	2020	2019
			Effect on the estimated recoverable amount LKR	Effect on the estimated recoverable amount LKR
Royal Fernwood Porcelain Ltd.	1%		(38,917,685)	(43,486,682)
	-1%		43,985,038	49,951,951
		1%	13,545,324	15,351,120
		-1%	(12,032,460)	(13,478,580)
Millennium I.T.E.S.P (Pvt) Ltd.	1%		(81,904,365)	(108,818,438)
	-1%		92,047,793	124,698,488
		1%	23,187,667	33,233,895
		-1%	(20,848,792)	(29,336,782)

Notes to the Financial Statements

13.3 Software of the group represents new ERP system and project related software.

13.4 License fee represents license fee paid for solar power project through sustainable energy authority and license cost pertaining to the software applications purchased. License fee for software applications have a finite useful life and carried at cost less accumulated amortization. Amortization is calculated using straight line method to allocate cost of license over their estimated useful life of 5 years.

13.5 The management identified the brand names of Royal Fernwood Porcelain Ltd and Millennium I.T.E.S.P (Pvt) Limited as an intangible asset with an indefinite useful life arising from business combination. The management is of the view that the brand name will be a key attraction in the Porcelain Sector and Information Technology Sector. The brand name has been tested for impairment along with other intangible assets of the Royal Fernwood Porcelain Ltd and Millennium I.T.E.S.P (Pvt) Ltd as further explained under note 13.1.1.

13.6 The Group has not determined the impairment of goodwill as at the reporting date due to the COVID-19 pandemic. The Group has taken the necessary steps to ensure business continuity, weighing the risks and benefits in the context of the prevalent environment and where it is not viable to operate in full capacity, the management resorted to the suitable measures to safeguard Group assets.

14. BIOLOGICAL ASSETS (GROUP)

	Balance as at 01.04.2019	Changes in Fair Value Less Cost to Sell	Balance as at 31.03.2020
	LKR	LKR	LKR
Teak	49,470,000	786,675	50,256,675
Lunumidella	830,000	(1,550)	828,450
Coconut	81,950	-	81,950
	50,381,950	785,125	51,167,075

14.1 Heron Agro Products (Pvt) Ltd, subsidiary of the Ambeon Capital PLC has leased out a land from Sri Lanka Mahaweli Authority under Government Land Ordinance for 30 years commencing from 18th January 1993. The lease period will expire on 17th January 2023. However, the lease period could be extended further period of 15 years in accordance with the Memorandum of Understanding (MOU) signed with the Mahaweli Authority of Sri Lanka.

14.2 Determination of Market Value

Teak

Market price is mainly obtained from International Market price of Teak Timber, State Timber Corporation and the local market prices. Cost of sawing and other outgoings have been deducted to obtain the net value of the sawn timber per mature tree. The value of a Sq.ft of teak is assumed to be LKR 1,900 - LKR 3,800 (discounted) for the purpose of valuation as at 29th February 2020.

Lunumidella

Market Price of a mature tree is determined based on local market and State Timber Corporation price. Cost of sawing and other outgoing have been deducted to obtain the net value of sawn timber per mature tree. Value of a Sq.ft of Lunumidella tree is assumed to be LKR 210 (discounted) for the purpose of valuation as at 29th February 2020.

14.2.1 Discount Rate

The market related systemic risk factor is taken at 2% - 2.65%, unsystemic risk of 3.5% was subject to the assumed probability. Thus the 3.5% adjustment was assumed with a final adjustment by a premium of 6% to arrive at the discounting rate of 17%.

2020	2019
17%	17%

14.2.2 Methodology

The estimation of value of stumpage in timber stands depends on the age of plantation. These are categorized merchantable and pre merchantable.

The young plantation between age 10-15 are termed pre-merchantable and the other merchantable. Merchantable are valued based on market prices discounted to harvesting DCF Method.

Pre merchantable are valued based on replacement cost basis. The costs are compounded to recognize the return on investment, the compounding rate is the opportunity cost which is taken at Weighted Average Cost of Capital.

14.2.3 Key assumptions

1. The harvesting is approved by the forest Department and other relevant authorities.
2. The prices adopted are net of expenditure.
3. Discount rate is 17%
4. Compounding rate is 15% (assumed WACC)
5. Pre-merchantable are valued on replacement cost basis, compounded at 15%

2018/19 Key assumptions were also same as above.

14.3 Fair Valuation of Biological Assets

The Group uses the fair valuation model of measurement of its biological assets. The Group engaged an independent expert valuer to determine the fair value of its biological assets.

Details of Group's biological assets stated at valuation are indicated below;

Company	Property	Method of Valuation	Value		Valuers Details	Effective Date of Valuation
			2020	2019		
			LKR	LKR		
Heron Agro (Pvt) Ltd.	A timber stumpage in managed timber stand at Agunakolapelessa	Replacement cost basis	51,167,075	50,381,950	Sunil Fernando and Associate (Pvt) Limited An Independent Incorporated valuer	29-Feb-20

Notes to the Financial Statements

14.4 Potential Risks Timber Plantations

Supply and Demand Risk

The Group is exposed to risks arising from fluctuations in the price and sales volume of time. When possible, the Group manages this risk by aligning its harvest volume to market supply and demand. Management performs regular industry trend analyses to ensure that the Group's pricing structure is in line with the market and to ensure that projected harvest volumes are consistent with the expected demand identified.

Regulatory and Environmental Risks

The Group is subject to laws and regulations in Sri Lanka. The Group has established environmental policies and procedures aimed at compliance with local environmental and other laws. Management performs regular reviews to identify environmental risks and to ensure that the systems in place are adequate to manage those risks.

Climate and Other Risks

The Group's timber plantations are exposed to the risk of damage from climatic changes, diseases, forest fires and other natural forces. The Group has extensive processes in place aimed at monitoring and mitigating those risks, including regular forest health inspections and industry pest and disease surveys.

14.5 As a result of the COVID-19 outbreak in Sri Lanka during the last part of the quarter ended 31 March 2020, a reassessment of the valuation was obtained by the same independent professional valuer who determined no significant change to the revalued carrying amount provided as at 29th February 2020. In the reassessment reports to the Group, the valuers stated following facts as basis for the judgement; The outbreak of COVID-19, declared by the World Health Organization as a "Global Pandemic" on 11 March 2020, has impacted both local and global markets. Consequently, as at the reporting date, the value reflected represents the best estimate based on the market conditions that prevailed, which in valuers' considered opinion, meets the requirements in SLFRS-13 Fair Value Measurement.

15. INVESTMENT PROPERTIES

	Notes	Group		Company	
		2020 LKR	2019 LKR	2020 LKR	2019 LKR
Balance at the beginning of the year		3,612,851,650	1,688,188,153	30,500,000	29,000,000
Additions		2,243,110	7,542,453	-	-
Transferred from Property Plant and Equipment	15.2	-	1,085,766,025	-	-
Net gain from fair value adjustments		790,220,265	831,355,019	2,500,000	1,500,000
		4,405,315,025	3,612,851,650	33,000,000	30,500,000
Balance at the end of the year		4,405,315,025	3,612,851,650	33,000,000	30,500,000

15.1 Group's Investment Properties are stated at fair value, fair value has been determined on the basis of market value of land and buildings. Investment Properties are appraised in accordance with SLFRS 13, LKAS 40 and International Valuation Standards. Professional valuation was performed on the investment properties as at 29 February 2020 by the following Incorporated Valuers.

15.1.1

Company	Property Location	Valuer		2020	2019
		2020	2019		
Colombo City Holdings PLC	Union Place	Mr. S. Sivaskanth	Mr. S. Sivaskanth	29th February	31st March
Dankotuwa Porcelain PLC	Dankotuwa	Mr. S. Sivaskanth	Mr. S. Sivaskanth	29th February	31st March
Royal Fernwood Porcelain Ltd.	Kosgama	Mr. S. Sivaskanth	Mr. S. Sivaskanth	29th February	31st March
Taprobane Securities (Pvt) Ltd.	Kosgama	Mr. W.M Chandrasena	Mr. W.M Chandrasena	29th February	31st March
Ceylon Leather Products Limited	Mattakkuliya	Mr. S. Sivaskanth	Mr. Chulananda Wellappili	29th February	31st March
Lexinton Resorts (Pvt) Ltd.	Kosgoda	Sunil Fernando Associates	Sunil Fernando Associates	29th February	31st March
Ambeon Capital PLC	Sigiriya	Mr. W.M. Chandrasena	Mr. W.M. Chandrasena	29th February	31st March

15.2 Due to the change in the use of a part of the land and buildings located at Mattakkuliya during the previous year, that was reclassified as investment property at its fair value determined by an independent valuer.

15.3 The Group has reported rental income amounting to LKR 34,325,132/- (2019 - LKR 8,893,895/-) from this investment property and incurred direct operating expenses (including repairs and maintenance) amounting to LKR 2,177,527/- (2019 - LKR 1,294,382/-).

15.4 The significant assumptions used by the valuer in the years 2020 and 2019 are as follows.

Company	Property	Method of Valuation	Inputs used for measurement	2020 LKR	2019 LKR
Colombo City Holdings PLC	Land and Buildings	Open Market Value	Per perch rate	20,000,000	18,000,000
	(Union Place, Colombo)	Replacement Cost	Per sq.ft. rate	5,500-2,750	5,250-2,500
Dankotuwa Porcelain PLC	Land (Dankotuwa)	Open Market Value	Per perch rate	6,000 -175,000	5,000-145,000
Royal Fernwood Porcelain Ltd.	Land (Kosgama)	Open Market Value	Per perch rate	70,000	60,000
Taprobane Securities (Pvt) Ltd.	Land (Kosgama)	Open Market Value	Per perch rate	72,500	70,000
Lexinton Resorts (Pvt) Ltd.	Land (Kosgoda)	Open Market Value	Per perch rate	395,000	395,000
Ambeon Capital PLC	Land (Sigiriya)	Open Market Value	Per Acre Rate	5,200,000	4,550,000
Ceylon Leather Products Limited	Land (Mattakkuliya)	Open Market value	Per perch rate	2,700,000	2,000,000
	Buildings (Mattakkuliya)	Replacement Cost	Per sq.ft. rate	2,500-5,000	650 - 3,250

Notes to the Financial Statements

15.4.1 Description of significant unobservable inputs to valuation:

The significant unobservable inputs used in the fair value measurement categorized within Level 3 of the fair value hierarchy together with a quantitative sensitivity analysis as at 29th February 2020 and 2019 are as shown below;

Investment Property	Valuation technique	Significant unobservable inputs	Rate	Sensitivity of input to Fair value
Colombo City Holdings PLC				
As at 31 March 2020				
Land 47.2 perches	Open Market value	Per perch rate	LKR 20,000,000 Per Perch	Positively correlated
Building 4,344 sqft	Replacement Cost	Per sqft. rate	LKR 5,500 Per Sqft.	Positively correlated
Mezzanine floor 1,100 sqft	Replacement Cost	Per sqft. rate	LKR 2,750 Per Sqft.	Positively correlated
As at 31 March 2019				
Land 47.2 perches	Open Market value	Per perch rate	LKR 18,000,000 Per Perch	Positively correlated
Building 4,344 sqft	Replacement Cost	Per sqft. rate	LKR 5,250 Per Sqft.	Positively correlated
Mezzanine floor 1,100 sqft	Replacement Cost	Per sqft. rate	LKR 2,500 Per Sqft.	Positively correlated
Dankotuwa Porcelain PLC				
As at 31 March 2020				
Land 3,985.95 perches	Open Market value	Per perch rate	LKR 6,000 - 175,000 Per Perch	Positively correlated
As at 31 March 2019				
Land 3,985.95 perches	Open Market value	Per perch rate	LKR 5,000 - 145,000 Per Perch	Positively correlated
Royal Fernwood Porcelain Ltd				
As at 31 March 2020				
Land 1,753.07 perches	Open Market value	Per perch rate	LKR 70,000 Per Perch	Positively correlated
As at 31 March 2019				
Land 1,753.07 perches	Open Market value	Per perch rate	LKR 60,000 Per Perch	Positively correlated
Taprobane Securities (Pvt) Ltd				
As at 31 March 2020				
Land 1,162.5 perches	Open Market value	Per perch rate	LKR 72,500 Per Perch	Positively correlated
As at 31 March 2019				
Land 1,162.5 perches	Open Market value	Per perch rate	LKR 70,000 Per Perch	Positively correlated

Investment Property	Valuation technique	Significant unobservable inputs	Rate	Sensitivity of input to Fair value
Ceylon Leather Products Limited				
As at 31 March 2020				
Land 765.56 perches	Open Market value	Per perch rate	LKR 2,700,000 Per Perch	Positively correlated
Buildings 75,010 sqft	Replacement Cost	Per sqft. rate	LKR 2,500- 5,000 Per Sqft.	Positively correlated
As at 31 March 2019				
Land 765.56 perches	Open Market value	Per perch rate	LKR 2,000,000 Per Perch	Positively correlated
Buildings 75,010 sqft	Replacement Cost	Per sqft. rate	LKR 650- 3,250 Per Sqft.	Positively correlated
Lexinton Resorts (Pvt) Ltd				
As at 31 March 2020				
Land 1,373 perches	Open Market value	Per perch rate	LKR 395,000 Per Perch	Positively correlated
As at 31 March 2019				
Land 1,373 perches	Open Market value	Per perch rate	LKR 395,000 Per Perch	Positively correlated
Ambeon Capital PLC				
As at 31 March 2020				
Land 8 Acres	Open Market value	Per Acre Rate	LKR 5,200,000 Per Acre	Positively correlated
As at 31 March 2019				
Land 8 Acres	Open Market value	Per Acre Rate	LKR 4,550,000 Per Acre	Positively correlated

15.5 As a result of the COVID-19 outbreak in Sri Lanka during the last part of the year ended 31 March 2020, a reassessment of the valuations were obtained by the same independent professional valuers who determined there was no significant change to the revalued carrying amount provided as at 29 February 2020.

The following items were indicated In the reassessment reports to the Group ;

The outbreak of COVID 19, declared by the World Health Organization as a "Global Pandemic" on 11 March 2020, has impacted both local and global markets.

Consequently, as at the reporting date, the value reflected represents the best estimate based on the market conditions that prevailed, which in valuers' considered opinion, meets the requirements in SLFRS-13 Fair Value Measurement.

Notes to the Financial Statements

16. INVESTMENT IN SUBSIDIARIES

COMPANY

16.1 Investment in subsidiaries

16.1.1 Ordinary shares

As at 31 March	Place of Principal Business	Effective Holdings		Direct Holding		No of Shares		Fair Value	
		2020 %	2019 %	2020 %	2019 %	2020 Nos.	2019 Nos.	2020 LKR	2019 LKR
	No 10, Gothami Road, Heron Agro Products (Pvt) Ltd, Colombo 08.	100.00	100.00	100.00	100.00	740,000	740,000	20,140,359	24,516,433
	No 10, Gothami Road, Lexinton Resorts (Pvt) Ltd, Colombo 08.	100.00	100.00	100.00	100.00	229,000,000	229,000,000	526,877,421	529,631,817
	No 10, Gothami Road, Ambeon Holdings PLC, Colombo 08.	81.43	81.43	81.43	81.43	290,597,377	290,597,377	8,630,584,111	8,106,591,833
								9,177,601,891	8,660,740,083
Movement of Investment in Subsidiary									
		A the beginning Net Investment/ of the year		Disposal		Fair Value Gain		At the end of the year	
		LKR		LKR		LKR		LKR	
2020		8,660,740,083		-		516,861,808		9,177,601,891	
2019		6,846,908,595		(265,318,352)		2,079,149,840		8,660,740,083	

Investment in Subsidiaries are stated at fair value, fair value has been determined in accordance with SLFRS 13. Professional valuation was performed by CT CLSA Capital (Pvt) Ltd for the year ended 31 March 2020 and 31 March 2019. For further details refer Note 36.

16. INVESTMENTS IN SUBSIDIARIES (Contd.)

16.2 Investments in Sub Subsidiaries

Sub Subsidiaries	Investor	Effective Holding %		Principal Activity	Place of Principal Business
		2020	2019		
Lexinton Financial Services (Pvt) Ltd.	Taprobane Capital Plus (Pvt) Ltd	81.43	81.43	Carrying out Margin Trading - No operation During the year.	No. 10, Gothami Road, Colombo 08
Ceylon Leather Products Ltd.	Ambeon Holdings PLC	81.35	81.35	Manufacturing and selling of Leather, Leather Footwear and Leather Goods	No.64, Belummahara, Mudungoda
South Asia Textiles Ltd.	Ambeon Holdings PLC	79.53	79.53	Manufacturing and selling of knitted fabrics for the export and local markets	No. 70, Felix Dias Bandaranayake Mawatha, Pugoda, Sri Lanka
Palla & Company (Pvt) Ltd.	Ambeon Holdings PLC	81.35	81.35	Manufacturing shoes for export market - Ceased Operations during the period	Spur Rd. 4, Lot 25B, Katunayake Export Promotion Zone
Dankotuwa Porcelain PLC	Ambeon Holdings PLC	63.12	63.12	Manufacturing and selling of porcelain tableware to export and local markets	Factory and the showroom, Kurunegala Road, Dankotuwa
Royal Fernwood Porcelain Ltd.	Dankotuwa Porcelain PLC	60.40	60.40	Manufacturing and selling of porcelain tableware to export and local markets	Werellamandiya Estate, Police station road, Kosgama
Lanka Decals (Pvt) Ltd.	Royal Fernwood Porcelain Ltd	60.40	60.40	Manufacturing Decals - No operations during the period	Werellamandiya Estate, Police station road, Kosgama
Fernwood Lanka (Pvt) Ltd.	Royal Fernwood Porcelain Ltd	60.40	60.40	Selling of porcelain tableware to domestic market - No operations during the period	Werellamandiya Estate, Police station road, Kosgama
Colombo City Holdings PLC	Ambeon Holdings PLC	63.21	54.07	Renting out properties	No. 505, Union Place, Colombo 02
Olancom (Pvt) Ltd.	Ambeon Holdings PLC	75.85	75.85	Engage in networking business solutions - No operations during the period	No. 10, Gothami Road, Colombo 08
Taprobane Investments (Pvt) Ltd.	Taprobane Capital Plus (Pvt) Ltd	81.43	81.43	Money Broking	No. 10, Gothami Road, Colombo 08
Taprabane Securities (Pvt) Ltd.	Taprobane Capital Plus (Pvt) Ltd	81.43	81.43	Share Broking	No. 10, Gothami Road, Colombo 08
Taprobane Wealth Plus (Pvt) Ltd.	Taprobane Capital Plus (Pvt) Ltd	81.43	81.43	Corporate Finance - No operation during the period	No. 10, Gothami Road, Colombo 08
Taprobane Capital Plus (Pvt) Ltd.	Ambeon Holdings PLC	81.43	81.43	Investment Management	No. 10, Gothami Road, Colombo 08
Eon Tech (Pvt) Ltd.	Ambeon Holdings PLC	63.52	63.52	Investment Holding	No. 10, Gothami Road, Colombo 09
Lexinton Holdings (Pvt) Ltd.	Colombo City Holdings PLC	63.21	54.07	Real estate Management	No. 10, Gothami Road, Colombo 10
Millenium I.T.E.S.P (Pvt) Ltd.	Ambeon Holdings PLC	49.05	49.05	IT Solutions	48 Sir Marcus Fernando Road, Colombo 07
DPL Trading (Pvt) Ltd.	Dankotuwa Porcelain PLC	63.12	63.12	Retail Selling & Porcelain tableware to the domestic market	Kurunegala Road, Dankotuwa

Notes to the Financial Statements

16.3 Investments and Disposals

16.3.1 Purchase of shares of Colombo City Holdings PLC by Ambeon Holdings PLC

Ambeon Holdings PLC purchased 142,901 ordinary shares of Colombo City Holdings PLC on 30 September 2019. This purchase represents 11.23% of the total issued ordinary shares of Colombo City Holdings PLC. Accordingly, the total holding of Ambeon Holdings PLC in Colombo City Holdings PLC consequent this transaction is 988,060 ordinary shares representing 77.63% of the total issued ordinary share of Colombo City Holdings PLC.

16.3.2 Disposal of Ceylon Leather Products Distributors (Private) Limited by Ceylon Leather Products Limited

Ceylon Leather Products Limited a subsidiary of Ambeon Holdings PLC transferred its shoe manufacturing business on 01 October 2019 to Ceylon Leather Products Distributors (Private) Limited, a wholly owned subsidiary of Ceylon Leather Products Limited.

Consequent to the said business transfer, Ceylon Leather Products Limited sold 6,803,250 ordinary shares held in Ceylon Leather Products Distributors (Private) Limited to VAST Holdings Limited for a total consideration of LKR 10,000 /- on 24 October 2019.

16.4 The Company uses fair valuation model of measurement for investment in subsidiary Details of investment in subsidiaries stated at fair value included below.

Company	Valuation Techniques	Significant Inputs	FV Level	Effective date
Ambeon Holdings PLC	Sum-of-the-Parts (SOTP)*	Forecasted Cash Flow	Level 3	31-Mar-2020
Heron Agro Products (Pvt) Ltd.	Net Assets Value			
Lexinton Resorts (Pvt) Ltd.	Net Assets Value			

Company	Weighted Average Cost of Capital	Terminal Growth Rate	2020		2019	
			Effect on Profit or Loss Statement	Effect on Statement of Financial Position	Effect on Profit or Loss Statement	Effect on Statement of Financial Position
Ambeon Holdings PLC	1%		(10,045,424)	(10,045,424)	(9,545,340)	(9,545,340)
	-1%		11,236,441	11,236,441	10,433,811	10,433,811
		1%	10,745,379	10,745,379	10,082,084	10,082,084
		-1%	(10,469,101)	(10,469,101)	(9,844,488)	(9,844,488)

*Combination & multiple approvals - Sum of the parts (SOTP) .

The SOTP method is a valuation methodology which is commonly used to value a Company operating in several industries. SOTP aggregates the independently valued business units of a Company in order to arrive at a single total equity value.

16.4.1 The impact of COVID-19 pandemic have been incorporated to the forecasts and valuations based on the best estimates. Due to the uncertainty in the current business environment caused by COVID-19 pandemic, there could be differences between the best estimates and the actual business performance achieved. However, reasonable estimates and assumptions have been incorporated to the above valuations based on the available information.

Accordingly, the valuer has confirmed in his report that the value reflected as of 31 March 2020 represents the best estimate of fair value as of the reporting date, which in the valuer's opinion meets the requirements in SLFRS 13 Fair Value Measurement.

17. OTHER FINANCIAL ASSETS

		Group		Company	
As at 31 March		2020	2019	2020	2019
	Notes	LKR	LKR	LKR	LKR
Non Current Investments					
Deposit with Colombo Stock Exchange		2,780,426	2,787,729	-	-
Amortized Cost	17.1	14,009,154	23,236,379	-	-
Loans and Receivables		293,767,181	-	-	-
		310,556,761	26,024,108	-	-
Current Investments					
Amortized Cost	17.2	342,774,378	287,403,237	-	-
Fair Value through Profits or Losses	17.3.1	54,452,647	167,447,645	-	-
Fair value through OCI	17.3.2	557,919,141	566,705,269	-	-
Investment in Government Securities at amortized Cost	17.5	1,043,426,486	895,197,720	1,043,426,486	895,197,720
		1,998,572,652	1,916,753,871	1,043,426,486	895,197,720

17.1 Amortized Cost

		Group		Company	
As at 31 March		2020	2019	2020	2019
		LKR	LKR	LKR	LKR
Investment in Government Securities		14,009,154	23,236,379	-	-
		14,009,154	23,236,379	-	-

17.2 Amortized Cost

		Group		Company	
As at 31 March		2020	2019	2020	2019
		LKR	LKR	LKR	LKR
Current					
Bank Deposits		307,219,166	265,375,931	-	-
Commercial Paper - Other **		35,555,213	-	-	-
Commercial Paper - Ultimate Parent *		-	22,027,306	-	-
		342,774,378	287,403,237	-	-

*Terms and conditions ; Rate of interest at 15.75% - 17%

**Terms and conditions; Rate of interest at AWPLR+2%

Notes to the Financial Statements

17.3 Investment in Equity Securities

17.3.1 Fair Value through Profits or Losses

As at 31st March	2020			2019		
	No. of Shares	Cost	Market Value	No. of Shares	Cost	Market Value
		LKR	LKR		LKR	LKR
GROUP						
Incorporated in Sri Lanka						
Aitken Spence PLC	399	88,785	12,249	399	88,785	16,359
Browns Investments PLC	-	-	-	16,295,761	31,138,931	24,443,640
B P P L Holdings	645,100	7,578,680	7,870,220	645,100	7,578,680	6,386,490
Seylan Bank PLC	887,051	82,930,236	46,570,178	2,175,175	203,356,714	136,601,156
		90,597,702	54,452,647		242,163,110	167,447,645

17.3.2 Fair value through OCI

As at 31st March	2020			2019		
	No. of Shares	Cost	Market Value	No. of Shares	Cost	Market Value
		LKR	LKR		LKR	LKR
Pan Asia Banking Corporation PLC	43,930,641	823,593,973	557,919,141	43,930,641	823,593,973	566,705,269
		823,593,973	557,919,141		823,593,973	566,705,269
Total Carrying Value of Investment		914,191,675	612,371,788		1,065,757,083	734,152,914

17.4 The extent of information about the impact of COVID-19 that was available as at the reporting date shows factors which are indicative of an inactive market such as a significant drop in trade volumes, significant decline or absence of a market for new issuances, decrease in correlations between asset/liability values and related share price indexes and subsequent closure of the exchange for trading. Accordingly Management has determined the best indicative value the share prices reported between 31 December 2019 and 20 March 2020.

Investment in quoted shares has been classified under Level 2 in Fair Value hierarchy since the Group used market prices reported between 31 December 2019 and 20 March 2020 as fair value due to the unavailability of information in the equity market as at the reporting date.

17.5 Investment in Government Securities

As at 31 March	Group		Company	
	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Cost of the portfolio	1,025,373,901	892,762,001	1,025,373,901	892,762,001
Change in fair value	18,052,585	2,435,719	18,052,585	2,435,719
	1,043,426,486	895,197,720	1,043,426,486	895,197,720

18. INVENTORIES

As at 31 March	Notes	Group		Company	
		2020	2019	2020	2019
		LKR	LKR	LKR	LKR
Raw Material		938,318,265	986,488,999	-	-
Work in Progress/ Project in Progress		1,627,103,314	2,086,983,807	-	-
Finished Goods		1,394,399,269	1,001,024,813	-	-
Indirect Material		31,078,685	20,623,200	-	-
Spare Stock		36,780,743	24,940,897	-	-
Consumables		19,148,951	52,620,748	-	-
General Stock		19,290,385	16,477,780	-	-
Semi Finished Goods		262,106,240	206,543,119	-	-
Packing Material		28,619,459	23,790,867	-	-
Others		17,192,102	24,105,747	-	-
Less : Allowance for Obsolete & Slow Moving Inventories	18.2	(679,173,432)	(468,764,827)	-	-
		3,694,863,981	3,974,835,150	-	-
Consumables and Spares		144,557,802	104,985,065	-	-
Goods Held for resale and maintenance inventory	18.1	11,942,465	7,543,185	-	-
Goods-In-Transit		243,569,714	153,552,706	-	-
		4,094,933,962	4,240,916,106	-	-
Total Inventories at the Lower of Cost and Net Realizable Value		4,094,933,962	4,240,916,106	-	-

18.1

As at 31 March	Notes	Group		Company	
		2020	2019	2020	2019
		LKR	LKR	LKR	LKR
Goods held for resale		-	1,768,926	-	-
Maintenance Inventory		132,340,394	154,271,320	-	-
		132,340,394	156,040,246	-	-
Provision for fall in value	18.2	(120,397,929)	(148,497,061)	-	-
		11,942,465	7,543,185	-	-

Notes to the Financial Statements

18.2 Allowance for Obsolete & Slow Moving Inventories

	Group		Company	
As at 31 March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Balance at the beginning of the year	617,261,888	740,948,646	-	-
Provision/(Reversal) made during the year	182,309,473	(123,686,758)	-	-
Balance at the end of the year	799,571,361	617,261,888	-	-

18.3 Details of inventories pledged for borrowings are disclosed in Note 34.

18.4 The Group has identified companies with COVID-19 related revenue declines or disrupted supply chains and evaluated whether it is required to adjust the carrying value of the inventory based on customer revised delivery date and order cancellation risk. The Group has adjusted the carrying value of the inventory to reflect its net realizable value.

19. TRADE AND OTHER RECEIVABLES

		Group		Company	
As at 31 March	Notes	2020	2019	2020	2019
		LKR	LKR	LKR	LKR
Trade Receivables		5,817,730,457	5,300,778,712	24,483,711	21,837,958
Interest In Suspense		(9,285,981)	(6,640,228)	(9,285,981)	(6,640,228)
Provision for Bad and Doubtful Debts	19.2	(1,312,596,316)	(1,232,502,346)	(15,197,730)	(15,000,000)
		4,495,848,159	4,061,636,138	-	197,730
Loans Granted	19.1	160,027,260	124,552,803	-	678,741
Other Receivables		503,297,509	271,205,804	41,507,080	41,207,046
Other Receivables - Related Parties	19.3	13,996,990	12,905,130	69,801,956	45,342,649
Provision for Bad and Doubtful Debts	19.2	(193,338,071)	(34,498,849)	-	-
		4,979,831,848	4,435,801,027	111,309,036	87,426,165
Advances and Prepayments		1,412,182,283	1,569,242,733	1,230,709	1,237,381
		6,392,014,130	6,005,043,760	112,539,745	88,663,547

*Details of trade debtors pledged for borrowing are disclosed in Note 34.

19. TRADE AND OTHER RECEIVABLES (Contd.)**19.1 Loans Granted**

	Group		Company	
	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Loans Granted - Individuals	81,639	2,065,060	-	-
Loans Granted - Institutions	161,137,295	124,447,934	1,191,674	1,191,674
Provision for Bad and Doubtful Debts	(1,191,674)	(1,960,191)	(1,191,674)	(512,933)
	160,027,261	124,552,803	-	678,741

19.2 Provision for Bad and Doubtful Debts

	Group		Company	
As at 31 March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Balance as at the beginning of the year	1,267,001,195	1,099,757,368	15,000,000	15,000,000
Provision/(Reversal) made during the year	238,933,192	(2,133,261)	197,730	-
SLFRS 9 Impact	-	169,377,088	-	-
Balance at the end of the year	1,505,934,387	1,267,001,195	15,197,730	15,000,000

19.3 Amounts Due From Related Parties

		Group		Company	
As at 31 March	Relationship	2020	2019	2020	2019
		LKR	LKR	LKR	LKR
Heron Agro Products (Pvt) Ltd.	Subsidiary	-	-	27,688,880	22,598,508
Taprobane Capital Plus (Pvt) Ltd.	Sub Subsidiary Company	-	-	29,588,687	14,729,065
Lexinton Resorts (Pvt) Ltd.	Subsidiary Company	-	-	12,524,389	8,015,076
Loan Given to Directors	Group Director	13,996,990	12,905,130	-	-
		13,996,990	12,905,130	69,801,956	45,342,649

19.4 The Group has identified companies with COVID-19 related collection related delay and evaluated whether it is required to adjust the impairment to receivables based on customer confirmation on recoverability and settlement plan. Accordingly the Group has made the adequate impairment provision based on the management judgement.

Notes to the Financial Statements

20. CASH AND CASH EQUIVALENTS

	Group		Company	
As at 31 March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Cash at Bank	455,897,902	328,365,028	332,699	1,172,412
Cash in Hand	40,000	40,000	40,000	40,000
Short Term Investments	327,012,330	283,503,932	28,904,553	-
	782,950,232	611,908,960	29,277,252	1,212,412
Bank Overdrafts used for cash management purposes	(1,615,252,778)	(1,423,547,246)	(106,984,630)	(34,970,688)
Cash & Cash Equivalents in the statement of cash flow	(832,302,547)	(811,638,286)	(77,707,378)	(33,758,276)

21. STATED CAPITAL

	Group		Company	
As at 31 March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Issued Capital				
1,002,724,815 Ordinary Shares issued & fully paid	1,053,643,405	1,053,643,405	1,053,643,405	1,053,643,405

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

21.1 Other Components of Equity

	Group		Company	
As at 31 March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Revaluation Reserves	1,039,067,197	1,186,791,520	-	-
Foreign Currency Translation Reserve	(152,287,913)	(258,957,376)	-	-
Fair Value Through Other comprehensive Income	(216,339,016)	(209,184,472)	-	-
Currency/Exchange Hedge Reserve (Note 21.2)	(19,080,559)	-	-	-
Amalgamation Reserve (Note 21.3)			258,920,263	258,920,263
	651,359,708	718,649,672	258,920,263	258,920,263

21. STATED CAPITAL (Contd.)**21.1 Other Components of Equity (Contd.)**

	Attributable to Equity Holders of Parent	
	Revaluation Reserves**	Foreign Currency Translation Reserve*
	LKR	LKR
Beginning of the year	1,186,791,520	(258,957,376)
Revaluation Gain	78,558,268	-
Revaluation transfer to Retained Earnings due to Disposal	(226,282,591)	-
Loss from Foreign Currency Translation during the year	-	106,669,463
	1,039,067,197	(152,287,913)

**Land & Buildings of subsidiaries have been revalued during the year by independent incorporated valuers, Mr. S. Sivakanthan and Messrs Sunil Fernando and Associates. The said land and buildings were valued based on Market Approach, Cost Approach and Income Approach as further explained in Note 12.1.5. The result of such valuations were incorporated in the financial statements by transferring the surplus arisen thereon to the revaluation reserve.

*As at the reporting date, the assets and liabilities of the Indian Branch Operated by Dankotuwa Porcelain PLC and South Asia Textiles Limited were translated into the presentation currency at the exchange rate prevailing at the reporting date and the Income Statement is translated at the average exchange rate for the period. The exchange rate differences arising on the translation were taken directly in to Foreign Currency Conversion Reserve, which is classified as a part of equity.

	Group	
As at 31 March	2020	2019
	LKR	LKR
Net foreign Exchange Difference		
Loss from Foreign Currency Translation during the year	156,075,551	(378,266,928)
Exchange impact from Property Plant and Equipment (Note 12)	-	-
	156,075,551	(378,266,928)

21.2 Cash Flow Hedge Reserve**Group**

	Group	
As at 31 March	2020	2019
	LKR	LKR
Balance as at beginning of the Period	-	-
Net impact on cash flow hedge	(45,139,282)	-
Transfer to cash hedge reserve to revenue	4,374,357	-
	(40,764,925)	-
Tax on Cashflow Hedge Accounting	6,476,630	-
	(34,288,295)	-
Attributable to:		
Equity Holders of the Company	(19,080,559)	-
Non-Controlling Interests	(21,684,366)	-
	(40,764,925)	-

The Group hedge the variability in the cash flows corresponding to the repayment of the term loan capital, packing credit loans and import loan capital attributable to changes in exchange rates over the period.

Notes to the Financial Statements

21.3 Amalgamation Reserve

Ambeon Capital PLC obtained a certificate of amalgamation from the Registrar of Companies to amalgamate its wholly owned subsidiary, Taprobane Equities (Private) Limited (TEL) with effective from 30 November 2017. The effect of this amalgamation was LKR 258 Mn.

21.4 Dividend Per Share

As at 31 March	Company			
	2020		2019	
	DPS	LKR	DPS	LKR
Equity dividend on ordinary shares declared and paid during the year				
Final dividend	-	-	0.36	360,980,933
Total Dividend	-	-	0.36	360,980,933

22. INTEREST BEARING LOANS AND BORROWINGS

		Group		Company	
As at 31 March	Notes	2020	2019	2020	2019
		LKR	LKR	LKR	LKR
Repayable after one year					
Leases	22.2	142,718,242	18,139,171	3,258,865	-
Bank Loans	22.3	3,608,551,294	2,738,336,807	1,943,409,255	1,926,486,512
Loans granted by Related Parties	22.4	-	-	1,356,719,344	822,198,621
		3,751,269,536	2,756,475,978	3,303,387,464	2,748,685,133
Repayable within one year					
Loans from Non-Financial Institutions	22.1	5,069,486	4,623,849	5,069,486	4,623,849
Leases	22.2	37,801,811	1,442,012	1,509,554	-
Short Term Loan	22.5	2,710,875,982	1,645,628,275	-	-
Bank Loans	22.3	3,423,166,016	3,535,880,234	1,078,597,383	1,173,438,419
Loans granted by Related Parties	22.4	5,739,310	5,739,310	961,543	65,221,077
Bank Overdrafts		1,615,252,778	1,423,547,246	106,984,630	34,970,689
		7,797,905,383	6,616,860,926	1,193,122,596	1,278,254,033
		11,549,174,920	9,373,336,904	4,496,510,059	4,026,939,167

22.1 Loans from Non-Financial Institutions

	As at 01.04.2019	Loans Write off	Repayments	Interest payable	As at 31.03.2020
	LKR	LKR	LKR	LKR	LKR
Repayable within one year					
GROUP					
ASR Holdings (Pvt) Ltd.	4,623,849	-	(20,000)	465,637	5,069,486
	4,623,849	-	(20,000)	465,637	5,069,486
COMPANY					
ASR Holdings (Pvt) Ltd.	4,623,849	-	(20,000)	465,637	5,069,486
	4,623,849	-	(20,000)	465,637	5,069,486

22.2 Liabilities - Right to Use Assets

At the commencement date of the lease, the Company recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. In calculating the present value of lease payments, the Company uses the incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

Set out below are the carrying amounts of lease liabilities on leasehold properties and the movements for the year ended 31 March 2020.

Group**Lease liabilities**

	01.04.2019	Addition SLFRS 16	Interest	Repayment	Exchange	31.03.2020
	LKR	LKR	LKR	LKR	LKR	LKR
Right to Use Liabilities	19,581,183	193,622,091	26,175,897	(59,912,584)	1,053,466	180,520,053
	19,581,183	193,622,091	26,175,897	(59,912,584)	1,053,466	180,520,053

Notes to the Financial Statements

22. INTEREST BEARING LOANS AND BORROWINGS (Contd.)

Company

Right to Use Liabilities

	01.04.2019	Addition SLFRS 16	Interest	Repayment	31.03.2020
	LKR	LKR	LKR	LKR	LKR
Right to Use Liabilities	-	6,346,248	644,351	(2,222,180)	4,768,419
	-	6,346,248	644,351	(2,222,180)	4,768,419

Group

	2020			2019		
	Within One Year	After One Year	Total	Within One Year	After One Year	Total
	LKR	LKR	LKR	LKR	LKR	LKR
Gross Liability	59,824,585	212,856,015	272,680,600	3,400,148	27,200,656	30,600,804
Finance Charges allocated to future periods	(22,022,774)	(70,137,773)	(92,160,547)	(1,958,136)	(9,061,485)	(11,019,621)
Net liability	37,801,811	142,718,242	180,520,053	1,442,012	18,139,171	19,581,183

Company

	2020			2019		
	Within One Year	After One Year	Total	Within One Year	After One Year	Total
	LKR	LKR	LKR	LKR	LKR	LKR
Gross Liability	1,980,000	3,630,000	5,610,000	-	-	-
Finance Charges allocated to future periods	(470,446)	(371,135)	(841,581)	-	-	-
Net liability	1,509,554	3,258,865	4,768,419	-	-	-

22.2.1 This represents the lease arrangement between Board of Investment of Sri Lanka and South Asia Textiles Limited, with a remaining lease period of 34 years, rented showrooms and office premises lease liabilities as per the SLFRS 16.

22.2.2 Right to Use Assets are shown under Note 28.1.

22.3 Bank Loans

	At the Beginning of the Year	Business Acquisition	Loans Obtained	Repayment	Accrued Interest	Exchange Gain / Loss	At The End of the year
	LKR	LKR	LKR	LKR	LKR	LKR	LKR
GROUP							
2020	6,274,217,041	-	262,995,538,776	(262,655,438,690)	302,125,997	115,274,186	7,031,717,310
2019	3,427,022,616	-	72,962,152,006	(70,336,002,608)	220,817,881	227,146	6,274,217,041

	2020 LKR	2019 LKR
Repayable after one year	3,608,551,294	2,738,336,807
Repayable within one year	3,423,166,016	3,535,880,234

	At the Beginning of the Year	Business Acquisition	Loans Obtained	Repayment	Accrued Interest	Exchange Gain / Loss	At The End of the year
	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Company							
2020	3,099,924,931	-	256,433,000,000	(256,624,996,458)	114,078,164	-	3,022,006,637
2019	986,552,219	-	67,894,225,574	(65,813,951,016)	33,098,154	-	3,099,924,931

	2020 LKR	2019 LKR
Repayable after one year	1,943,409,255	1,926,486,512
Repayable within one year	1,078,597,383	1,173,438,419

Notes to the Financial Statements

22.4 Loans Payable to Related Parties

As at 31 March	Interest rate	Repayment Terms	Group		Company	
			2020	2019	2020	2019
			LKR	LKR	LKR	LKR
Mr. Eric Wikramanayake	13.50%	On Demand	5,739,310	5,739,310	-	-
Taprobane Investments (Pvt) Ltd.	11.50%	On Demand	-	-	175,231,429	144,140,870
Taprobane Securities (Pvt) Ltd.	11.5% / 13.5% / 12.51%	On Demand	-	-	259,718,319	172,369,812
Lexinton Holdings (Pvt) Ltd.	11.5% - 12%	On Demand	-	-	224,298,167	162,506,058
Taprobane Wealth Plus (Pvt) Ltd.	11.5% - 12%	On Demand	-	-	4,233,320	3,896,401
Ambeon Holdings PLC	13% / 13.5% / 14% / 14.67% / 15.49%	On Demand	-	-	344,238,059	74,948,486
Millennium I.T.E.S.P. (Pvt) Ltd.	13.5% / 13.75%	On Demand	-	-	168,330,018	170,800,559
South Asia Textiles Limited	13% / 13.5%	On Demand	-	-	181,631,575	158,757,511
			5,739,310	5,739,310	1,357,680,887	887,419,697
Repayable after one year			-	-	1,356,719,344	822,198,621
Repayable within one year			5,739,310	5,739,310	961,543	65,221,077
			5,739,310	5,739,310	1,357,680,887	887,419,697

22.4.1 Repayable to related parties

	Group	Company
Balance as at 01.04.2019	5,739,310	887,419,697
Loan Obtained	-	716,831,256
Loan Repayment	-	(392,830,531)
Accrued Interest	-	146,260,464
Balance as at 31.03.2020	5,739,310	1,357,680,887

22.5

Short Term Loans	At the Beginning of the Year	Loans Obtained	Repayment	Exchange Gain/ Loss	Accrued Interest	At The End of the year
Group	LKR	LKR	LKR	LKR	LKR	LKR
2020	1,645,628,275	6,709,000,836	(5,773,165,744)	110,106,394	19,306,221	2,710,875,982
2019	2,254,332,825	7,212,776,968	(7,823,974,721)	(2,461,039)	4,954,242	1,645,628,275

22.5.1

Company	Lender/rate of interest (p.a.)	2020 LKR	2019 LKR	Repayment	Security
South Asia Textiles Ltd	People's Bank - Trust Receipt Loans (2.75% p.a + 3 months LIBOR with a Floor rate of 4.25% p.a.)	573,141,678	139,833,066	within a period of 90 days	Machineries, Leasehold Building and Inventory were pledged as security.
	Seylan Bank PLC Revolving Import Loans (3 months LIBOR + 2.8% p.a with a floor rate of 4% p.a)	425,515,292	227,686,762	within a period of 60 days	Machineries, Leasehold Building and Inventory were pledged as security.
	Nations Trust Bank PLC - Import finance loan (3. % p.a + 3 months LIBOR with a Floor rate of 3.25% p.a.)	169,299,056	141,338,392	within a period of 90 days	Machineries, Leasehold Building and Inventory were pledged as security.
	DFCC Vardhana Bank - Import/Export Finance Loan (1 month LIBOR + 2.75% p.a)	553,616,799	297,912,812	within a period of 120 days	Machineries, Leasehold Building and Inventory were pledged as security.
Ceylon Leather Products Limited	Peoples Bank - STL (AWPLR+2% p.a)	-	180,100,000	within a period of 150 days	Mortgage over Land, building and Immovable Machinery at Mattakuliya and Balummahara.
	Hatton National Bank PLC - STL (AWPLR+2.5% p.a)	-	223,948,660	within a period of 150 days	
	Bank of Ceylon - STL (AWPLR+1.75% p.a)	110,137,318	82,852,410	within a period of 150 days	Inventory and book debt were pledged
Milleninum I.T.E.S.P (Pvt) Ltd	Seylan Bank PLC - STL-One month AWPLR + 2% per annum	375,104,194	351,956,172	Bullet Payment (interest to be serviced monthly)	Corporate guarantee from Ambeon Holding PLC
	- Short Term Loan (Month AWPLR+ 2.35% p.a)	504,061,644	-		
		2,710,875,982	1,645,628,275		

* For further details on Asset pledged refer Note 34.

Notes to the Financial Statements

22.5.2 Terms and Conditions

Company	Lender/rate of interest (p.a.)	2020 LKR	2019 LKR	Repayment	Security
Ambeon Capital PLC	National Development Bank PLC - 15%	276,657,534	307,273,973	05 year term loan with One Year Grace period for Capital Re payment	Primary mortgage over 594 Perch freehold property in Hiddaruwa, Balapitiya held by Lexinton Resorts (Pvt) Ltd.
	Seylan Bank PLC - 7.95%	937,908,390	792,650,959	Due on accepted date	Related treasury bond
	Seylan Bank PLC - Term Loan (AWPLR +2.5%)	958,332,000	1,000,000,000	05 year term loan with One Year Grace period for Capital Re payment	112,790,122 Number Shares of Ambeon Holdings PLC
	Pan Asia Banking Corporation PLC - Term Loan 14.5 %	849,108,713	1,000,000,000	04 year term loan with One Year Grace period for Capital Re payment	177,807,255 Number of shares of Ambeon Holdings PLC
Royal Fernwood Porcelain Ltd	Hatton National Bank PLC - Term loan USD (LIBOR + 4.5%)	204,304,345	115,370,890	83 Equal monthly Instalments of Rs. 20,833/-	Primary mortgage bond over immovable property in the factory at Kosgama
	- Term loan LKR (AWPLR + 3.0% p.a.)	15,671,000	19,001,000	83 Equal monthly Instalments of Rs. 333,000/-	
	- Packing Credit loan - USD (AWPLR+2%)	69,367,655	50,806,023	Settlements Trough sales proceeds	Primary mortgage bond over immovable property in the factory at Kosgama
	- Import loan USD (AWPLR+2%)	12,592,341	14,562,138	Settlements Trough sales proceeds	
	- Import loan - EUR (AWPLR + 2%)	8,755,922	2,017,017	Settlements Trough sales proceeds	Secondary mortgage bond over land & building at Kosgama for Rs.40Mn
	- Packing Credit loan - LKR (AWPLR+2%)	34,030,191	20,000,000	Settlements Trough sales proceeds	
	Peoples Bank - Packing credit loan - USD	12,291,503	33,563,766	90 days from the loan granted	Corporate guarantee of Parent company - Ambeon Holdings PLC
	DFCC Bank PLC - Import loan (AWPLR +1.5%)	65,791,542	34,486,592	120 days from the loan granted	Primary mortgage for Rs. 200,000,000/- or Dollars up to a limit of USD 1,250,000 as the case may be over stocks kept/ to and book debts of the company together with in favor of the bank.
	- Packing Credit Loan - USD (LIBOR+3.5%)	140,121,753	106,294,925	120 days from the loan granted	
	- Packing credit loan EUR	6,728,445	1,811,240	120 days from the loan granted	

Company	Lender/rate of interest (p.a.)	2020 LKR	2019 LKR	Repayment	Security
South Asia Textiles Limited	Sampath Bank PLC				
	- Term loan - 1 (4 % p.a + 3 Months LIBOR with a Floor rate of 4.75% p.a.)	9,241,970	34,307,095	Monthly LKR 2,050,747	
	Nations Trust Bank PLC				
	- Term loan - 3 (LIBOR with a floor rate of 4.5% p.a)	174,791,366	186,207,393	Monthly LKR 4,910,848	
	- Term loan - 4 (LIBOR with a floor rate of 4.5% p.a)	166,035,288	136,619,879	Monthly LKR 3,858,535	Machineries, Leasehold Building and Inventory
	People's Bank				
	- Term loan - 2 (4 .5% p.a + 6 Months LIBOR with a Floor rate of 5.25% p.a.)	179,464,950	320,663,259	Monthly LKR 12,291,010	
Dankotuwa Porcelain PLC	Sampath Bank PLC				
	- Packing credit loan (AWPLR+2.0% p.a)	28,155,116	50,000,000	Maximum 3 months	hypothection Bond for Rs:100Mn over stocks and book debts of the company
	- Packing credit loan (LIBOR+2% subject to minimum of 5.25%)	50,345,985	15,131,436		
	- Overdraft facility (AWPLR +2.0% p.a)	10,000,000	25,000,000		
	Pan Asia Banking Corporation PLC				
	- Packing credit loan (3 months LIBOR+4.% subject to minimum	110,679,071	56,242,054	Maximum 4 months	Mortgage bond for US \$ 1,000,000 over stocks and book debts for the value of 1.5 times of the facility.
	- Short term loan (16.5% p.a)	-	30,912,329		
	DFCC Bank PLC				
	- Short term loan (AWPLR+1.25%p.a)	128,357,237	43,553,151	Maximum 3months	Mortgage bond for Rs 80,000,000 over stocks and book debts for the value of 1.5 times of the facility.
	- Packing Credit loans (3 months LIBOR+3.25% subject to minimum	40,000,000	40,756,163	Maximum 4 months	
	Bank of Ceylon				
	- Packing credit loan (AWPLR+2.0% p.a)	73,069,241	-	Maximum 3 Months	Floating hypothection over stocks and book debts of the company

Notes to the Financial Statements

Company	Lender/rate of interest (p.a.)	2020 LKR	2019 LKR	Repayment	Security
Ambeon Holdings PLC	Seylan Bank PLC				
	- Term loan 1 (01 Month AWPLR + 2.5%)	400,000,000	600,000,000	12 quarterly equal installments of LKR 100 Mn each	Quoted Shares
	- Term loan - 2 (01 Month AWPLR + 3.0%)	175,000,000	225,000,000	12 quarterly equal installments of LKR 25 Mn each	
	National Development Bank PLC				
	- Loan (14.75% p.a.)	-	29,000,000		
	Seylan Bank - STL loan (16% p.a.)				
	- Short Term Loan loan (16% p.a.)	-	50,000,000		
People's Bank	People's Bank				
	- Term Loan (1W AWPLR+2.5%)	562,440,000	-	36 Monthly installments	Unquoted Shares
	Sampath bank				
	- Term Loan (1W AWPLR+2.5%)	263,400,000	-	60 Monthly installments	Property lot B plan No. 184/2001
Millennium I.T.E.S.P (Pvt) Ltd	The Hongkong and Shanghai Banking Corporation Limited				
	- Import Finance loan (Tenor linked COF+2.5% per annum)	746,508,348	932,985,760	Within 180 Days	Mortgage over Inventory and Debtors
	- Long Term loan (Tenure linked COF+2.5% per annum)	248,609,662	-	Within 180 Days	
	Seylan Bank PLC				
	- Import Finance loan (Month AWPLR+ 1% p.a)	35,568,757	-	Within 180 Days	Corporate Guarantee of Lanka Century Investments PLC for LKR 2.0 Bn
	DFCC Bank PLC				
	- Import Finance loan (Weekly AWPLR+ 1.5% p.a)	38,388,985	-	Within 180 Days	
		7,031,717,310	6,274,217,040		

* For further details on Asset pledged refer Note 34.

23. RETIREMENT BENEFIT OBLIGATION

	Group		Company	
As at 31 March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Present value of unfunded gratuity	442,666,690	400,791,670	-	-
	442,666,690	400,791,670	-	-

23.1 Provision for Retiring Gratuity

		Group		Company	
As at 31 March		2020	2019	2020	2019
	Notes	LKR	LKR	LKR	LKR
Balance at the beginning of the year		400,791,670	410,048,970	-	4,615,058
Current service cost		44,121,875	38,861,097	-	-
Interest cost		41,855,893	41,975,308	-	-
Actuarial losses/(gains)	23.3	26,074,043	(26,703,131)	-	-
Business Disposal during the year		(34,270,652)	-	-	-
Exchange Adjustment		1,304,236	(2,003,754)	-	-
Payment made during the year		(36,074,143)	(62,910,528)	-	-
Employee Transfer gain		(1,136,232)	-	-	-
Transfers		-	1,523,707	-	(4,615,058)
Balance at the end of the year		442,666,690	400,791,670	-	-

23.2 Expenses recognized in Profit & Loss

	Group		Company	
As at 31 March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Current service cost	44,121,875	38,861,097	-	-
Interest cost	41,855,893	41,975,308	-	-
	85,977,768	80,836,405	-	-

Notes to the Financial Statements

23.3 Expenses recognized in Other Comprehensive Income

	Group		Company	
As at 31 March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Actuarial losses/(gains)	26,074,043	(26,703,131)	-	-
	26,074,043	(26,703,131)	-	-

23.4 The cost of gratuity is determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, staff withdrawals, and mortality rates. Due to the complexity of the valuation, the underlying assumptions and its long-term nature, the defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. An actuarial valuation of the retirement benefit payable was carried out as at March 31, 2020 by Actuarial & Management Consultants (Pvt) Ltd.

23.5 Principal actuarial assumptions used are as follows:

	Group	
As at 31 March	2020	2019
	LKR	LKR
(i) Rate of interest	10.00%	11.25%
(ii) Rate of salary increment	7.00%	7.5%
(iii) Staff turnover factor (as a %)	5.00%	5%
(iv) Retirement Age	55 Years	55 Years
(v) The Company will continue as a going concern		

23.6 Sensitivity Analysis

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would affected the defined benefit obligation by the amounts shown below.

	Group		Company	
As at 31 March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Discount Rate - (1% Increase)	(24,932,914)	(17,031,938)	-	-
Discount Rate - (1% Decrease)	20,232,837	18,805,033	-	-
Salary Increment Rate - (1% Increase)	24,249,198	22,817,395	-	-
Salary Increment Rate - (1% Decrease)	(29,203,410)	(21,222,448)	-	-

23.7 Maturity Profile of the Retirement Benefit Plan

	Group		Company	
As at 31 March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Within Next 12 Months	58,592,397	67,232,393	-	-
Between 1 - 2 Years	75,484,195	84,936,783	-	-
Between 2 - 5 Years	114,020,925	104,481,259	-	-
Between 5 - 10 Years	103,218,220	90,605,685	-	-
Beyond 10 years	91,350,953	53,535,550	-	-
	442,666,690	400,791,670	-	-

24. CONTRACT LIABILITY -SERVICE AGREEMENTS

	Group	
As at 31 March	2020	2019
	LKR	LKR
Balance at the beginning of the year	706,864,079	748,150,496
Deferred During the year	908,427,192	705,392,567
Transferred to revenue during the year	(691,118,311)	(746,678,985)
Balance at the end of the year	924,172,960	706,864,079

24.1 Revenue from Contract Liability is recognized periodically throughout the service agreement period entered between Millennium I.T.E.S.P (Pvt) Ltd and service clients and expected to be completed in year 2020/21.

25. DEFERRED TAX

	Group		Company	
As at 31 March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Deferred Tax Asset				
Balance as at the beginning of the year	160,761,323	274,360,132	15,580,670	17,029,652
Recognized in profit or loss	(62,859,277)	(68,292,426)	(17,531,861)	(1,448,982)
Impact of adapting SLFRS 9	-	33,302,256	-	-
Transfer from/(to) Equity statement	3,864,586	1,129,376	-	-
Transfers between Deferred Tax Liability and (Asset)	(19,888,224)	(79,738,014)	1,951,191	-
Balance as at the end of the year	81,878,408	160,761,323	-	15,580,670

Notes to the Financial Statements

	Group		Company	
As at 31 March	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Deferred Tax Liability				
Balance as at the beginning of the year	810,764,286	620,479,220	-	-
Business Acquisition/ (Disposal)	(16,615,481)	3,136,002	-	-
Exchange Equalization Reserve	(21,832,534)	(52,957,057)	-	-
Recognized in profit or loss	(70,849,762)	170,185,290	-	-
Recognized in other comprehensive income	111,657,645	159,211,181	-	-
Impairment Provision	(5,585,005)	(9,552,373)	-	-
Transfers between Deferred Tax Liability and Asset	(21,234,289)	(79,737,978)	1,951,191	-
Balance as at the end of the year	786,304,861	810,764,285	1,951,191	-
Net Deferred Tax Asset / (Liability)	(704,426,452)	(650,002,963)	(1,951,191)	15,580,670
Transfer from/(to) Statement of Profit or Loss				
Transfer from accelerated depreciation and others	38,715,968	(241,613,716)	(17,531,861)	(1,448,982)
	38,715,968	(241,613,716)	(17,531,861)	(1,448,982)
Transfer from/(to) Other Comprehensive Income				
Tax on Revaluation Gain	(68,703,209)	(145,989,358)	-	-
Tax on Actuarial Gain /(Loss) on Retirement Benefit Plan	5,943,476	(12,092,447)	-	-
Tax on Cashflow Hedge Accounting	6,476,630	-	-	-
Tax on Functional currency translation difference	(21,832,534)	52,957,057	-	-
	(78,115,638)	(105,124,748)	-	-
Composition of deferred tax assets/ (liabilities) as follows;				
Accelerated Depreciation and Amortization for Tax purposes	(455,475,973)	(442,012,453)	(5,126)	(28,245)
Retirement Benefit Liability	85,129,222	91,168,328	-	-
Fair Valuation of investment in subsidiaries	-	-	(1,346,065)	(1,621,503)
Fair Value of Land and Buildings	(971,287,089)	(869,798,913)	(600,000)	(350,000)
Losses available for offset against future Taxable Income	409,000,029	321,861,180	-	-
Provision for Debtors	65,924,878	60,990,998	-	-
Provision for Inventory	113,009,505	103,233,460	-	-
Others*	49,272,976	84,554,437	-	17,580,419
	(704,426,452)	(650,002,963)	(1,951,191)	15,580,670

The above deferred tax asset arising from carried forward tax losses has been determined based on a financial budget approved by senior management to the extent of sufficient taxable profit are available.

The above deferred tax arises from timing difference of depreciation, impairment of debtors, unutilized portion of carried forward tax losses and gratuity. The deferred tax arising from the unused tax losses amounting to LKR 1,327 Mn has not been recognized as the management is not certain whether there will be sufficient taxable profit to be utilized.

The Group has computed deferred tax at the rates based on Substantively enacted rate, which is the statutory rate specified in the IRA, as of the reporting date, because the Inland Revenue Department Circular No. PN/IT/2020-03 (Revised) has not been enacted as of the reporting date.

*"Others" represent Deferred Tax Asset/Liability recognised on provision for other claims and liabilities related provisions and exchange reserve.

26. TRADE AND OTHER PAYABLES

	Notes	Group		Company	
		2020	2019	2020	2019
		LKR	LKR	LKR	LKR
Trade Payables		2,217,821,406	3,838,541,519	-	-
Other Payables		372,217,524	339,645,203	-	-
Employee Share Appreciation Rights (ESAR)	27.2	41,821,436	41,821,436	41,821,436	41,821,436
Accrued & Other Payables		1,300,550,386	702,454,145	1,546,871	1,847,888
		3,932,410,752	4,922,462,303	43,368,307	43,669,324

27. OTHER FINANCIAL LIABILITIES

	Notes	Group		Company	
		2020	2019	2020	2019
		LKR	LKR	LKR	LKR
Preference Shares	27.1	944,966	921,026	-	-
Employee Share Appreciation Rights (ESAR)	27.2	20,965,777	20,965,777	20,965,777	20,965,777
		21,910,743	21,886,803	20,965,777	20,965,777

27.1 Preference Shares

	No. of Shares	Group		Company	
		Carrying Value	Carrying Value	Carrying Value	Carrying Value
		2020	2019	2020	2019
Financial Liabilities at amortized cost		LKR	LKR	LKR	LKR
Preference Shares	170,625	944,966	921,026	-	-
		944,966	921,026	-	-

27.1.2 Shareholders of the Non Cumulative Preference Shares are entitled for a mandatory preference dividend annually. They are not entitled to vote at a meeting of the company

Notes to the Financial Statements

27.2 Employee Share Appreciation Rights (ESAR)

Group CEO receives benefits in the form of Share based payments, whereby, he renders services to increase performance of the Group. Liability is recognized for the fair value of cash settled transactions. The fair value is measured initially and at each reporting date up to and including the settlement date, with changes in fair value recognized in employee benefit expense. The fair value is expensed over the period until the vesting date with recognition of a corresponding liability. The fair value is determined using the binomial model.

Granting of the variable ESAR will be dependent on the achievement of pre-determined performance target.

Movement In the Year	Group				Company			
	Repayable after one year		Repayable within one year		Repayable after one year		Repayable within one year	
	2020	2019	2020	2019	2020	2019	2020	2019
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Outstanding at the beginning of the year	20,965,777	32,038,552	41,821,436	29,574,048	20,965,777	32,038,552	41,821,436	29,574,048
Adjustment during the Year	-	(11,072,775)	-	12,247,388	-	(11,072,775)	-	12,247,388
Outstanding at the end of the year	20,965,777	20,965,777	41,821,436	41,821,436	20,965,777	20,965,777	41,821,436	41,821,436

Following table lists the inputs to the binomial model used for valuation of the liability as at March 2019.

As at 31 March	2019/20	2018/19
Expected Volatility	59.30%	59.30%
Risk free interest rate	10.40%	10.40%
Expected Life of ESAR	5	5

Expected volatility reflects the assumption that the historical volatility is indicative of future trends, which may not necessarily be the actual outcome at a future date.

27.3 Based on 2018/19 performance the expected shares to be granted was 8.5Mn. However, only 6.6 Mn shares were granted during the year 2019/20. Due to the COVID-19 pandemic, the stock market witnessed major decline in share prices. The company's share price declined towards the latter part of FY 31st March 2020 and Group performance was also weaker compared to the previous year. However, the same provision of 2018/19 has been maintained for the current year even though the valuation results in a lesser liability for FY 2019/20, in line with the management's view that the impact due to COVID-19 pandemic is temporary and Employee Share Option Scheme is a 5 year Long term stock plan.

28. RIGHT OF USE ASSETS**Transition Disclosure**

Set out below are the new accounting policies of the Group upon adoption of SLFRS 16, which have been applied from the date of initial application:

On transition of SLFRS 16, the group recognized right of use assets of LKR 186 Mn and lease liability of LKR 186 Mn in the Statement of Financial Position. The impact of transition as at 01 April 2019 is summarized below.

	Group	Company
As at 31 March	2020	2020
	LKR	LKR
Operating lease commitments as at 31 March 2019	288,404,660	7,832,180
Incremental Borrowing Rate as at 01 April 2019	11.5%-14.94%	11.50%
Discounted operating lease commitments as at 01 April 2019	186,280,516	6,346,248

Right of use assets

The Group recognizes right of use assets when the underlying asset is available for use. Right of use assets are measured at fair value, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right of use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized right of use assets are depreciated on a straight-line basis over the shorter of its estimated useful life or the lease term. Right of use assets are subject to impairment.

28.1 Right to Use Assets**Group**

	As At 31.03.2019	Transferred From PPE	Adoption of SLFRS 16	Amortization	Exchange Impact	As At 31.03.2020
	LKR	LKR	LKR	LKR	LKR	LKR
Right to Use Asset - Building	-	-	158,281,262	(38,006,487)	-	120,274,775
Right to Use Asset - Land	-	-	27,999,254	(1,006,092)	1,072,587	28,065,749
	-	-	186,280,516	(39,012,579)	1,072,587	148,340,524
Right to Use Asset Motor Vehicle	-	-	8,623,478	-	-	8,623,478
	-	-	194,903,994	(39,012,579)	1,072,587	156,964,002

Security: Absolute ownership of the assets under lease will be with the lessor until the expiration of the lease period.

Company

	As At 31.03.2019	Transferred From PPE	Adoption of SLFRS 16	Amortization	As At 31.03.2020
	LKR	LKR	LKR	LKR	LKR
Right to Use Asset - Building	-	-	6,346,248	(1,655,543)	4,690,705
	-	-	6,346,248	(1,655,543)	4,690,705

Notes to the Financial Statements

28.2 This represents the lease arrangement between Board of Investment of Sri Lanka and South Asia Textiles Limited, with a remaining lease period of 34 years, rented showrooms and office premises lease liabilities as per the SLFRS 16.

28.3 Lease liabilities are shown under Note 22.2.

29. INVESTMENT IN EQUITY ACCOUNTED INVESTEE

Group

Investment 2019/20

Group has invested through the The Millennium I.T.E.S.P. (Pvt) Ltd, in Infoseek (Private) Limited, a company with an innovative cloud based Human Resource Information System named as "MintHRM" where the investment was a strategic fit for Millennium I.T.E.S.P. (Private) Limited and it was a future potential of the cloud based "Internal CRM" platform. Millennium I.T.E.S.P. (Private) Limited's percentage of equity investment as of 31 March 2020 is 25%. No impairment is required based on an assessment carried out by the management.

The Group's interest in Infoseek (Private) Limited is accounted for using the equity method in the Consolidated Financial Statements up to the disposal date. The following table illustrates the summarized Financial Information of the Group's investment in Infoseek (Private) Limited.

As at 31 March	2020 LKR	2019 LKR
Investment in Ordinary Shares	10,000,000	-
Investment in Convertible debt	5,000,000	-
Share of result of equity accounted investee	(3,070,456)	-
	11,929,544	-

Summarized Financial Information

As at 31 March	2020 LKR Investment	2019 LKR Investment
The Associate's Statement of Financial Position		
Total Assets	10,239,538	-
Total Liabilities	(18,157,784)	-
Equity	(7,918,246)	-
Carrying amount of the investment	(1,979,545)	-
Share of the Associate's Revenue and Profit		
Revenue	29,843,790	-
Profit/(Loss)	(12,281,923)	-
Share of Loss for the Year	(3,070,457)	-

29.1 Equity Reconciliation

	Group	
	2020	2019
	LKR	LKR
Un-Quoted		
Infoseek (Private) Limited	25%	-
Carrying amount as at the beginning of the year	-	-
Share of results of equity accounted investee	(3,070,456)	-
Total Comprehensive Income	(3,070,456)	-
Carrying amount as at the end of the year	(3,070,456)	-
Net result from equity accounted investee		
Share of results of Equity accounted Investee	(3,070,456)	-
	(3,070,456)	-

30. ASSETS AND LIABILITIES**30.1 Accounting Classification and Fair Values**

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

The Group uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation technique:

Level 1 : Quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2 : Other techniques for which all inputs that have a significant effect on the recorded fair value are observable, either directly or indirectly

Level 3 : Techniques that use inputs that have a significant effect on the recorded fair value that are not based on observable market data

Financial assets and liabilities in the tables below are split into categories in accordance with SLFRS 09.

Notes to the Financial Statements

GROUP

31 March 2020

31 March 2020	Notes	Carrying Amount LKR		
		Fair value though P&L	Fair value though OCI	Amortized Cost
Financial Assets and Non Financial Assets measured at fair value				
Investment in Quoted Securities	17.3	54,452,647	557,919,141	-
Investment in Government Securities	17.5	1,043,426,486	-	-
Investment Property	15	-	-	-
Right of Use Buildings	28	-	-	-
Property Plant and Equipment	12	-	-	-
Biological Assets	14	-	-	-
		1,097,879,132	557,919,141	-
Financial Assets not measured at fair value				
Investment in Government Securities	17.1	-	-	310,556,761
Bank Deposits	17.2	-	-	307,219,166
Trade Receivables	19	-	-	4,979,831,848
Investment in Commercial Papers	17.2	-	-	35,555,213
Cash & Cash Equivalents	20	-	-	782,950,232
		-	-	6,416,113,219
Financial Liabilities not measured at fair value				
Employee Share Appreciation Rights (ESAR)	27.2	-	-	-
Loans from Non-Financial Institutions	22.1	-	-	-
Finance Leases	22.2	-	-	-
Bank Loans	22.3	-	-	-
Loans granted by Related Parties	22.4	-	-	-
Short Term Loan	22.5	-	-	-
Trade and Other Payables	26	-	-	-
Bank Overdraft	20	-	-	-
		-	-	-

The carrying amount of cash and bank balances are approximate fair values due to the relatively short maturity of the financial instruments.

For other receivables the carrying value has been considered as the fair value due to uncertainty of the timing of the cash flows.

		Fair Value LKR				
Financial Liabilities	Total	Level 1	Level 2	Level 3	Total	
-	612,371,788	-	612,371,788	-	612,371,788	
-	1,043,426,486	1,043,426,486	-	-	1,043,426,486	
-	-	-	-	4,405,315,025	4,405,315,025	
-	-	-	-	-	-	
-	-	-	-	1,950,809,641	1,950,809,641	
-	-	-	-	51,167,075	51,167,075	
-	1,655,798,273	1,043,426,486	612,371,788	6,407,291,741	8,063,090,014	
-	310,556,761	-	-	-	-	
-	307,219,166	-	-	-	-	
-	4,979,831,848	-	-	-	-	
-	35,555,213	-	-	-	-	
-	782,950,232	-	-	-	-	
-	6,416,113,219	-	-	-	-	
20,965,777	20,965,777	-	-	-	-	
5,069,486	5,069,486	-	-	-	-	
180,520,053	180,520,053	-	-	-	-	
7,031,717,310	7,031,717,310	-	-	-	-	
5,739,310	5,739,310	-	-	-	-	
2,710,875,982	2,710,875,982	-	-	-	-	
2,590,038,929	2,590,038,929	-	-	-	-	
1,615,252,778	1,615,252,778	-	-	-	-	
14,160,179,626	14,160,179,626	-	-	-	-	

Notes to the Financial Statements

30. ASSETS AND LIABILITIES (Contd.)

31 March 2019	Notes	Carrying Amount LKR		
		Fair value though P&L	Fair value though OCI	Amortized Cost
Financial Assets and Non Financial Assets measured at fair value				
Investment in Quoted Securities	17.3	167,447,645	566,705,269	-
Investment in Government Securities	17.5	895,197,720	-	-
Investment Property	15	-	-	-
Building on Lease Hold Land	16	-	-	-
Property, Plant and Equipment	12	-	-	-
Biological Assets	14	-	-	-
		1,062,645,365	566,705,269	-
Financial Assets not measured at fair value				
Investment in Government Securities	17.1	-	-	23,236,379
Bank Deposits	17.2	-	-	265,375,931
Trade Receivables	19	-	-	4,435,801,027
Investment in Commercial Papers	17.2	-	-	22,027,306
Cash & Cash Equivalents	20	-	-	611,908,960
		-	-	5,358,349,603
Financial Liabilities not measured at fair value				
Employee Share Appreciation Rights (ESAR)	27.2	-	-	-
Loans from Non-Financial Institutions	22.1	-	-	-
Finance Leases	22.2	-	-	-
Bank Loans	22.3	-	-	-
Loans granted by Related Parties	22.4	-	-	-
Short Term Loan	22.5	-	-	-
Trade and Other Payables	26	-	-	-
Bank Overdraft	20	-	-	-
		-	-	-

The carrying amount of cash and bank balances are approximate fair values due to the relatively short maturity of the financial instruments.

Carrying values of financial liabilities have been considered as the fair value, due to uncertainty of the timing of the cash flows.

Financial Liabilities	Total	Fair Value LKR			Total
		Level 1	Level 2	Level 3	
-	734,152,914	734,152,914	-	-	734,152,914
-	895,197,720	895,197,720	-	-	895,197,720
-	-	-	-	3,612,851,650	3,612,851,650
-	-	-	-	805,000,000	805,000,000
-	-	-	-	2,192,098,733	2,192,098,733
-	-	-	-	50,381,950	50,381,950
-	1,629,350,634	1,629,350,634	-	6,660,332,333	8,289,682,968
-	23,236,379	-	-	-	-
-	265,375,931	-	-	-	-
-	4,435,801,027	-	-	-	-
-	22,027,306	-	-	-	-
-	611,908,960	-	-	-	-
-	5,358,349,603	-	-	-	-
20,965,777	20,965,777	-	-	-	-
4,623,849	4,623,849	-	-	-	-
19,581,183	19,581,183	-	-	-	-
6,274,217,041	6,274,217,041	-	-	-	-
5,739,310	5,739,310	-	-	-	-
1,645,628,275	1,645,628,275	-	-	-	-
4,178,186,722	4,178,186,722	-	-	-	-
1,423,547,246	1,423,547,246	-	-	-	-
-	13,572,489,403	13,572,489,403	-	-	-

Notes to the Financial Statements

30. FINANCIAL ASSETS & LIABILITIES (Contd.)

30.2 Accounting Classification and Fair Values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

COMPANY

31 March 2020

31 March 2020	Notes	Carrying Amount LKR		
		Fair value though P&L	Fair value though OCI	Amortized Cost
Financial Assets measured at fair value				
Investment in Government Securities	17.5	1,043,426,486	-	-
Investment in subsidiaries	16	-	-	-
Investment Property	15	-	-	-
		1,043,426,486	-	-
Financial Assets not measured at fair value				
Trade Receivables	19	-	-	111,309,036
Cash & Cash Equivalents	20	-	-	29,277,252
		-	-	140,586,288
Financial Liabilities not measured at fair value				
Employee Share Appreciation Rights (ESAR)	27.2	62,787,213	-	-
Loans from Non-Financial Institutions	22.1	-	-	-
Bank Loans	22.3	-	-	-
Loans granted by Related Parties	22.4	-	-	-
Bank Overdraft	20	-	-	-
		62,787,213	-	-

Investment in subsidiaries fair valuation does not include subsidiary valued at net book value basis.

The carrying amount of cash and bank balances are approximate fair values due to the relatively short maturity of the financial instruments.

For other receivables the carrying value has been considered as the fair value due to uncertainty of the timing of the cash flows.

Financial Liabilities	Total	Fair Value LKR			Total
		Level 1	Level 2	Level 3	
-	1,043,426,486	1,043,426,486	-	-	1,043,426,486
-	-	-	-	8,630,584,111	8,630,584,111
-	-	-	-	30,500,000	30,500,000
-	1,043,426,486	1,043,426,486	-	8,661,084,111	9,704,510,597
-	111,309,036	-	-	-	-
-	29,277,252	-	-	-	-
-	140,586,288	-	-	-	-
-	62,787,213	62,787,213	-	-	-
5,069,486	5,069,486	-	-	-	-
3,022,006,638	3,022,006,638	-	-	-	-
1,357,680,887	1,357,680,887	-	-	-	-
106,984,630	106,984,630	-	-	-	-
4,491,741,640	4,554,528,853	62,787,213	-	-	-

Notes to the Financial Statements

30. FINANCIAL ASSETS & LIABILITIES (Contd.)

31 March 2019

	Notes	Fair value though P&L	Fair value though OCI	Amortized Cost
Financial Assets measured at fair value				
Investment in Quoted Securities	17.3	-	-	-
Investment in Government Securities	17.5	895,197,720	-	-
Investment in subsidiaries	16	-	-	-
Investment Property	15	-	-	-
		895,197,720	-	-
Financial Assets not measured at fair value				
Trade Receivables	19	-	-	87,426,166
Cash & Cash Equivalents	20	-	-	1,212,412
		-	-	88,638,578
Financial Liabilities not measured at fair value				
Employee Share Appreciation Rights (ESAR)	27.2	62,787,213	-	-
Loans from Non-Financial Institutions	22.1	-	-	-
Bank Loans	22.3	-	-	-
Loans granted by Related Parties	22.4	-	-	-
Bank Overdraft	20	-	-	-
		62,787,213	-	-

Investment in subsidiaries fair valuation does not include subsidiary valued at net book value basis.

The carrying amount of cash and bank balances are approximate fair values due to the relatively short maturity of the financial instruments.

Carrying values of financial liabilities have been considered as the fair value, due to uncertainty of the timing of the cash flow.

Financial Liabilities	Total	Level 1	Level 2	Level 3	Total
-	-	-	-	-	-
-	892,762,001	895,197,720	-	-	895,197,720
-	-	-	-	8,106,591,833	8,106,591,833
-	-	-	-	30,500,000	30,500,000
-	892,762,001	895,197,720	-	8,137,091,833	9,032,289,553
-	87,426,166	-	-	-	-
-	1,212,412	-	-	-	-
-	88,638,578	-	-	-	-
-	62,787,213	62,787,213	-	-	-
4,623,849	4,623,849	-	-	-	-
3,099,924,931	3,099,924,931	-	-	-	-
887,419,697	887,419,697	-	-	-	-
34,970,688	34,970,688	-	-	-	-
4,026,939,166	4,089,726,379	62,787,213	-	-	-

Notes to the Financial Statements

31. COMMITMENTS AND CONTINGENT LIABILITIES

31.1 Commitments and Contingent Liabilities - Company

The company does not have significant capital commitment and contingent liabilities as at the reporting date.

31.2 Commitments and Contingent Liabilities - Group

31.2.1 Ambeon Holdings PLC

Bank Guarantees

	2020 LKR Mn	2019 LKR Mn
Guarantees given to following facilities on behalf of South Asia Textiles Ltd; People's Bank PLC (USD 4.4Mn)	832	804
Guarantees given to following facility on behalf of Royal Fernwood Porcelain Ltd; People's Bank PLC	65	65
DFCC Bank PLC	20	-
Guarantees given to following facility on behalf of Millennium I.T.E.S.P. (Pvt) Limited; Seylan Bank PLC	2,000	2,000
Guarantees given to following facility on behalf of Ceylon Leather Products Distributors (Pvt) Ltd People's Bank PLC	205	-
Guarantees given to following facility on behalf of Ceylon Leather Products Ltd Bank Of Ceylon	60	-

31.2.2 Ceylon Leather Products Limited

Letters of Credit and Bank Guarantees

	2020 LKR Mn	2019 LKR Mn
Letters of Credit Opened with Banks favoring suppliers	-	10.15
Guarantees Issued by Banks on behalf of the Company	-	33.86

31.2.3 Royal Fernwood Porcelain Limited

	2020 LKR Mn	2019 LKR Mn
Letter of Credit		
Letter of credit opened with Banks favoring suppliers	50	50

31.2.4 South Asia Textiles Ltd**Operating Lease Commitments**

The Company has an operating lease for land. This lease has a term of renewal but no purchase option and escalation clause. Renewals are at the option of the specific entity that holds the lease. Future lease payments under operating lease contract are as follows;

	2020 LKR Mn	2019 LKR Mn
Within one year	-	3
After one year but not more than five years	-	15
More than five years	-	12
Present value of minimum lease payments	-	30

31.2.5 Lexinton Holdings (Pvt) Limited

	2020 LKR Mn	2019 LKR Mn
Bank Guarantee		
Guarantees given to Tax Appeal Commission on behalf of the company	18.90	18.90

31.2.6 Taprobane Securities (Pvt) Limited

	2020 LKR Mn	2019 LKR Mn
Bank Guarantee		
Guarantees given to Colombo Stock Exchange on behalf of the company	1.75	1.75

31.2.7 Millennium I.T.E.S.P (Pvt) Limited

	2020 LKR Mn	2019 LKR Mn
Performance Bonds	331	109
Tender Bonds	15	18
Advance payment guarantees	28	-
	2020 USD Mn	2019 USD Mn
Performance Bonds	0.96	0.96
Tender Bonds	0.37	0.05

31.2.8 There are no material issues pertaining to employees and industrial relations of the Group during the financial year.

Notes to the Financial Statements

32. RELATED PARTY TRANSACTIONS

32.1 Identity of related parties

The Company has related party relationship with its subsidiaries, associates, affiliate companies.

32.2 Transaction with / between subsidiaries and the parent company

Company	Relationship	Nature of transaction	Amount	Balance (due)/from as at 31/3/2020	Balance (due)/from as at 31/3/2019	Aggregate Value of RPT exceeds 10% of the Gross Revenue *	Terms & Conditions of the RPT exceeds 10% of Gross Revenue
Taprobane Investments (Pvt) Ltd.	Sub subsidiary	Common expenses - allocation	(1,969,789)			-	-
		Common expenses - reimbursement	153,230			-	-
		Settlement - Fund Transfers	1,396,301			-	-
			-	(420,257)	-	-	-
			-			-	-
		Interest charged	(18,333,970)			-	-
		Loan transfer from short term	(12,336,332)	(174,811,172)	(144,140,870)	-	-
		Loan taken - short term loan	(59,100,000)				
		Loan settlement	47,700,000				
		Interest charged	(936,332)				
Lexinton Holdings (Pvt) Ltd.	Sub subsidiary	Loan transfer to long term	12,336,332	-	-		
		Common expenses - allocation	(2,115,659)			-	-
		Common expenses - reimbursement	7,688			-	-
		Settlement - Fund Transfers	1,607,658	(500,313)	-	-	-
			-			-	-
			-			-	-
		Interest charged	(18,680,877)			-	-
		Loan transfer from short term	(58,362,194)	(223,797,854)	(146,754,783)	-	-
		Loan taken - short term loan	(45,770,000)			-	-
		Loan settlement	7,800,000			-	-
Taprobane Securities (Pvt) Ltd.	Sub subsidiary	Interest charged	(4,640,919)			-	-
		Loan transfer from short term	58,362,194	-	(15,751,274)	-	-
		Common expenses - allocation	(417,085)			-	-
		Common expenses - reimbursement	175,892			-	-
		Settlement - Fund Transfers	200,700	(40,493)	-	-	-
		Interest charged	(21,972,105)			-	-
		Loan transfer from short term	(85,357,278)	(259,677,826)	(152,348,442)		
		Loan taken - short term loan	(101,000,000)				
		Loan settlement	37,205,260				
		Interest charged	(1,541,169)				
		Loan transfer from short term	85,357,278	-	(20,021,370)		

Company	Relationship	Nature of transaction	Amount	Balance (due)/from as at 31/3/2020	Balance (due)/from as at 31/3/2019	Aggregate Value of RPT exceeds 10% of the Gross Revenue *	Terms & Conditions of the RPT exceeds 10% of Gross Revenue
Taprobane Wealth Plus (Pvt) Ltd.	Sub subsidiary	Loan settlement	150,000	-	-	-	-
		Interest charged	(486,919)	(4,233,320)	(3,896,401)	-	-
Heron Agro Products (Pvt) Ltd.	Fully owned subsidiary	Settlement - Fund Transfers	-	330,020	330,020	-	-
		Loan granted	2,242,100				
		Interest income on loans and borrowings	2,848,272	27,358,859	22,268,487	-	-
Lexinton Resorts (Pvt) Ltd.	Fully owned subsidiary	Loan granted	3,200,000			-	
		Interest expenses on loans and borrowings	1,309,314	12,524,390	8,015,076	-	-
Taprobane Capital Plus (Pvt) Ltd.	Sub subsidiary	Advance given	25,800,000				
		Shared service & consultancy fees	(10,800,000)				-
		Common expenses - allocation	(140,378)	29,588,687	14,729,065	-	
Ambeon Holdings PLC	Subsidiary	Common expenses - allocation	(65,601)				
		Settlement - Fund Transfers	65,407	(480)	(287)	-	-
		Loan settlement	48,995,195				
		Interest charged	(3,495,141)				
		Loan transfer from short term	(344,237,578)	(344,237,578)	(45,500,054)		
		Loan taken - short term loan	(400,000,000)				
		Loan settlement	114,047,545				
		Interest charged	(28,836,977)				
South Asia Textiles Limited	Sub subsidiary	Loan transfer to Long term	344,237,578	-	(29,448,146)	-	-
		Interest expenses on loans and borrowings	(22,874,064)	(181,631,575)	(158,757,511)	-	-
Millennium I.T.E.S.P. (Private) Ltd.	Sub subsidiary	Loan repayment	24,510,558				
		Interest expenses on loans and borrowings	(22,040,018)	(168,330,019)	(170,800,559)	-	-
ARRC Capital (Pvt) Ltd.	Significant Shareholder	Common expenses - reimbursement	7,688				
		Settlement - fund transfers	(230,709)				
		Shared service & consultancy fees	300,000	76,979	-	-	-

There were no recurrent related party transactions which in aggregate value exceeds 10% of the consolidated revenue of the Group as per 31 March 2020 audited financial Statements, which required additional disclosures in the 2019/20 Annual Report under Colombo Stock Exchange listing Rule 9.3.2 and Code of Best Practices on Related Party Transactions under the Securities and Exchange Commission Directive issued under Section 13(c) of the Securities and Exchange Commission Act.

Notes to the Financial Statements

32.3 Other Related Parties

	Group		Company	
	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Sale of Goods	1,204,661,751	1,109,224,225		
(Receipts) / Payments for Goods / Services	(1,090,635,028)	(1,033,989,541)	-	-

Transaction, arrangements and agreements involving Key Management Personnel (KMPs) and their Close Family Members (CFMs), and Entities which are controlled, jointly controlled or significantly influenced by the KMP's and their CFMs or shareholders who have either control, jointly control or significant influence over the entity.

Other Related Parties include; Hirdaramani International Exports (Pvt) Ltd, United Hotels Company (Pvt) Ltd, Suisse Hotel Kandy (Pvt) Ltd and Ceylon Hotel Corporation Ltd.

32.4 Transactions with Key Management Personnel

Key management personnel include members of the Board of directors of Ambeon Capital PLC and its subsidiary companies. The transactions with key management personnel are carried out on an arms length basis.

32.4.1 Key Management Personnel Compensation

	Group		Company	
As at 31st March 2020	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Short-term employee benefits	170,761,146	151,351,770	7,943,970	9,475,378
Settlement of Loan	-	(27,475,337)	-	-
Net Interest	-	397,399	-	-

32.5 Terms and conditions of transactions with related parties

Transactions with related parties are carried out in the ordinary course of the business. Outstanding current account balances at year end are unsecured and settlement occurs in cash. Interest bearing borrowings are at pre-determined interest rates and terms.

32.6 Non Recurrent Related Party Transactions

There were no non-recurrent related party transactions that exceeded the thresholds that required the immediate market disclosure or shareholder approval as required under Section 9 of the Continuing Listing Requirement of the Colombo Stock Exchange.

33. EVENTS OCCURRING AFTER REPORTING PERIOD

No circumstances have arisen since the reporting date which would require to be disclosed in the financial statements.

34. ASSETS PLEDGED

		Carrying Amount Pledged		
		2020	2019	
Nature of Assets	Nature of Liability	LKR Mn	LKR Mn	Included under
34.1 Assets Pledged by Ambeon Capital PLC				
Investment in Shares - 290.6 Mn Ambeon Holdings PLC Shares	Pledge for Facility Granted by Seylan Bank PLC & Pan Asia Bank	8,630	8,106	Investments in Subsidiaries
34.2 Assets Pledged by Lexinton Resorts (Pvt) Ltd.				
Land	Primary Mortgage for Loans and Borrowings NDB Bank	542	542	Investment Property
34.3 Assets Pledged by Ambeon Holdings PLC				
Quoted Equity Investments	Overdraft Facility Revolving Loan for Loans and Borrowings	1,975	1,975	Investments in Subsidiaries and Other Current Financial Assets
34.4 Assets Pledged by Ceylon Leather Products (Pvt) Ltd.				
Immovable Properties	Floating Mortgage for Loans and Borrowings	2,098	1,917	Property, Plant & Equipment
Raw Materials, Finished Goods and Work in Progress	Floating Mortgage for Loans and Borrowings	39	350	Inventory
Trade Debtors	Floating Mortgage for Loans and Borrowings	37	200	Debtors
		2,174	2,467	
34.5 Assets Pledged by South Asia Textiles Ltd.				
Machineries	Primary Mortgage for Loans and Borrowings	1,207	1,040	Property, Plant & Equipment
Raw Materials, Finished Goods and Work in Progress	Primary/Concurrent Mortgage for Loans and Borrowings	2,550	2,102	Inventories
Trade Debtors	Primary/Concurrent Mortgage for Loans and Borrowings	925	811	Trade and Other Receivables
Margin Accounts	Primary Mortgage for Loans and Borrowings	16	14	Other Financial Assets
		4,698	3,967	
34.6 Assets Pledged by Dankotuwa Porcelain PLC				
Inventory and Trade Debtors	For Loans and Borrowings	853	730	Inventory and Trade Debtors
34.7 Royal Fernwood Porcelain Limited				
Land and Buildings & immovable machinery	Term Loans and Short Term Borrowings	592	566	Property, plant and equipment

Notes to the Financial Statements

35. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT

Risk management framework

The Board of Directors has overall responsibility for the establishment and oversight of the Group's risk management framework.

The Group's risk management policies are established to identify and analyses the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. All the Group level risks are escalated to the parent company and the Board. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities.

The Enterprise Risk Management Committee, established in November 2018, identifies risks, assesses their impact and likelihood and develops risk mitigation procedures. These are reported in a Risk Grid.

The ERM made its first presentation of the Risk Grid to the Audit Committee in November 2018 was scheduled to do so once a quarter.

A financial instrument is any contract that gives rise to both a financial asset of one enterprise and a financial liability or equity instrument of another enterprise.

The Group has exposure to the following risks from its use of financial instruments:

- (i) Credit risk
- (ii) Liquidity risk
- (iii) Market risk

(i) Credit risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. The Group's exposure to credit risk is as indicated by the carrying amount of its financial assets which consist principally of bank balance, due from related parties, trade and certain other receivables.

Exposure to credit risk

The Group limits its exposure to credit risk by investing only in liquid debt securities.

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

		Group		Company	
As at 31st March		2020	2019	2020	2019
	Notes	LKR	LKR	LKR	LKR
Fair Value Through Profit & Loss	17.5	1,043,426,486	895,197,720	1,043,426,486	895,197,720
Investment in Government Securities - Amortised Cost	17.1	14,009,154	23,236,379	-	-
Bank Deposits	17.2	342,774,378	287,403,237	-	-
Trade & Other Receivables	19	6,392,014,130	6,005,043,760	112,539,745	88,663,548
Cash & Cash Equivalents	20	782,950,232	611,908,960	29,277,252	1,212,412
		8,575,174,380	7,822,790,057	1,185,243,483	985,073,680

The financial assets that are past due and but not impaired and neither past due or impaired as follows:

	Group			Company		
As at 31st March 2020	Neither past due or impaired	Past due and but not impaired	Total	Neither past due or impaired	Past due and but not impaired	Total
	LKR	LKR	LKR	LKR	LKR	LKR
Fair Value Through Profit & Loss	-	1,025,373,901	1,025,373,901	-	1,025,373,901	1,025,373,901
- Change in fair value of investments	-	18,052,585	18,052,585	-	18,052,585	18,052,585
	-	1,043,426,486	1,043,426,486	-	1,043,426,486	1,043,426,486
Investments in other financial assets	-	356,783,532	356,783,532	-	-	-
Trade and other receivables	-	7,704,610,447	7,704,610,447	-	127,737,475	127,737,475
- Impairment of trade receivables	-	(1,312,596,316)	(1,312,596,316)	-	(15,197,730)	(15,197,730)
	-	6,392,014,130	6,392,014,130	-	112,539,745	112,539,745
Cash and cash equivalents	782,950,232	-	782,950,232	29,277,252	-	29,277,252
	782,950,232	7,792,224,148	8,575,174,380	29,277,252	1,155,966,231	1,185,243,483

	Group			Company		
As at 31st March 2019	Neither past due or impaired	Past due and but not impaired	Total	Neither past due or impaired	Past due and but not impaired	Total
	LKR	LKR	LKR	LKR	LKR	LKR
Fair Value Through Profit & Loss	-	892,762,001	892,762,001	-	892,762,001	892,762,001
- Change in fair value of investments	-	2,435,719	2,435,719	-	2,435,719	2,435,719
	-	895,197,720	895,197,720	-	895,197,720	895,197,720
Investments in other financial assets	-	310,639,616	310,639,616	-	-	-
Trade and other receivables	-	7,244,186,334	7,244,186,334	-	110,303,775	110,303,775
- Impairment of trade receivables	-	(1,239,142,574)	(1,239,142,574)	-	(21,640,227)	(21,640,227)
	-	6,005,043,760	6,005,043,760	-	88,663,548	88,663,548
Cash and cash equivalents	611,908,960	-	611,908,960	1,212,412	-	1,212,412
	611,908,960	7,210,881,097	7,822,790,057	1,212,412	983,861,268	985,073,680

Notes to the Financial Statements

35. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (Contd.)

(ii) Liquidity risk

Liquidity risk is the risk that cash may not be available to pay obligations when due. The Group manages its liquidity needs by carefully monitoring scheduled payments for financial liabilities as well as cash-outflows due in day-to-day business.

The following are the contractual maturities of non-derivative financial liabilities:

Group				
As at 31st March 2020	Carrying Amounts	Contractual cash out flows	On demand	Less than 3 months
	LKR	LKR	LKR	LKR
Non-derivative financial liabilities				
Employee Share Appreciation Rights (ESAR)	20,965,777	20,965,777	-	-
Loans and borrowings	9,933,922,141	11,405,158,736	-	399,231,474
Trade & Other payables	3,932,410,752	3,932,410,752	14,424,019	3,366,209,410
Bank Overdraft	1,615,252,778	1,615,252,778	-	1,615,252,778
	15,502,551,448	16,973,788,043	14,424,019	5,380,693,663

Group				
As at 31st March 2019	Carrying Amounts	Contractual cash out flows	On demand	Less than 3 months
	LKR	LKR	LKR	LKR
Non-derivative financial liabilities				
Employee Share Appreciation Rights (ESAR)	20,965,777	20,965,777	-	-
Loans and borrowings	7,949,789,658	8,839,479,691	-	1,817,339,242
Trade & Other payables	4,922,462,303	4,922,462,303	4,922,462,303	-
Bank Overdraft	1,423,547,246	1,423,547,246	-	1,423,547,246
	14,316,764,985	15,206,455,017	4,922,462,303	3,240,886,488

(iii) Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates and interest rates will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return.

Foreign Currency Risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group has exposure to foreign currency risk where it has cash flows in overseas operations and foreign currency transactions which are affected by foreign exchange movements.

During the year the Group applied the cashflow hedge to manage the currency fluctuations impact. The Group is expecting to hedge the variability in the cash flows corresponding to the repayment of the term loan capital, packing credit loans and import loan capital attributable to changes in exchange rates over the period.

			Company					
3 to 12 months	1 to 5 years	> 5 years	Carrying Amounts	Contractual cash out flows	On demand	Less than 3 months	1 to 5 years	
LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
-	20,965,777	-	20,965,777	20,965,777	-	-	20,965,777	
5,608,682,781	5,397,244,481	-	4,389,525,429	5,170,941,792	-	1,086,137,966	4,774,624,058	
519,269,079	32,508,244	-	43,368,307	43,368,307	43,368,307	-	-	
-	-	-	106,984,630	106,984,630	-	106,984,630	-	
6,127,951,860	5,450,718,502	-	4,560,844,143	5,342,260,506	43,368,307	1,193,122,596	4,795,589,835	

			Company					
3 to 12 months	1 to 5 years	> 5 years	Carrying Amounts	Contractual cash out flows	On demand	Less than 3 months	1 to 5 years	
LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
-	20,965,777	-	20,965,777	20,965,777	-	-	20,965,777	
3,197,481,059	3,813,881,686	10,777,705	3,991,968,478	4,692,945,735	-	1,243,283,345	3,449,662,390	
-	-	-	43,669,324	43,669,324	43,669,324	-	-	
-	-	-	34,970,689	34,970,689	-	34,970,689	-	
3,197,481,059	3,834,847,463	10,777,705	4,091,574,267	4,792,551,524	43,669,324	1,278,254,033	3,470,628,167	

Interest rate risk

Interest rate risk is the risk to earnings or capital arising from movement of interest rates. The Group has negotiated overdrafts at a fixed interest rate basis, hence not subject to the interest rate risk.

The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the profit before tax (through the impact on floating rate on long term bank borrowings)

		Group	Company
Increase/(Decrease) in basis points		Effect on Profit before Tax (LKR)	
2020	+100	(36,085,513)	(19,434,093)
	-100	36,085,513	19,434,093
2019	+100	(27,383,368)	(19,264,865)
	-100	27,383,368	19,264,865

Notes to the Financial Statements

Capital management

The capital management strategy adopted by the Group is aimed at maintaining sufficient and adequate levels of working capital for day to day operations and long term capital for investment and growth. A suitability structured capital base is essential in order to maintain investor confidence in the Group, and ensures that it achieves sustained long term growth while maintaining the capability to withstand fluctuating economic fortunes. The capital of the Group consists of equity and debt. The components of the equity capital are the stated capital, retained earnings and reserves while the debt capital consist of short term debt sources.

36. IMPACT OF FAIR VALUE OF SUBSIDIARIES

The Company changed its accounting policy from cost model to fair value model in relation to the investment in subsidiary during the year. The change in accounting policy has been applied retrospectively as required by LKAS 08 – Accounting policies, changes in Accounting Estimates and Errors. The impact is given below:

	2018 As Reported	Impact	2018 Re-stated
Investment in subsidiary	5,149,202,175	-	5,149,202,175
Fair Valuation Gain	-	1,697,706,420	1,697,706,420
	5,149,202,175	1,697,706,420	6,846,908,595
Deferred Tax	18,270,536	-	18,270,536
Deferred Tax Charge on fair value Gain	-	(1,240,884)	(1,240,884)
	18,270,536	(1,240,884)	17,029,652
Retained earnings	1,033,409,288	1,696,465,536	2,729,874,824

	2019 As Reported	Impact	2019 Re-stated
Investment in subsidiary	4,883,883,823	-	4,883,883,823
Fair Valuation Gain 2018	-	1,697,706,420	1,697,706,420
Fair Valuation Gain 2019	-	2,079,149,840	2,079,149,840
	4,883,883,823	3,776,856,260	8,660,740,083
Deferred Tax	17,202,174	-	17,202,174
Deferred Tax Charge on fair value Gain 2018	-	(1,240,884)	(1,240,884)
Deferred Tax Charge on fair value Gain 2019	-	(380,620)	(380,620)
	17,202,174	(1,621,504)	15,580,670
Retained earning	528,949,371	3,775,234,756	4,304,184,127

Impact for Profit or Loss Statement

	2019	Impact	2019 Re-stated
Fair Value Gain	-	2,079,149,840	2,079,149,840
	-	2,079,149,840	2,079,149,840

Impact for Earning Per Share

	2019 As Reported	Impact	2019 Restated
	(0.15)	2.08	1.93

Investment in subsidiary as at 31 March 2020

	2019	Investment	FV Gain	2020
Investment in subsidiary	8,660,740,083	-	516,861,808	9,177,601,891

	2019	Charge	FV Gain charge	2020
Deferred tax	15,580,670	(17,807,301)	275,440	(1,951,192)

37. MATERIAL PARTLY-OWNED SUBSIDIARIES

Financial information of subsidiaries that have material non-controlling interests is provided below;

37.1 Proportion of equity interest held by non-controlling interests:

Name	Proportion of NCI		Accumulated Balances of NCI		Profit allocated to NCI	
	2020 LKR	2019 LKR	2020 LKR	2019 LKR	2020 LKR	2019 LKR
Non-Controlling Interests material individually						
Ambeon Holdings PLC	18.57%	18.57%	1,993,462,037	1,890,706,538	104,374,171	(5,455,415)
Dankotuwa Porcelain PLC	36.88%	36.88%	638,789,980	597,198,419	(22,995,133)	88,032,805
Colombo City Holdings PLC	36.79%	45.93%	792,133,146	925,893,781	50,566,464	79,622,069
Millennium I.T.E.S.P (Private) Limited	50.95%	50.95%	387,127,463	182,804,685	277,031,209	207,848,069
South Asia Textiles Limited	20.47%	20.47%	450,269,945	418,447,413	6,086,568	(475,712,109)
Non-controlling interest material in aggregate			(1,085,084,631)	(916,837,421)	(132,912,313)	571,753,252
Total			3,176,697,941	3,098,213,414	282,150,966	466,088,670

	2020	2019
Dividend Paid to NCI Shareholders		
Ambeon Holdings PLC	-	82,820,115
Colombo City Holdings PLC	-	12,830,940
Millennium I.T.E.S.P (Private) Limited	28,000,949	69,676,594
South Asia Textiles Limited	-	5,853,581
	28,000,949	171,181,230

The summarized financial information of these subsidiaries is provided below. This information is based on amounts before inter-company eliminations.

Notes to the Financial Statements

37.2 Summarized statement of Profit or Loss for the period ending 31 March

	Ambeon Holdings PLC		Dankotuwa Porcelain PLC	
	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Revenue	207,459,771	465,472,936	1,328,425,465	1,233,709,907
Operating Income/(Costs)	793,590,130	3,644,344,726	(1,354,470,794)	(908,770,138)
Finance Costs	(382,645,527)	(330,753,496)	(104,246,762)	(63,093,475)
Finance Income	-	-	24,622,117	36,590,018
Share of result of equity account investee				
Tax Expense	(56,346,373)	(397,026,356)	43,324,843	(59,735,648)
Profit or Loss from Continuing Operations	562,058,001	3,382,037,810	(62,345,130)	238,700,664
Other Comprehensive Income	(8,716,597)	(154,436,385)	84,221,414	249,804,622
Total Comprehensive Income	553,341,404	3,227,601,424	21,876,284	488,505,286

37.3 Summarized Statement of Financial Position for the period 31 March

	Ambeon Holdings PLC		Dankotuwa Porcelain PLC	
	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Current Assets	1,485,238,632	1,331,725,185	1,305,654,036	1,194,304,817
Non-current Assets	13,216,571,078	11,569,108,934	2,693,933,446	2,462,644,637
Total Assets	14,701,809,710	12,900,834,119	3,999,587,482	3,656,949,454
Current Liabilities	1,420,717,749	1,071,866,221	1,282,836,869	981,335,364
Non-current Liabilities	2,546,239,851	1,647,457,192	366,185,051	346,924,852
Total Liabilities	3,966,957,600	2,719,323,413	1,649,021,920	1,328,260,216

37.4 Summarized Cash Flow Information for the year ending 31 March

	Ambeon Holdings PLC		Dankotuwa Porcelain PLC	
	2020	2019	2020	2019
	LKR	LKR	LKR	LKR
Operating	(477,100,793)	(128,375,173)	(246,038,597)	(265,625,876)
Investing	(619,253,114)	494,401,132	(30,452,200)	(12,363,150)
Financing	1,045,046,068	(720,417,593)	193,605,152	(13,052,327)
Net increase/(decrease) in cash and cash equivalents	(51,307,839)	(354,391,634)	(82,885,645)	(291,041,353)

Colombo City Holdings PLC		Millennium I.T.E.S.P (Private) Limited		South Asia Textiles Limited	
2020	2019	2020	2019	2020	2019
LKR	LKR	LKR	LKR	LKR	LKR
10,149,770	8,893,895	8,023,314,226	6,533,340,789	9,139,699,053	8,296,190,582
68,792,360	71,541,045	(7,251,584,396)	(5,922,025,700)	(9,027,522,501)	(7,734,132,744)
(20,139,268)	(2,315,262)	(189,924,740)	(155,907,739)	(129,472,716)	(89,430,987)
112,347,432	139,447,437	95,394,302	61,218,932	56,840,247	37,405,994
		(3,070,456)			
(33,688,722)	(44,211,859)	(130,359,959)	(108,652,999)	(9,806,100)	(34,320,735)
137,461,572	173,355,256	543,768,977	407,973,283	29,737,984	475,712,110
19,533	(33,408)	(19,737,488)	576,873	130,312,702	(220,111,545)
137,481,105	173,321,848	524,031,489	408,550,156	160,050,686	255,600,564

Colombo City Holdings PLC		Millennium I.T.E.S.P (Private) Limited		South Asia Textiles Limited	
2020	2019	2020	2019	2020	2019
LKR	LKR	LKR	LKR	LKR	LKR
307,178,701	498,774,646	5,108,769,743	5,007,942,552	3,596,501,460	3,055,273,314
1,909,138,131	1,874,407,060	1,004,395,006	423,492,332	2,972,035,277	2,754,391,302
2,216,316,832	2,373,181,706	6,113,164,749	5,431,434,884	6,568,536,738	5,809,664,615
29,978,906	263,955,646	5,011,628,990	4,961,681,720	3,835,401,449	3,119,131,457
32,976,610	22,058,420	341,665,036	110,936,131	533,189,389	646,066,988
62,955,516	286,014,066	5,353,294,026	5,072,617,851	4,368,590,837	3,765,198,445

Colombo City Holdings PLC		Millennium I.T.E.S.P (Private) Limited		South Asia Textiles Limited	
2020	2019	2020	2019	2020	2019
LKR	LKR	LKR	LKR	LKR	LKR
(82,504,419)	(8,336,491)	666,683,837	(633,080,756)	(592,485,456)	694,730,137
268,609,122	(147,606,768)	(1,071,545,106)	(43,001,541)	(123,179,829)	(699,602,723)
-	(38,185,710)	481,235,657	(148,900,991)	606,679,326	(83,832,778)
186,104,703	(194,128,969)	76,374,388	(824,983,288)	(108,985,958)	(88,705,364)

Notes to the Financial Statements

37.5 Increase in interests in Material Subsidiaries

Ambeon Holdings PLC

On 20 September 2019, Ambeon Holdings PLC acquired 142,901 ordinary shares of Colombo City Holdings PLC for a total consideration of LKR 151Mn.

38. DISPOSAL OF SUBSIDIARY

38.1 Assets and liabilities disposed

On 23rd of October 2019 the company disposed the Ceylon Leather Product Distributors (Pvt) Ltd to Vast Holdings (Pvt) Ltd. The fair value of the identifiable assets and liabilities of Ceylon Leather Product Distributors as at the date of disposal were:

	Ceylon Leather Product Distributors (Pvt) Limited LKR
Assets	
Property, Plant & Equipment	493,320,203
Inventories	228,445,021
Debtors & Receivables	304,407,758
Cash & Cash Equivalents	2,112,711
Deferred Tax Liability	8,737,088
	1,037,022,781
Liabilities	
Defined Benefit Obligation	34,814,792
Trade and Other Payables	487,605,670
Interest Bearing Loans & Borrowings	401,529,860
Bank Overdraft	74,199,447
	998,149,770
Total identifiable net assets at fair value	38,873,011
Purchase consideration	10,000
Loss on Disposal	38,863,011
Net Cash with the subsidiary disposal	(72,086,736)
Net Cash inflow from the Disposal	(72,076,736)

39. IMPACT OF COVID 19

Consequent to the COVID 19 outbreak, the Company and Group have taken appropriate precautions to ensure the safety and security of both its staff and business interests. The Group considers the safety and welfare of its staff as paramount and thus, all decisions relating to its businesses have been, and are taken underlined by the aforesaid considerations.

As a holding company of a diversified portfolio of Investments, the Group has, in the past, demonstrated resilience at times of challenge. This is particularly so in the case of its Technology and Financial Services clusters through which approximately 40% of the Group revenue is earned and which is expected, in large part, to withstand the brunt of the Covid-19 impact. Regrettably, the impact on the manufacturing and retail sectors is expected to bring about substantially subdued results which are likely to have a significant impact on the overall performance

Future –

The full impact this global pandemic might have on the economy in the future cannot be predicted at this point of time, although it has had a significant impact already on the Sri Lankan economy. In this context, the following factors are likely to affect the Company/Group given that over 45% of Group revenue is earned through direct and indirect exports.

In terms of positives, the depreciation of the rupee and the ongoing cost rationalizations will increase the Company's competitiveness in the export market. In addition, the demand for new products such as fabric for masks in the textile cluster, steam inhalation related products in the Porcelain cluster and new connectivity requirements and applications in the Technology cluster have opened up new business opportunities in respect of which the Group has already commenced work.

This must however be tempered with the subdued demand due to the global slowdown in the apparel sector, negative changes to customer profiles due to business disruptions and the reduced spending by B2B and B2C.

Operations and Response

Amidst the current pandemic, the future of the Company/Group are being modelled under four C's; Cash flows, Cost rationalization, Customers and Continuity.

With regard to Cost structures and the rationalization, the Company/Group have suspended payment of fees to Directors and implemented many other measures ranging from salary cuts of executives to suspension of certain cost items and strict controls on discretionary expenditure. Detailed action programs such as collaborative manufacturing in the Porcelain cluster (rationalizing between two factories) and reimagining higher productivity structures to bring better total factor productivity are also being studied.

In regard to the third C, the Customer, the Company/Group have embarked on several new products based on the current shift in demand and is closely monitoring shifts in consumer trends and delivery, in line with the new normal. Some of such trends have been briefly dealt with under the segmental notes below.

Finally, the Continuity and business sustainability activities of the Company/Group are also being pursued in a bid to make course corrections as required, taking into account a medium-term view and rationalizing and refocusing as required.

As of reporting date, the Group and the Company have adequate facilities in hand to meet its operational cash flow requirements but are being reviewed constantly against externalities unraveling.

From an internal customer perspective, social distancing norms and other safety and health care aspects are also being studied within the parameters of clearly defined guidelines.

Notes to the Financial Statements

Technology Cluster -

In this Industry, the financial year 2019/20 is expected to conclude close to projections, as this Industry has the potential to wade through these difficult times due to the very nature of its business; ramping up faster and efficient information flow and deliveries. However, given the cash flow and cost implications; cost cutting, and delayed commencement of projects need to be taken into account. At this point of time, with future projects, its materialization and completion targets are subject to the improvement of the work environment and our forecast is to operate at around 65-70% level of revenue against projections. The long project cycles and possible cash flow implication to customers, places a stress on the current receivable portfolio of this cluster and this remains a key area of focus.

Financial Services and Real Estate -

We have thus far seen minimal impact to the business of money broking; the capital markets however remain volatile. While the stockbroking arm has not been functioning since the lockdown, they are not expected to make significant losses given the cost structures and other income from margin lending. However, the Company is mindful of the outstanding from its clients and will closely monitor collection.

Real estate, being primarily on rentals and investments could have an impact due to downward pressure on the rental income and reduction in interest income due to lower interest rates.

Manufacturing Cluster -

Porcelain: Given the current status and the export-oriented business structure, this cluster has been the most affected by the Covid-19 pandemic. The Porcelain cluster experienced a deeply subdued final quarter for the last year and results are expected to be significantly lower than projected. This cluster is expected to operate at around 30-35% of the usual revenue levels during the 1st quarter; a forecast made based on orders at hand, new products and trend assessments. With import restrictions and given the ex-stock availability, local orders are expected to bring some revenues both in B2B and B2C segments. Nevertheless, since over 65% of the orders are exports, given the current global negative sentiments, subdued demand is expected to continue for a while.

Textile: The textile cluster being a near one hundred percent export-oriented entity, had a deeply subdued final quarter for the last year in view of the detrimental impact the Covid-19 pandemic has had on the apparel sector. The Company has achieved 70% revenue over the budget during the first quarter. However, based on currently available information, feedback from customers and our pending order book, we expect to achieve the budgeted revenue for the Second quarter. The entity has also embarked on new products based on the current demand for manufacturing healthcare products such as face masks. These along with other pending orders which we intend fulfilling no sooner operations resume, are the basis on which predictions have been made for the next quarters.



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Investor Information

STOCK EXCHANGE LISTING

The issued Ordinary Shares of Ambeon Capital PLC are listed with the Colombo Stock Exchange

SHARE INFORMATION

Share Structure as at 31 March 2020.

	No. of Holders	Total Holding	% Holding
Range of Shareholdings			
1 to 1,000 Shares	422	86,208	0.01
1,001 to 10,000 Shares	147	631,322	0.06
10,001 to 100,000 Shares	85	3,082,883	0.31
100,001 to 1,000,000 Shares	24	6,081,042	0.61
1,000,001 to 10,000,000 Shares	-	-	-
Over 10,000,001 Shares	4	992,843,360	99.01
	682	1,002,724,815	100.00
Categories of Shareholders			
Local Individuals	633	6,781,910	0.68
Local Institutions	40	995,546,762	99.28
Foreign Individuals	8	287,904	0.03
Foreign Institutions	1	108,239	0.01
	682	1,002,724,815	100

THE TWENTY LARGEST SHAREHOLDERS OF THE COMPANY AS AT 31 MARCH 2020 WERE;

		No. of Shares	%
1	CHC Investment (Pvt) Ltd	568,327,024	56.68
2	Seylan Bank PLC/ARRC Capital (Pvt) Ltd	355,526,332	35.46
3	ARRC Capital (Pvt) Ltd	51,190,106	5.11
4	Seylan Bank PLC/Ruwan Prasanna Sugathadasa	17,799,898	1.78
5	Merchant Bank Of Sri Lanka & Finance PLC/K.K. Wickramasinghe	968,353	0.10
6	Mr. Sarinda Wasanth Unamboowe	768,783	0.08
7	Mr. Ranil Prasad Pathirana	500,000	0.05
8	Ms. Fleur Annaleen Ann Mack	399,970	0.04
9	Hatton National Bank PLC/Sanka Ramoorthy Nadaraj Kumar	381,458	0.04
10	Mrs. Banuri Kumari Vanya Wickramasinghe	267,500	0.03
11	Mrs. Shirani Sunila Silva	240,000	0.02
12	Mr. Ram Pritamdas	230,413	0.02
13	Merchant Bank Of Sri Lanka & Finance PLC 01	220,000	0.02
14	South Asian Investment (Pvt) Ltd	209,185	0.02
15	Mr. Kangasu Chelvadurai Vignarajah	207,547	0.02
16	Mr. Selladurai Srikanth	174,999	0.02
17	Mr. Pathirage Hemantha Devapriya Perera	157,380	0.02
18	Asha Financial Services Limited/Mr.C.N.Pakianathan	152,399	0.02
19	Mr. Ravindra Earl Rambukwella	141,730	0.01
20	Mr. Michael De Saram	140,000	0.01
	Sub Total	998,003,077	99.53
	Others	4,721,738	0.47
	Grand Total	1,002,724,815	100.00

PUBLIC HOLDINGS

Percentage of Shares held by the Public	2.62%
No. of public share holders as at 31st March 2020	672

The Company is listed on the Diri Savi Board of the Colombo Stock Exchange and its float adjusted market capitalization as at 31 March 2020 is LKR 78,806,316.00 whereas it is less than LKR 1 Billion as such should maintain 10% minimum public holding.

The Company is not in compliance with the minimum public shareholding as required by the CSE Listing Rules.

MARKET VALUE

The Market Value of Ambeon Capital PLC Ordinary Shares:	2020	2019
Highest during the year	5.50	5.90
Lowest during the year	3.00	3.20
As at end of the year	3.00	3.70

Five Years Summary

FIVE YEAR SUMMARY OF PROFIT OR LOSS

For the year ended 31st March,	2020	2019	2018	2017	2016
	LKR	LKR	LKR	LKR	LKR
Revenue	19,957,341	17,229,838	12,588,656	10,967,821	9,506,231
Cost of Sales	(15,566,563)	(13,242,976)	(10,087,751)	(9,112,771)	(7,904,990)
Investment and Other Income	165,286	334,281	397,008	276,089	228,497
Finance Cost	(1,120,238)	(926,591)	(829,580)	(713,808)	(472,333)
Profit/(Loss) Before Income Tax from Continuing Operations	693,229	1,305,996	286,330	102,101	(1,852,603)
Income Tax Expense	(147,666)	(401,530)	86,097	(125,169)	(22,284)
Profit/(Loss) for the Year from Continuing Operations	545,563	904,466	372,427	(23,068)	(1,874,887)
Profit/(Loss) after tax from discontinued operations for the year	(301,832)	(391,230)	9,870	144,976	(145,692)
Profit/(Loss) for the year	243,731	513,236	382,297	121,908	(2,020,579)

FIVE YEAR SUMMARY OF FINANCIAL POSITION

As at 31st March,	2020	2019	2018	2017	2016
	LKR	LKR	LKR	LKR	LKR
ASSETS					
Non-Current Assets					
Property, Plant & Equipment	4,773,223	5,115,421	5,465,161	4,785,157	4,977,601
Intangible Assets	1,620,745	1,252,383	1,241,506	81,613	75,895
Biological Assets	51,167	50,382	48,282	45,882	39,702
Investment Property	4,405,315	3,612,852	1,688,188	1,164,601	1,802,670
Investment in Associate	11,930	-	-	-	-
Other Financial Assets	310,557	26,024	25,234	38,917	38,095
Right of Use Assets	156,964	-	-	-	-
Deferred Tax Asset	81,878	160,761	274,360	71,589	78,657
	11,411,779	10,217,822	8,742,732	6,187,758	7,012,621
Current Assets					
Inventories	4,094,934	4,240,916	3,758,052	2,407,814	2,418,686
Other Financial Assets	1,998,573	1,916,754	2,409,056	1,746,970	2,223,351
Trade & Other Receivables	6,392,014	6,005,044	4,009,656	1,801,539	1,865,425
Income Tax Recoverable	45,966	37,934	16,477	32,258	30,031
Cash & Cash Equivalents	782,950	611,909	1,999,187	815,416	438,104
Assets classified as Held for Sale	-	-	-	945,070	-
	13,314,437	12,812,556	12,192,427	7,749,068	6,975,597
Total Assets	24,726,216	23,030,379	20,935,159	13,936,825	13,988,218

As at 31st March,	2020	2019	2018	2017	2016
	LKR	LKR	LKR	LKR	LKR
EQUITY AND LIABILITIES					
Equity					
Stated Capital	1,053,643	1,053,643	1,053,643	1,053,643	1,053,643
Other Components of Equity	651,360	718,650	856,282	445,407	401,043
Retained Earnings	1,975,475	1,730,354	2,140,513	2,016,509	2,218,277
Equity Attributable to Equity Holders of the Company	3,680,478	3,502,647	4,050,439	3,515,559	3,672,962
Non Controlling Interests	3,176,698	3,098,213	2,428,239	2,069,496	1,730,158
Total Equity	6,857,176	6,600,860	6,478,677	5,585,055	5,403,120
Non-Current Liabilities					
Other Financial Liabilities	21,911	21,887	32,936	873	-
Interest Bearing Loans & Borrowings	3,751,270	2,756,476	1,562,022	913,472	583,396
Retirement Benefit Obligation	442,667	400,792	410,049	260,078	267,158
Deferred Tax Liability	786,305	810,764	620,479	239,772	250,823
Deferred Income	-	-	-	388	811
	5,002,152	3,989,919	2,625,486	1,414,583	1,102,187
Current Liabilities					
Trade and Other Payables	3,932,411	4,922,462	3,678,206	1,648,731	1,864,301
Income Tax Payable	212,399	193,412	177,630	52,648	46,551
Contract Liability	924,173	706,864	748,150	-	-
Interest Bearing Loans & Borrowings	7,797,905	6,616,861	7,227,009	5,232,075	5,572,058
Liabilities Directly Associated with Assets Classified as Held For Sale	-	-	-	3,732	-
	12,866,888	12,439,599	11,830,995	6,937,187	7,482,910
Total Equity and Liabilities	24,726,216	23,030,379	20,935,159	13,936,825	13,988,218

Details of Group Properties

Ambeon Capital PLC- Group Properties as at 31.03.2020

Company	Property	Location	Extent	No. of Buildings	Cost/Valuation LKR
Colombo City Holdings PLC	Freehold Land & Building	Union Place	47.2 p	1	958,800,000
Lexinton Holdings (Pvt) Ltd.	Freehold Land	Colombo 08	17.15 Perches	1	145,775,000
	Freehold Building	Colombo 08	17,150 sq.ft		128,625,000
Ceylon Leather Products PLC	Freehold Land	Mattakkuliya	747.9 p	-	2,067,012,000
	Freehold Building	Mattakkuliya	75,010 sq.ft	16	31,692,375
Dankotuwa Porcelain PLC	Freehold Land	Dankotuwa	3,277.76 p	-	753,884,800
	Freehold Building	Dankotuwa	260,015 sq.ft	29	393,858,909
	Freehold Land	Dankotuwa	3,985.95 p	-	565,721,250
South Asia Textiles Ltd.	Building on Leasehold Land	Pugoda	405,430 sq.ft	24	805,500,000
Royal Fernwood Porcelain Ltd.	Freehold Land	Kosgama	2,178 p	-	238,728,350
	Freehold Building	Kosgama	177,630 sq.ft	19	299,278,638
	Freehold Land	Kosgama	1,753.07 p	-	122,714,900
Taprobane Securities (Pvt) Ltd.	Freehold Land	Kosgama	1,162.37 p	-	84,000,000
Lexinton Resorts (Pvt) Ltd.	Freehold Land	Kosgoda	1,373P	-	542,374,500
Ambeon Capital PLC	Freehold Land	Sigiriya	1,277P	-	33,000,000
					7,170,965,722

Notice of Meeting

Taking into consideration the current regulations/restrictions prevailing in the country due to the COVID-19 pandemic, the Board of Directors of Ambeon Capital PLC has decided to hold the Ninth Annual General Meeting (AGM) as a Virtual Meeting on 26 November 2020 at 3.30 p.m. in line with the guidelines issued by the Colombo Stock Exchange (CSE) for hosting of virtual AGMs.

Hence, Notice is hereby given that the Ninth Annual General Meeting of the Company will be held by way of electronic means on 26 November 2020 at 3.30 p.m. centered at the Registered Office located at No. 10, Gothami Road, Colombo 8.

AGENDA

1. To receive and consider the Annual Report of the Board of Directors and the Financial Statements of the Company for the year ended 31st March 2020 and the Report of the Auditors thereon.
2. To re-elect as a Director, Mr. S H Amarasekara who retires by rotation in terms of Article 87 of the Articles of Association of the Company and being eligible, offers himself for re-election as a Director.
3. Mr. Parakrama Devasiri Rodrigo who is over 70 years of age does not offer himself for re-appointment, and has notified his intention of stepping down from the board in terms of section 210 of the Companies Act no 7 of 2007.
4. To re-appoint the retiring Auditors Messrs. Ernst & Young, Chartered Accountants as the Auditors of the Company to hold office from the conclusion of this meeting until the conclusion of the next Annual General Meeting and to authorize the Directors to determine their remuneration.
5. To consider any other business of which due notice has been given.

By Order of the Board
AMBEON CAPITAL PLC

(Sgd.)
MANAGERS & SECRETARIES (PRIVATE) LIMITED
Director/Secretaries
02nd October 2020
Colombo.

NOTES:

1. Below mentioned documents can be now downloaded via the corporate website <https://ambeoncapital.com/resources/> or the Colombo Stock Exchange website on <https://www.cse.lk/pages/company-profile/company-profile.component.html?symbol=TAP.N0000>
 - a) Annual Report
 - b) Notice of Meeting
 - c) Circular to Shareholders
 - d) Form of Proxy
 - e) Guidelines and Registration Process to join the AGM virtually
 - f) Registration Form for the AGM
 - g) Request Form for the printed copy of the Annual Report
2. A shareholder entitled to participate and vote at the above virtual meeting is entitled to appoint a proxy to participate and vote in his/her place by completing the Form of Proxy which can be downloaded as above.
3. Shareholders who are unable to participate in the above virtual meeting are also encouraged to submit a duly completed Form of Proxy appointing the Chairman or any other Member of the Board to participate and vote on their behalf.
4. A proxy need not be a shareholder of the Company.
5. For more information on how to participate by virtual means in the above virtual meeting, please refer Registration Process which can be downloaded as above.

Notes

Notes

Form of Proxy

*I/We, of
 being a shareholder/s of Ambeon Capital PLC do hereby
 appoint.....of.....

..... or failing him

Mr. S.E. Gardiner	or failing him,
Mr. A.L. Devasurendra	or failing him,
Mr. N.M. Prakash	or failing him,
Mr. P.D. Rodrigo	or failing him,
Mr. S.W. Unamboowe	or failing him,
Mr. S.H. Amarasekara	or failing him,
Mr. R.P. Pathirana	or failing him,
Mr P. D. J. Fernando	

As *my/our Proxy to attend me/us and to vote on my/ our behalf at the Ninth Annual General Meeting of Ambeon Capital PLC to be held by way of electronic means on Thursday, 26 November 2020 at 3.30 p.m. centered at the Boardroom, No. 10, Gothami Road, Colombo 8 and visual technology and at any adjournment thereof and at every poll which may be taken in consequence of the above said meeting.

I/We the undersigned hereby authorize my/our Proxy to vote on my/our behalf in accordance with the preference indicated below:

	For	Against
1. To receive and consider the Annual Report of the Board of Directors and the Financial Statements of the Company for the year ended 31st March 2020 and the Report of the Auditors thereon.	☐	☐
2. To re-elect as a Director, Mr. S H Amarasekara who retires by rotation in terms of Article 87 of the Articles of Association of the Company and being eligible, offers himself for re-election as a Director.	☐	☐
3. To re-appoint the retiring Auditors Messrs. Ernst & Young, Chartered Accountants as the Auditors of the Company to hold office from the conclusion of this meeting until the conclusion of the next Annual General Meeting and to authorize the Directors to determine their remuneration.	☐	☐

Signed this day of Two Thousand and Twenty.

.....
 Signature of Shareholder/s

Note:

1. *Please delete the inappropriate words.
2. Instructions as to completion are noted on the reverse hereof.

Form of Proxy

INSTRUCTIONS AS TO COMPLETION

1. The full name, National Identity Card number and the registered address of the shareholder appointing the Proxy and the relevant details of the Proxy should be legibly entered in the Form of Proxy which should be duly signed and dated.
2. The Proxy shall –
 - a. In the case of an individual be signed by the shareholder or by his/her attorney, and if signed by an attorney, a notarially certified copy of the Power of Attorney should be attached to the completed Proxy if it has not already been registered with the Company.
 - b. In the case of a company or corporate/statutory body either be under its common seal or signed by its Attorneys or by an Officer on behalf of the company or corporate/statutory body in accordance with its Articles of Association or the Constitution or the Statutes (as applicable).
3. Please indicate with a "X" how the Proxy should vote on each resolution. If no indication is given, the Proxy in his/her discretion will vote as he/she thinks fit.
4. To be valid, the completed Form of Proxy should be deposited with the Registered Office of the Company at No. 10, Gothami Road, Colombo 8, Sri Lanka or must be emailed to acagm2020@ambeongroup.com or by facsimile to +94 11 2680225 by 48 hours before the AGM.

Corporate Information

The Company

Ambeon Capital PLC

Legal Form

The company was incorporated in Sri Lanka on 20th September 2006 as a public limited liability company and re-registered under the Company Act No. 07 of 2007 on 3rd August 2009. On 17th May 2012 the company was successfully listed on the Diri Savi Board of Colombo Stock Exchange.

Company Registration No

PB 1090 PQ

Registered & Business Office

No. 10, Gothami Road, Colombo 08.

Tel : +94115328100

Fax : +94115328109

E-mail : info@ambeongroup.com

Website : www.ambeoncapital.com

Board of Directors

Mr. Sanjeev Gardiner – Chairman

Mr. Ajith Devasurendra – Deputy Chairman

Mr. Murali Prakash – Group Managing Director/CEO

Mr. Priyantha Fernando – Director

Mr. Harsha Amarasekara – Director

Mr. Ranil Pathirana – Director

Mr. Sarinda Unamboowe – Director

Deshamanya Deva Rodrigo – Director

Mr. Revantha Devasurendra – Alternate Director

Company Secretary

Mangers & Secretaries (Pvt) Ltd.

No. 08, Tickell Road, Colombo 08.

Tel : +94112015900

Fax : +94112015960

E-mail : secretariat@msl.lk

Auditors to the Company

Messer's Ernst & Young

Chartered Accountants

No. 201, De Saram Place, Colombo 10.

Bankers to the Company

National Development Bank PLC

No. 40, Nawam Mawatha, Colombo 02.

Seylan Bank PLC

No. 90, Galle Road, Colombo 03.

Pan Asia Banking Corporation PLC

No. 450, Galle Road, Colombo 03.

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Annual Reports

